

Aadhar Hsg. Fin. (AADHARHFC)

Conference call transcripts, oldest-first. 9 call(s). Generated 2026-06-08.

Call: Jun 2024

Date: 4th June, 2024

To,
The General Manager,
BSE Ltd.
P. J. Towers, Dalal Street,
Mumbai - 400001
Scrip Code: 544176 To
Sr. General Manager
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G, Bandra Kurla
Complex
Bandra (E), Mumbai – 400 051
Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub: - Transcript of the Earnings Conference Call for the Quarter and Financial Year ended March 31, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated 27th May 2024 please find enclosed the transcript of the Earnings Conference Call on the Financial performance of the Company for the Quarter and Financial Year ended March 31, 2024 held on Thursday, May 30, 2024 :

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please .

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
Encl.: As above

CC:- Debenture Trustees -
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

Page 1 of 15

“Aadhar Housing Finance Limited
Q4 FY '24 Earnings Conference Call ”
May 30, 2024

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE-
CHAIRMAN – AADHAR HOUSING FINANCE LIMITED
MR. RISHI ANAND – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – AADHAR HOUSING FINANCE
LIMITED

MR. RAJESH VISWANATHAN – CHIEF FINANCIAL
OFFICER – AADHAR HOUSING FINANCE LIMITED
MR. SANJAY MOOLCHANDANI – HEAD FINANCIAL
PLANNING – AADHAR HOUSING FINANCE LIMITED

MODERATOR : MR. AJIT KUMAR – NOMURA

Aadhar Housing Finance Limited
May 30, 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day and welcome to Aadhar Housing Finance Limited 4Q -FY24 Results Earnings Group Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Ajit Kumar from Nomura. Thank you and over to you, Mr. Kumar.

Ajit Kumar: Thanks, Sagar. Good evening, everyone. On behalf of Nomura, I welcome everyone to 4Q -FY24 Earnings Conference Call of Aadhar Housing Finance Limited.

From the management team, we have with us today Mr. Deo Shankar Tripathi, Executive Vice - Chairman, Mr. Rishi Anand, MD and CEO, Mr. Rajesh Viswanathan, Chief Financial Officer and Mr. Sanjay Moolchandani, Head Financial Planning. We will start with opening remarks and then open the floor for Q&A. I will now hand over the call to MD and CEO, sir, for his opening remarks. Over to you, sir.

Rishi Anand : Thank you so much, Ajit. Very good evening, ladies and gentlemen. On behalf of Aadhar Housing Finance, I extend a very warm welcome to all of you. Thank you for joining us on the first post-listing call. With all your good wishes, the company got listed on 15th May 2024 on NSE and BSE. Before I take you all through the performance of FY24, I would like to thank all of you for supporting us in the IPO and making it a grand success. I wish to share some subscription details with you.

QIB portion was subscribed 76.3 times. HNI 2 to 10 lakhs was subscribed 14.5 times. HNI greater than 10 lakhs was subscribed 19.1 times and retail 2.60 times. Overall subscription was 26.8 times. The total size of the IPO was INR3,000 crores of which primary was INR1,000 crores and INR2,000 crores was OFS by the selling shareholder. This infusion of INR1,000 crores of equity will allow us to meet our future capital requirements and general corporate purposes.

Since this is our first call post-listing, I would like to share a brief overview of Aadhar Housing Finance, its journey so far and the growth strategies going ahead. This will be followed by the operational and financial performance for the quarter and FY24, post which we will open the floor for Q&As. Aadhar Housing Finance was born in the year 2010 in a JV with IFC, International Finance Corporation, with a very specific purpose to cater to the housing needs of the EWS and LIG segment, which is economically weaker section and lower income group. Given this social fabric, we for the first five years started and operated our business only in the low income states of the country. We commenced our operations from Uttar Pradesh, followed by Bihar, Jharkhand, Odisha, West Bengal and Chhattisgarh. In early 2015, we started to expand to other larger states of the country.

In the year 2017 -18, post merger with a South based affordable housing company within the group, we became a pan India player, now spreading our footprints to 20 states and union territories. So that was in 2017 -18. And we continue to grow from there.

Aadhar Housing Finance Limited
May 30, 2024

Page 3 of 15

The company is being run by professional management, backed by marquee Private Equity Investor Blackstone. We are led by diverse board with an extensive experience in the banking and finance sector. We are a retail focused housing finance company focused on low income housing segment mainly serving the EWS and LIG segment as I indicated. 71% of our AUM happens to be in this segment. The average ticket size of our loan stands at 1 million, which is 10 lakhs, with an average loan to value ratio at 58.5% as of March 31st. As of dat

e, we are proud

to help 2,66,000 plus customers in making their dream come true.

We offer a range of mortgage related products, including loans for residential property purchase, self construction on a pre owned land, home improvements, extension loans and micro loan

against property. As on 31st March 2024, we have an extensive network of 523 branches. Our branches and sales offices are spread across 20 states and United Territories operating in approximately 11,000 plus PIN codes in the country, out of the total 18,000 PIN codes in the state that we operate.

We today cover approximately 534 out of the 806 districts in the country. Our branch and sales office network is widely diversified with no state accounting for more than 14% of our gross AUM. We believe that our diversified reach is well positioned to meet the specific needs of our target customers across geographies and in the urban and semi-urban areas.

On the product composition, 75% of the book is home loans and 25% is micro loan against property, with an average ticket size on the AUM of 10 lakhs. Home loan incremental ticket size stands today at 12.9 lakhs and loan against property, which I referred to as micro loan against property, stood at 8.2 lakhs.

We have a robust and comprehensive systems and processes for underwriting, collection and monitoring the asset quality. These systems and processes are technology enabled across our front office and back office, digitizing the entire lifecycle of the loan from origination to closure. On underwriting, we follow a hybrid model, which is a mix of RPU (Regional Processing Unit) -based central underwriting for salaried customers and branch -based underwriting for self-employed customers, which need a better cash flow assessment. Further, given the importance of recovery and collection, especially in the segment that we operate in, it is imperative that we follow a complete hands-on approach and hence, the entire collection mechanism is in-house for all the buckets.

We don't outsource any collection activity. Collection for us is more like an education series where we try to educate the customer on the importance of not being delinquent and how it affects his bureau scores. In FY '22, we migrated to an integrated digital IT infrastructure developed by TCS with a view to reducing costs, carrying on real-time analysis of customer data, improving our control and governance while increasing customer reach and distribution capability.

Alongside the IT enhancement, we have also invested in data science as a separate function, which enables us to understand consumer behavior better and also provides us -- and also helps us develop models for better efficiencies. This framework helps us to mitigate risks, grow our business, perform market research and strengthen the integration of data and analytics within Aadhar Housing Finance Limited

May 30, 2024

Page 4 of 15

our operations. Our data science team is pivotal in driving the innovative and delivering impact insights for our organization.

We have a very strong, experienced and dedicated management team, with our mid and senior management having an average of 25 years of experience in the financial services industry and over five years tenure, average tenure, within the company. A balanced mix of CXOs and HODs help us steer the company in day-to-day matters. Further, to maintain high standards of governance, we have highly respected Board comprising of independent directors who are qualified and experienced personnel with extensive knowledge and understanding of the BFSI industry.

Mr. O. P. Bhatt, former SBI Chairman, is our Non-Executive Chairman. Mrs. Sharmila Karve, former Risk and Quality Assurance Head of PwC, is our Audit Chairperson. Mrs. Nivedita Haran, IAS Kerala cadre, served in various positions in the Government of Kerala and Government of India, is our third Independent

Director. Apart from this, we have three nominee directors from Blackstone. Mr. Amit Dixit, who is Head of Asia Blackstone; Mr. Mukesh Mehta, Senior Managing Director, Blackstone; and Mr. Prateek Roongta, Managing Director, Blackstone.

We have made social objectives one of the core objectives of our business model. We operate a financially inclusive customer-centric lending business and believe that our business model contributes significantly to the economic uplift of our target consumers, which is the EWS/LIG segment.

In addition to our customer-facing social objectives, we also have implemented social objectives in aspects of our business. Our presence in the urban and semi-urban locations across India provides a source of employment in these locations. On the environment front, the organization is promoting green housing in partnership with IFC to promote the end-user education and funding of construction of green housing.

Finally, coming to the financial results, we are pleased to report a good financial year closing, with our AUM crossing the threshold of INR20,000 crores and closing at INR21,120 crores, recording a growth of 23% Y-o-Y, driven by a disbursement growth of 20% on a year-on-year basis. My colleague Rajesh Viswanathan will talk a little more in detail about the financial

metrics and numbers, but before I hand over to him, I would want to sum up that Aadhar continues to focus in its core segment that is EWS /LIG. It will continue to go deeper into state expanding of our network.

It will continue to invest in technology and data science. It will continue to be hungry for innovative ideas, which will help enhance efficiency and growth with sustained profits and better asset quality. We firmly believe in the phrase that "Ghar Banega Toh Desh Banega ", and we will continue our journey with this sentiment.

Rajesh, over to you.

Rajesh Viswanathan: Thanks, Rishi. Good afternoon to all the friends on the call. Just a disclaimer, right upfront this is our first investor call and I am sure the entire investor community will excuse us if there are
Aadhar Housing Finance Limited
May 30, 2024

Page 5 of 15

any gaps in the investor presentation, and we will only work towards improving the quality of the presentation to what we have currently. As they say, apologies for mistakes, if any.

I start with borrowings. Our overall borrowings as at 31st March 2024 is INR13,960 crores, a tad lower than INR14,000 crores as compared to INR12,153 crores last financial year -end. We have a very diversified source of borrowings with more than 38 borrowing relationships. Our borrowings mix is currently 55% of our borrowing comes from banks. NHB, which is an important component of our entire borrowing mix, is at 25% and NCDs make up the balance 20%.

In FY '24, we have borrowed INR5,560 crores, which has come at 8.04%, of which NHB borrowing was INR1,405 crores. In quarter 4, we have borrowed INR1,970 crores at a rate of 8.36%, of which NHB borrowings was only INR300 crores. Our cost of funds in FY '24 was 7.6% and our COF on quarter 4 was 7.7%. We continue to have zero borrowing exposure currently to short-term instruments like CPs and are constantly looking at increasing the sources of borrowings as well as looking for slightly higher tenor loans.

In terms of financial highlights, Rishi touched upon AUM and disbursements. I would touch upon other aspects, like cost to income. We have seen an improvement to 37.5% as compared to 38.1% last year, which is a 60 bps drop in cost to income. In terms of spreads, our spreads for the year was 6.2% as compared to 5.8% in the previous financial year, which is a 40 bps increase. This was also aided by an RPLR increase of about 75 bps, which we took in April 23 last year. Now, considering the way the interest rate movements are happening, and considering the overall stability that we need

to maintain in our spreads, the board yesterday, through the recommendation of the ALCO, has agreed to increase the RPLR rates by 25 bps, which will take effect from 16th June 2024.

In terms of profit after tax, our profit after tax came in at INR750 crores on a consolidated basis, which was INR565 crores before exceptional items in the last year, which is a 33% growth. Without the exceptional items, the growth was 750 crs as compared to 545 crs, which is a 38% growth.

Our net worth before the equity raise is at INR4450 crores versus INR3698 crores as at last year. We have raised primary of INR1000 crores, which will obviously go to improve the net worth. In terms of our debt to equity, the debt to equity stands at 3.14 times compared to 3.29 times last year. Very important part of the entire discussion is the GNPA. Happy to say that the GNPA has dropped to 1.08% as compared to 1.16% as the end of last year, which is an improvement of 8 bps.

More importantly is the way the GNPA has moved from December to March. In December, it was 1.40% and now it has improved to 1.08%. This has resulted in a release of credit cost in our P&L. More so, we have kept aside a management overlay of INR45 crores in our overall provisions that we have carried to take care of any exigencies. Our idea is to not release this in a hurry and this provision we expect to carry for a period of time. Stage 3 provision coverage ratio currently stands at March end at 41%. This was 37% in December '23 and at a previous
Aadhar Housing Finance Limited
May 30, 2024

Page 6 of 15

year end was 34%. The other important aspect which I would like to initiate is that in terms of expenses, in quarter four of the current financial year, which is quite common to every quarter for of the financial year, we have typically sales, collection and other employee -driven incentives and contests taking place, which results in an additional INR12 crores to INR13 crores of expenses which gets booked in quarter four of the financial year, which happened even last year and even a year before that.

This typically does not flow forward into the next financial year and typically is a quarter four phenomenon. So I just wanted to bring out that point in terms of why is cost higher or why is opex higher in quarter four. So this is overall that we had -- we believe that the results that we have presented is fairly in line with the expectation that we internally as management have. It's a very stable growth that we have presented both on disbursements in terms of AUM, in terms of profitability.

And as management we strongly believe that we should have a very stable and a consistent delivery rather than having it in lumps and more importantly having grown to a book size of about INR21,000 crores, the healthy NPA numbers that we have disclosed is I think a very, very healthy sign especially on the robustness of our entire portfolio. With that, I think we can open up for questions. Over to you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Congratulations to team Aadhar for a successful listing and presenting this result on a very stable note. Sir, my first question is I heard your media interview and the opening remarks now on the presentation. Can you give some guidance on AUM growth? What is our strategy for growth on a PAN-India basis including states where we are? And some guidance on your borrowing cost and ROE, ROA and spread loan spread?

Rishi Anand: Thank you, Mr. Choksey. Thank you so much for your appreciation and thank you for watching the media interactions. As I had indicated in the media interaction also that over the last couple of years the organization has on the incremental disbursement grown at a rate of 20%. On AUM

we have grown at about 22%, 23% and PAT at about close to about 30%. And given the matrices on the demand side I don't see any reason why we should not be growing at similar percentages in the current year as well. So that's the indication that I can give you.

Similar ranges 20% of AUM growth is not looking difficult at all especially when on the demand side we look at data point from RBI throwing out a number of INR10 crore unit shortfall on households out of which INR9.5 crore unit shortfall happens to be in the EWS/LIG segment which is our prime segment and prime area.

And if I were to simply convert by simple math, convert this shortfall into housing loan requirement it is 35 trillion. So there is more than sufficient demand. It is all about reaching out to the right customer. With respect to what we are going to do, what is our plan about one and a half years back we ventured out.

Aadhar Housing Finance Limited

May 30, 2024

Page 7 of 15

As I indicated in my opening statement we are already in 20 states. So obviously in all possible states we are there and about one and a half years back, we embarked on a journey of going deeper into states with our deeper impact strategy. The strategy definitely continues as we speak and as we go ahead anywhere between 70 to 75 branches a year -on-year basis is what we should be looking at in smaller towns and districts under the deeper impact strategy. And that is where the primary growth numbers are going to be coming in from.

In terms of ROA, ROE a similar trend ROE definitely because of the primary raise would look a little downsidled from the current levels. Current levels are at about 18.4 and the way we look at it should drop to about 17.2, 17.3, but in a couple of years we should be back to the current numbers and ROAs will be in the range of about 4% plus.

Sushil Choksey: And what is our strategy forward in business only through direct booking of housing loans or we'll be doing assignments, co-lending and are we going to borrow more from NHB because the borrowing cost is much lower from NHB compared to banks any views on that?

Rajesh Viswanathan: Sir in terms of assignment we do use assignment as a diversification process. And if you look at assignment what we have done in the year we have done about close to about INR1,200 crore of assignment. So we do anywhere between 8% to 9% of our opening book as assignment. I think we will continue to do that. On terms of co-lending, I think overall co-lending book that we have is in the range of around INR600 crores. I think in co-lending still we and the industry itself are at large finding its feet.

We have a tie up with one public sector bank and we are in the course of tying up with a private sector bank. Our intention is to go a slightly slower on co-lending till the time the business model becomes more robust for the entire industry, but yes assignment is something that we will continue doing in a similar levels as we go ahead.

Sushil Choksey: Thank you for answering all my questions. I'll come back and do if there is anything further. All the best.

Rajesh Viswanathan: Thank you Mr. Choksey.

Moderator: Thank you. Our next question is from the line of Gao Zhixuan from Schonfeld. Please go ahead.

Gao Zhixuan: A couple of questions. Firstly it's on the spread. How should we think about if I don't buy ...

Moderator: Sorry to interrupt. Your line is not clear.

Gao Zhixuan: Yes So in terms of spreads from the yield and the cost of borrowing, how should we think about FY24 ?

Rajesh Viswanathan: I think on an overall basis the spreads that we had in quarter 4 should ideally move into the next financial year to a broad extent. There will be some sale impact of increasing rates on the cost side which will come in -- which will be passed on by banks. It will be a very minimal thing which will come in probably in quarter 1 and quarter 2 of this financial year. To take care of this

Aadhar Housing Finance Limited
May 30, 2024

Page 8 of 15

that is a reason that the ALCO and the board have gone ahead with the 25 bps increase in our RPLR rates to customers.

And the more important thing is that when we have the RPLR rates which is passed on to customers in our case almost 80% or I think 79% of our book is floating. So in that sense whatever we pass on to 80% of the customers get passed on this increased rate with effects on 16 June. So I think that will be a very important component as we look going ahead. And I think beyond the end of quarter 2 of this financial year I don't think there will be any increase in rates. It will be probably quite a long plateau in rates till the time international rates start coming down and probably the Indian markets also follow and as since our book is floating, obviously, when there is a drop in rates and when we are a recipient of those rate drops we will have to pass on the rate drop to the customer as well.

So the way of looking at spreads is that probably currently we would be around the 6% spread mark as we end as we ended the financial year. I think we should be broadly in the range of about 5.8 %, 5.9% spreads as we look at it going forward because of this increase hopefully the 25 bps increase in the rate should take care of some of the spread compressions.

Gao Zhixuan: Got it. And on cost to income, how should we think about it FY '25 ?

Rajesh Viswanathan: Cost to income is basically what the cost to income that we have now currently generated is basically 37.5%. The last time it was about 38.1%. So if you look at it, we have dropped approximately 60 basis points. Aspirationally, I mean, honestly, since it's the first call, we are not really giving very, very clear guidance. But honestly, as management, we would love to drop this by 50 -60 basis points as we go into the next financial year. And that's what we are tracking.

Gao Zhixuan: Well, listen, lastly, on the price increase, do you think that will affect our demand? Or how much are we about to go for competitive pricing now after the 25 basis points increase?

Rajesh Viswanathan: So in terms of price increase, if you look at most of the competition, I think we are more or less in line with the increase in rates that the competition has also done. With this increase, we would have increased about 150 basis points. We did 50, then we did a 75, then we are doing a 25.

Most of the competition would be anywhere between a range of about 125 to I think there are some competitors who would probably be at 200 basis points also. So it depends really upon the way they drive, each one drives their own business and spreads. We believe that with this 25 basis points, I think we would be comfortable with the spreads that we internally want to deliver. In terms of does this impact the customer, in the last two times, as I explained, whenever we have done the increase in the rates, we have not seen a big impact on the customer. Because wherever possible, we try to minimize the impact of the customer by increasing the tenor of the customer's loan so that the EMI remains the same. And then also we try to increase the EMI in terms of Indian rupees in the range of about 500 to 1000 so that it reduces the impact on the customer's pocket in terms of paying the EMI.

Past also, whenever we had the rate increase, we did not see any spurt in any pseudo KPIs like for example, was there an impact on customers going delinquent or any of those sort. We did Aadhar Housing Finance Limited
May 30, 2024

Page 9 of 15

not see any instances when we did the 75 basis points or the 50 basis points. So we are quite strong. So one, we are strong internally. And secondly, I think we will be aligned with the competition also in terms of the pricing.

Moderator: Than

k you. The next question is from the line of Adarsh from Enam. Please go ahead.

Adarsh: Hello. Hi. Thank you for taking my question. A couple of questions for this quarter. If you look at the disbursement mortgages number, seems a flat quarter. So if you can explain that, anything specific there on the business front side. And second was sequentially again, there was about a 30 bps drop in the yield that you've reported 14 to 13.7 -odd. The mix hasn't really changed. So what led to that yield drop? Thanks.

Rajesh Viswanathan: So basically, one question was on the growth of driven by non -home loans. That was your question, right? The flat quarter?

Adarsh: So asking that your disbursement, Y -o-Y seems flat. So why was that? And yeah, the second question was for the yield?

Rajesh Viswanathan: So Y -o-Y, if you look at it, quarter four is always the highest quarter to be very honest. And in that sense, we deliver almost equal. It's always a tough quarter to do also because the numbers are delivered, which are very, very high. So if you look at it, it was about 20 billion. And here it was about 22 billion. In terms of home, yes, it was flat at about 15.

But if this is a decimal, it was 14.2. And this was about 15.1 or something. In terms of decimals, it is that way. But there was a slight growth, about 6 %-7%. But if you look at it on an overall basis, I think the growth in both home loans and non -home loans in the terms of disbursements has been quite granular. In terms of spreads, I think this spread which actually goes into the presentation is a realized spread because this is the way we have reported in the DRHP. These are realized spreads.

These are accounting yields and realized yields. This is basically the income which gets recorded in the P&L divided by the average assets. And there are other elements which also For example, there is a 91 days versus a 90 days which happens in the current financial year. There are some true ups which may be happening at the end of the quarter. There are some loan waivers of about INR4 crores to INR 5 crores that we would have given in the quarter.

So in that sense, if you look at the yield of 13.7, I think that takes all that. But if you look at the spreads which are more or less in the range of 6%, I think the way of looking at it is when we get into next year, I think with the spreads that we will take forward into next year would be more in the range of about 5.9 % to 6%. And that is what will be the starting point of spreads as we move into the next financial year.

And in terms of non -home loans and home loans, I think the company is very clear in terms of home loan to non -home loan mix. We currently would be in the range of 75 -25 – AUM is about 75-25. And the way we want to look at it is probably at a book level also. We would want to keep NHL in the range of 75 -25. On an AUM basis, probably we may be 1 %-2% lower in the sense that on an AUM basis, our home may be 73 and our non -home may be 27. But we will try

Aadhar Housing Finance Limited
May 30, 2024

Page 10 of 15

and assign more of non -home loans so that on a book level, the home to non -home remains at a 75-25 ratio.

And anyhow, we have this minimum criteria of 60% of home loans as a qualifying factor for a housing finance company and we don't want to be anywhere near that. We are comfortably on top of that. So in that sense, internally, we are looking at keeping it at 75-25, a 0.5% , 1% here or there is okay. But we will try to assign more and more of non -home loans as we did. That's the way of looking at it. I don't think we should read too much into home loan and non -home loan portion in a quarter 4 versus quarter 4. We will maintain that 75 -25 bit.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe : In terms of

if more medium term spreads, now if I look at FY '21 to '24, your spreads have gone up by almost 120 basis points from 5 to 6.2. So for this business, 75 -25 kind of a business mix of mortgages and non -mortgages, what kind of a spread guidance would you want to give or what kind of a spread you would want to maintain? And the rate hike that we have done now, is it in anticipation of further increase in cost of borrowings?

Rajesh Viswanathan: I think the second one is slightly easier. The rate hike happened to a certain extent in quarter 4 already and to a certain extent will happen in quarter 1. Very small portion is expected in quarter 2. So 25 bps takes care of all the remnants of any rate hike which gets passed to us. Now in terms of guidance, I think we said that we are not very happy honestly putting our neck out on guidance.

But if you look at it in the past, Nischint , our spreads, if you look at it in the last three years post - COVID were in the range of about 5.6 to 5.8. Last two years has been quite good around 6%, 6.2%. I think with this increase in rate, if we manage to do 5.8, 5.9 in the current financial year and dropping by about 10 to 15 basis points in the next financial year, I think around 5.7, 5.8 as we look at two years down the line.

I think it's a fair thing that we should be looking at. So if you look at management perspective, I think immediately we would look at about 5.8, 5.9 and then dropping down to 5.7, 5.8. 10 bps drop, I think we should be able to take care.

Nischint Chawathe : What is the incremental cost of borrowing versus the weighted average cost of 7.7? 8.36?

Rajesh Viswanathan: So the incremental cost of borrowings that we currently have for the full financial year was about 8.02%. And quarter 4, which we had was around 8.36%. But the point to note over here is when

we did quarter 4 borrowings, the NHB portion of that was only about INR300 crores of an overall borrowing of about INR2000 crores.

Nischint Chawathe : Like around 8.45 or thereabouts or 8.4, 8.45.

Rajesh Viswanathan: So I don't think the cost of borrowings will move up that significantly as from now to quarter one and quarter two, probably will be in the same range in terms of incremental cost of

Aadhar Housing Finance Limited

May 30, 2024

Page 11 of 15

borrowings will be probably in the range of about 8.3 % to 8.4%. I don't think we expect the incremental cost of borrowings to increase that much.

Nischint Chawathe : No, probably you're saying that there may be some catch up on the balance sheet in that?

Rajesh Viswanathan: That's was one of the primary reason that we did the 25 bps pass on.

Nischint Chawathe : And any kickers on the fee income side or insurance or, any of the other line items?

Rajesh Viswanathan: , I think on a fee basis, I think we do a fairly decent job in terms of both fees in terms of processing fee, I think we are one of the most aggressive in the industry. And in terms of attachment of life insurance and general insurance on a voluntary basis . I think we are we are fairly there.

I think , this is mainly done for the protection of the customer in terms of his loss of life or loss of property. And we try to do some health also because the typical type of customer that we have is from the low income group. And any loss of life really impacts the customer's family , in terms of having to pay the mortgage , as well as to take care after the loss of the life of a loved one. So we try to educate the customer of the benefit of taking a life insurance loan. And similarly, I think that less thought to process is a property loan because property insurance because typically, God forbid any natural damages cost to the property, he loses the property. So we also encourage the customer to take a property loan and be given the benefits of that. But these are purely voluntary.

Rishi Anand : And if I can add here, t

he property loan is by regulation also it is required to be done by the customer, whether he takes it from the tie ups that we have, or he takes it from anywhere else and assigns it. So property insurance or property insurance is kind of mandatory. But when it comes to life insurance, it is purely voluntary. If he is willing to, we would definitely go ahead and educate the customer. If he is willing to take, he takes. And then we've in the past seen a lot of benefits going out to customers in case of eventuality of any debts.

Rajesh Viswanathan: So I think we are fairly there in terms of fee income, whether it is processing fee, whether it is other fee. And as we have also explained during our various investor message, which we have made to most of you, we also maintain liquidity buffer of anywhere between 6% to 8%. And this 6% to 8% also earns us some investment income.

Currently, it must be earning some 7.1% in the investment income. These are primarily, this also includes LCR that we have need to carry, which gets invested in the Gsecs . Apart from that, we invest in bank FDs as well as in overnight liquid funds. So this generates, this is approximately INR1,500 crores , which we are carrying in the balance sheet as a liquidity buffer.

And at the end, this is a cash -and-cash equivalence on balance sheet, which we have, which gives us anywhere like 7.1% return. Apart from this, at any point of time, we'll add about INR400 crores to INR500 crores of undrawn lines, which would include NHB and includes non -NHB also.

Aadhar Housing Finance Limited

May 30, 2024

Page 12 of 15

So I think in terms of, if you add all these income, the fee income, the insurance cross -sell income, and the investment income that we yield, I think we do a good job by moving from spreads to NIMs .

Nischint Chawathe : How much was the BT out and BT in for the year and the quarter?

Rajesh Viswanathan: So the BT out for the full year was about 6.9%. It was a tad higher for the quarter. The quarter came in at around about 7.2 % , 7.3%. Just to give a feel, 6.6 % was the BT out in FY23. From 6.6%, we have moved up to 6.9 % . And just to give a feel of post -COVID, I think post-COVID was around 5% to 5.5%.

We have taken various steps to look at BT out. While we do understand that BT out is a natural phenomenon , which does happen in our industry. But what we have also done is we have used a retention team, which we centrally keep to take care of BT requests. We have also used analytics.

As Rishi had said, we have interspersed analytics in our entire BT out process by which our customer being inquired by a third -party financial institution, we get an immediate trigger. And

we call up the customer trying to find out the comfort that he has with us as an institution. And based on that, if the customer has any agree on a rate or a loan increase amount that is taken care of. We are seeing some initial successes on this.

Our internal endeavor is to reduce this BT out figure a bit. I will be difficult to give out a number on this, but hopefully if we can shave off anywhere like 50 bps on the 6.9%, I think we would have done a fantastic job. Where does the BT out go to? The BT out generally does not go to peers. It goes to one notch higher HFCs and NBFCs.

Rishi Anand : If I can add to that, Nischint , while we have quoted a number of BT out of 6.9% annualized, given the industry trends and what we understand from market intelligence, we are far better from most of the peer groups. That is one. The second part of the question was BT in. As an organization, we do not promote the concept of BT in, and our teams are clearly advised not to do BT in because it defeats the social objective of why we exist, because there are no new housing created. Having said that, if there are any reference cases, we definitely take them in, and our BT in portion is below sub 1% today.

M

oderator: Thank you. The next question is from the line of Nidhesh from Investec .

Nidhesh: Thank you for the opportunity. Sir, yield in Q4 has declined 30 basis points Q-on-Q. So what is the reason for that?

Rajesh Viswanathan: We just covered that, Nidhesh. This is a combination of 2-3 things. This is a realized yield which comes from the P&L.

This is a combination of a period which is basically one day lower. This is a combination of INR4-INR5 crores of waiver of interest which happens, and this also takes care of some direct assignment interest income which gets booked over there. So it is a combination of 3 or 4 things in terms of this. A better way of looking at this is to look at the spreads at 6%. The exit spreads

Aadhar Housing Finance Limited

May 30, 2024

Page 13 of 15

will also be in the range of 5.95-6. I think the better way of looking at this is to look at a spread basis and go ahead. That will be a better metric to build it out.

Nidhesh: What will be the incremental yields that we are seeing now?

Rajesh Viswanathan: So in terms of incremental yield, if you look at home loans, our incremental yield is around 12.4%, 12.5%. In terms of non-home, it will range between 16.7%-17%. At a company level, the incremental yield will range in the range of about 13.65%-13.75%.

Nidhesh: And so as the incremental cost of fund is slightly higher, so the cost of fund will continue to increase up in coming quarters, right?

Rajesh Viswanathan: As I said, Nidhesh, it is possibly the last of the cost of fund increase we will probably see. We will see some impact coming in the quarter 1, and I think a tail impact will happen in quarter 2 which will be very, very minimal. But the 25 bps increase that we will take effective in the RPLR from 16 June, I think will take care of most of these problems.

Nidhesh: Sure. And also, can you share the incremental ticket size and the incremental sourcing mix for Q4?

Rajesh Viswanathan: Just a sec. I will just pull it out. Overall, ATS's average ticket size disbursement is 11.7 Lakhs . It is in the range of about INR13.7 lakhs to INR13.9 lakhs on home loans, and non-home loans continues to be very low and the range of about INR8.3-INR8.5 lakhs. Overall, it will be in the range of INR11.6-INR11.8 lakhs.

Nidhesh: And the incremental sourcing mix also?

Rajesh Viswanathan: Yes. So, in terms of the overall incremental sourcing mix from our corporate DSAs, it will be in the range of about 32-33% will be from corporate DSAs. And from our in-house Aadhar Mitras, we will have 20%. So, from corporate DSAs, it would be in the range of about 32%

Rishi Anand : Aadhar Mitra will be about 20% and the direct sales will be about 40%, 45%.

Nidhesh: Okay. And what are the plans to add branches in FY '25?

Rishi Anand : So, as I indicated already, we are looking at approximately 75 branches coming in year-on-year, out of which 50 branches will be in the deeper impact strategy, which are sales offices, the small 100, 150 square foot kind of setups, and about 20, 25 branches will be the large branches across the existing cities.

Nidhesh: Okay. So, that's it from my side. Thank you.

Rajesh Viswanathan: Thank you, Nidhesh. This is just a small correction. The corporate DSA amount is actually in the range of about 25%-26%.

Nidhesh: Sure, sir.

Aadhar Housing Finance Limited

May 30, 2024

Page 14 of 15

Moderator: Thank you. The next question is from the line of Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: Hi, sir. Thank you for taking my question. Just wanted to double click on the self-employed segment. Could you talk about your typical customer profile in this segment? And what kind of income verification and checks and balances go for this segment? And also, how does the asset quality differ between the salaried and the self-employee

d?

Rishi Anand : Thank you, Chinmay, for the question. Now, I will take your question. It's in 3 parts, one by one.

Self-employed customer, to give you a flavor of who my customer is, my customer can be anybody from a small grocery store guy, from an Ola driver to a Pan shop guy, to a very small MSME, SME industry running a proprietorship industry or a partnership industry. So, this is my typical self-employed customer. What do I do in terms of underwriting?

In terms of underwriting, as I indicated in my opening statement, salaried customers are tracked separately. They are underwritten centrally in the hybrid model. The self-employed customer is underwritten at the branch model. Why in the branch model? That's where your question gets answered. When we meet this customer, we actually they are typically no income proof kind of customers.

We have to go in and understand their cash flows better. So, we typically spend a lot of time with the customer at his workplace, understand the footfalls, understand the kind of goods and services that he's offering, what are the typical margins in that. So, once we understand his cash flow, we go and establish, go and visit his residence and try and establish his standard of living in context of the cash flow assessment, do multiple market reference checks, do online, wherever possible, online checks in terms of ITRs, in terms of KYC, etcetera .

So, these are the checks we do. Apart from this, mandatory 2 visits to the property in question, whether it's a loan against property, which would be typically existing property. If it is a home loan, typically it will be a new property. So, we will definitely visit the property at least twice. I missed the third part of the question.

Chinmay Nema: The last part was, do you see any difference in the asset quality of salaried and self-employed segment or if you could quantify it?

Rishi Anand : Okay. In terms of GNPAAs, there is a 90 – 100 bps higher NPAs that you see on the self-employed segment, which gets countered by the fact that we get about approximately 3.5% higher risk-adjusted yields.

Chinmay Nema: Got it. Thank you.

Moderator: Thank you. Ladies and gentlemen, we would take that as a last question for today. I would now like to hand the conference over to the management for closing comments.

Rajesh Viswanathan: Thank you and thank you all for the questions. I hope we have been able to answer most of the questions to the best of our efforts. If there are any pending queries, you may write into Investor Relations ID, which has been given in the presentation, and we will try to answer the questions

Aadhar Housing Finance Limited

May 30, 2024

Page 15 of 15

or any further clarifications that we have. As I conclude, I would say that it has been a fairly good, robust year for us. It has been a very important year and the first quarter has been very good in terms of us getting listed. The delivery on the full financial year has been very good, as has been consistently that we follow in the last 2-3 years.

Post quarter end, the IPO also has been a very good event that all of us in the company and our shareholders were looking forward to. As Rishi said at the outset, with the help of the support of all the investors and all our retail shareholders and all our corporate shareholders, I hope we will take this journey further and hopefully take the company to the heights that you guys are expecting. Thanks a lot for joining us and till we meet again next quarter, thank you very much.

Thank you so much, everyone.

Moderator: Thank you. On behalf of Nomura and Aadhar Housing, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

Page 1 of 17

"Aadhar Housing Finance Limited
Q1 FY '25 Earnings Conference Call "
August 08, 2024

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE-
CHAIRMAN – AADHAR HOUSING FINANCE LIMITED
MR. RISHI ANAND – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – AADHAR HOUSING FINANCE
LIMITED
MR. RAJESH VISWANATHAN – CHIEF FINANCIAL
OFFICER – AADHAR HOUSING FINANCE LIMITED
MR. SANJAY MOOLCHANDANI – HEAD FINANCIAL
PLANNING – AADHAR HOUSING FINANCE LIMITED

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES

Aadhar Housing Finance Limited
August 08, 2025

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to Aadhar Housing Finance Limited Q1 FY25 Earning Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

Please note that this conference has been recorded. I now hand the conference over to Mr. Renish Bhuva from ICICI. Thank you and over to you, sir.

Renish Bhuva: Thank you, Sumit. Hi, good afternoon, everyone, and welcome to Aadhar Housing Finance Q1 FY25 Earnings Call. On behalf of ICICI Securities, I would like to thank Aadhar's management team for giving us the opportunity to host this call. Today, we have with us the entire top management team of Aadhar, represented by Mr. Deo Shankar Tripathi, Executive Vice - Chairman, Mr. Rishi Anand, MD and CEO, Mr. Rajesh Viswanathan, CFO, and Mr. Sanjay Moolchandani, Head of Financial Planning.

I will now hand over the call to Mr. Rishi for his opening remarks, and then we'll open the floor for Q&A. Over to you, sir.

Rishi Anand: Thank you so much, Renish, and a very good evening, ladies and gentlemen. On behalf of Aadhar Housing Finance, I extend a very warm welcome to all of you. We are overwhelmed to see the response we got post our listing, and we are strongly committed to achieve great milestones in the years to come. Our company was founded on a simple yet powerful belief that the dream of owning a home should be a reality and within the reach of every Indian.

This belief has driven us to work tirelessly, bridging the gap between aspiration and reality for countless families across the great nation. As we navigate the evolving landscape of affordable housing in India, we remain deeply committed to our mission. The demand for affordable housing has never been more pressing, and we take great pride in playing a pivotal role in meeting this need.

Additionally, the proposed budgetary announcements to construct 3 crore s additional houses in the rural and urban areas under PMAY Awas Yojana, along with interest subsidy in the affordable loans through CLSS program, will further provide impetus to the overall business growth. This initiative will greatly benefit the EWS / LIG segments of the society, helping millions realize the dream of home ownership.

Moving on to this quarter's performance, our AUM stood at INR21,726 crores, marking a significant growth of 21% YoY. We continue to deliver 100% retail secured book with no exposures to corporates or developers. Our average ticket size remains at INR10 lakhs on AUM, with an average LTV of 59% on AUM. Salaried customer segment continues to dominate our

book at 57%. With this, we continue to be the largest low -income housing finance company in the country.

Aadhar Housing Finance Limited

August 08, 2025

Page 3 of 17

The mix of home loans versus non -home loans stood at 75% and 25% respectively. The quality of the book remains pristine, with a drop in GNPA numbers of 15 bps and one plus drop of 83 bps YoY basis, with collection efficiency very healthy at 99% plus. We also continue to maintain a healthy spread of 6% against a guidance of 5.7% for the quarter. Disbursements in the quarter stood at INR1,497 crores.

Our distribution network has been our core strength, which differentiates us. In the quarter ending June, we have now reached a total of 536 branches, spread across 544 districts in 21 states. This quarter, we have added 13 new branches and ventured into a new state, Himachal Pradesh. With the increase in touch -points, we are now serving more than 274,000 live custom er accounts across the country.

To enhance

our market penetration even further and to go deeper into the low -income segment, we are planning to increase our reach with deeper impact strategy in Rajasthan, Uttar Pradesh, Andhra Pradesh, Telangana, Maharashtra in the P hase 1. This will help us reach out to tier 4 cities and beyond to small talukas and small district headquarters. As a part of our ongoing enhancement of technology capabilities, we have implemented multiple Fin -Tech capacities covering bank account aggregator, income tax stat ement aggregator, and enhanced RPA technologies.

As a part of strengthening our cyber security posture, we have implemented web application firewall for customer facing applications and deployed safe email messaging to customers by implementing brand indicators for messaging i dentification. On the data analytics front, in Q1 FY25, we have implemented a reject scorecard, which is an automated machine learning -based credit risk underwriting scorecard for better credit efficiencies.

Apart from this, the data analytics team also on a regular basis assists in predictive analysis of bounce and roll forwards and go -to-market assistance to the branch team, to the business team. I would want to give an update on the board. As already informed to the exchange that Dr. Punita Kumar Sinha has been inducted as an independent director on our board with effect from 7th August 2024, subject to approval of the AGM. She comes in with a rich experience of 30 years in the investment banking and financi al markets.

We believe that Dr. Sinha will be a significant addition to our existing distinguished board of directors. This quarter has been a strong start to the financial year. I would like to give confidence that Aadhar remains committed to its core focus area, that is EWS/LIG segment. We will keep expanding our network within the states and investing in technology and data science. Our drive for innovative ideas will persist, helping us enhance efficiency, achieve growth and maintain sustained profits with improved asset quali ty.

We firmly believe and live by the emotion that "Ghar Banega Toh Desh Banega " and we will continue our journey with this guiding sentiment. I would now like to hand over to our CFO Rajesh Viswanathan to take you through the detailed financial performance of this quarter.

Rajesh Viswanathan: Thanks Rishi, good afternoon to all and once again welcome to the earnings call of Q1 FY25. I will start with borrowings. Our overall borrowings as at 30th June 2024 is INR14,000 crores.

Aadhar Housing Finance Limited

August 08, 2025

Page 4 of 17

This is quite comparable or a similar f igure which existed at the year -end which was about INR13,950 crores. We have diversified source of borrowings with more than 39 borrowing relationships. Our borrowing mix at the end of 30th June is 52% of our borrowings comes from banks, NHB share is 26% and NCDs make up the balance 22%.

In Q1 , we have borrowed only INR500 crores at an incremental rate of around 8.3 %-8.4%. This is because we had the primary proceeds from the IP of about INR1000 crores gross which came in which resulted in lower borrowings in the quarter. During the quarter of this INR500 crores borrowings, we have drawn down INR200 crores from NHB. Undrawn line from NHB is around INR200 crores which we plan to draw down in the current quarter and we will also be applying for a fresh line from National Housing Bank.

With a view of diversifying our borrowing sources in Q1 FY25, we have entered into a borrowing agreement with Asian Development Bank for an overall amount of \$60 million of which \$30 million was availed in the current quarter. The rates for these are similar to what other DFIs give to HFCs like us. As we have disclosed in the last meeting, the ALCO had proposed a

25 bps rate increase to our customers with effect from 16th June 24th which has been duly applied to our customers.

Now coming to our fixed and floating share of borrowings and assets, our fixed borrowings are 22% and on the asset side fixed loans are around 20%. Liquidity, on our quarter end balance sheet liquidity is around INR2400 crores. Obviously, this was accentuated because of the IPO proceeds not being fully utilized. However, we intend to carry liquidity in the balance sheet in the range of about 8 %-10% of our assets.

In terms of undrawn sanctions, we have around INR900 crores, INR400 crores undrawn sanction of bank term loans. We have NHB INR200 crores as I said undrawn and INR250 crores we have undrawn from DFI ADB. On top of this, we also have a WDCL of around INR340 crores which we can draw at any point of time.

Typically, in terms of financial highlights, our spreads in the current quarter end have come at 6% as compared to 5.9% at the FY24 end. In terms of overall NIMs in FY24, 8.9% in the quarter as compared to 30 bps increase on a YoY basis. Our cost to income ratio is where we have seen improvement. It has come in at 36.7% which is an 80 bps improvement from the full year figure of FY24.

If you remember, I had specifically said in the last call that in Q4, the opex is higher by about INR12 crores -INR13 crores because we had some one-time costs which typically get booked in Q4 of the year. As you would see, our opex in the current quarter adjusted for that. You can see the difference in opex or the lower opex on account of that.

All the above has resulted in our PAT growing strongly by 37% to INR200 crores in Q1 FY25 from about INR146 crores in Q1 FY24 resulting in the ROE of 4.1%. Our ROE, post receipt of IPO proceeds stands at 15.9%. As Rishi has said, our gross NPA is 1.31% at the end of 30th June 24 which is an improvement of 15 bps over 1.46% on AUM which was reported in Q1 FY24.

Aadhar Housing Finance Limited
August 08, 2025

Page 5 of 17

The movement in NPA from the FY24 number as most of you would understand is basically on account of the seasonality impact and if you look at the historical trend even within Aadhar, the quarter one is where we generally see a 20 bps-25 bps movement in the NPA. But we generally believe that as we end -- towards the end of the year, we would be in the same tramline of around 1.1% to 1.2% of 90 plus GNP A. With this, we can open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rajiv Pathak from GeeCee Investments. Please go ahead.

Rajiv Pathak: Good evening everyone and congratulations on a good set of performance. Sir, just couple of questions. One is, I believe this quarter we had this RBI circular on accounting for the disbursements. So, if you can quantify the impact that it would have had on the disbursements of this quarter, would it be in the quantum of INR400 crores -INR500 crores or so? That was my first question.

Second is on the yields. So, as you alluded to that we have increased the lending rates. So, on an incremental basis, what could be our yield on loans and the cost of funds on the incremental basis? And third is if you can guide us on the credit cost for the full year and the year going ahead. Thank you.

Rishi Anand: Thank you Rajiv. I think I will take the first part of the question which is the RBI circular. The numbers that you see and that have been reported which is typically INR1,497 crores which is a 4% YoY growth is after the adjustment of the RBI circular. While you have indicated a number of INR400 crores -INR500 crores, I would want to say that this 4% would have been upward of 25% growth if it were not for the circular in position.

Having said that, we would want to confirm to everybody on the call and the group at large that we have, in letter and spirit, implemented the RBI circular in totality.

Rajiv Pathak: The incremental yields and the incremental

cost of funds?

Rajesh Viswanathan: Hi Rajesh here. In terms of incremental yields, we are approximately about 12 bps-13 bps better than what we ended at Q4. So, basically we would be in the range of about 13.5 -13.6.

Incremental cost this quarter actually does not make much sense because we drew only about 500 crores. It came in at 8.4%. But typically, we would be probably in the range of 8.2 %-8.25%. We would be looking at an incremental cost of that.

The other thing which I just wanted to do a top-up to what Rishi said in terms of RBI circular because this is more of a regulatory thing. All of us, the entire industry has rightfully accepted and gone by the circular. And what is more important is that we are still retaining our view that we will be still growing disbursements in the range of about 18 %-20% which will result in an

AUM growth in the range of about 20 %-23%.

Rajiv Pathak: That was very helpful. And on the credit cost?

Rajesh Viswanathan: So, credit cost if you look at it, typically if you look at in our particular company last year, if I remember correctly, our credit cost was about INR31 crores and we ended the year at a credit

Aadhar Housing Finance Limited

August 08, 2025

Page 6 of 17

cost of around INR45 crores -INR50 crores. So, majority of the credit cost actually comes in Q1 and Q2, Q3, Q4, you will see an improvement. We are looking at a year -end credit cost in the range of about 27 bps-28 bps which I think will be comfortable with that.

Rajiv Pathak: Okay, okay. So, even anything which may come from LAP book or anything will get covered under this?

Rajesh Viswanathan: Yes, yes. Because typically, see LAP book obviously in terms of -- and this is a good point that you raised Raj iv and I think I will have to clarify that very upfront. We get a 250 bps-300 bps of kicker in terms of yield. It actually goes sometimes up to 350 bps of yield kicker when it comes to LAP and if you look at credit cost, in the worst of times, the NPA gap between HL and NHL was only about 60 bps-65 bps.

So, in that sense, the risk -adjusted spread is quite strong. So, if you look at credit cost as a number in terms of bps, yes, it will be 27 bps-28 bps but in terms of the PNL protection because the risk -adjusted spread is quite protected because we get about 300 bps-350 bps higher.

Rishi Anand: Yes, and this 28 bps that we are referring to is inclusive of non-housing and inclusive of LAP, Yes.

Rajiv Pathak: Okay, okay. Thank you so much and wish you all the best.

Rishi Anand: Thank you, Raji v.

Moderator: Thank you. The next question is on the line of Kunal Shah from Citi Group. Please go ahead.

Kunal Shah: Yes, hi. So, firstly, when we look at it in terms of the coverage, so on Stage 3, it's come off, we see most of the other HFCs being much lower than the coverage which we have. So, would we look at getting towards those levels or will it be like 35 %-40%-odd coverage that we would want to continue on Stage 3?

Rajesh Viswanathan: I think, Kunal, I think on Stage 3, if you look at it, we have progressively increased from 30 to 35 and last time we ended at 40. This year, because the incremental NPA movement will probably come in at a rate of around 22 %-24% when they actually come into Stage 3. That is why the percentage would have come down from 40% to 34 %-35% in the Q1.

But, yes, we would like to be in the same range as you correctly said. We would like to be in the range of around 32 %-36%. If it goes up to 40 %, we'll be happy. We are anyhow carrying, as most of you would know, we are carrying a management overlay of INR45 crores which we had created at the time of COVID. It is still being carried.

And one more disclosure is in terms of RBI and NHB ask us to do a comparison of the provisions that you carry in the books under your ECL methodology versus what is supposed to be carried as per the

IRACP Norms of RBI. And if you look at it, we are in excess of the requirements of

RBI by almost about INR70 crores -INR75 crores. So in that sense, from a provisioning perspective, we are comfortable.

Aadhar Housing Finance Limited

August 08, 2025

Page 7 of 17

And rest assured, we will not be wanting to look at releasing this management overlay in any hurry. If the opportunity does arise, we would be actually looking at means of topping that up.

Kunal Shah: Sure. And secondly on LAP, what was indicated in today's MPC meet, be it with respect to risk weights or the end -use monitoring, which I think RBI has asked now all the players to strictly adhere to. So now maybe how is it happening at our end in terms of this entire end -use monitoring and are we able to see in terms of how much gets towards the business, how much is for the consumption? So if you can just share that and any impact that it can have in terms of the pace of growth.

Rishi Anand: Kunal, I think the reference point was more with respect to the top -up loans. So top -up loans for now in our consumer segment, the ticket size is too low. We actually do micro loan against property or top -up loans, which is top -up loans in the average ticket size of about 6 lakhs and loan against property is about 8 lakhs.

Now loan against property, obviously the end -use is monitored. We take something called the Udyam certificate where we ensure that it is going towards, for the self -employed segment it is going towards end -use of his business. As far as top -up loan is considered, on account of top -up loans, the end -use is currently not monitored, but given the RBI direction or the indicative

direction, I think we will devise a process to do that.

Having said that, historically we don't do too many top -up loans because of the segment that we deal with. For our segment, creating one house is itself a lifetime kind of an activity. So for him coming and taking a top -up is very difficult. We have a total exposure of about INR540 crores to INR550 crores under the top -up program in about INR22,000 crores a book. So that is the extent of top -up loans that exist in our book today.

Rajesh Viswanathan: And in terms of risk weight, Kunal, what we did was, if you remember, RBI increased the risk weight for unsecured assets about six months ago. And what we had done is wherever we had, on our AUM basis, wherever we had proof of this being taken for the purpose of, which was non-personal, we left it over there, which was personal, we increased the risk weight to 100. So in that sense, the risk weight is already taken. And that was one of the reasons our CR AR actually fell from about 41% to 37%, 38% in one quarter.

Kunal Shah: Yes, okay. So risk weight is almost taken care of. The only thing is the end use of monitoring that we will do it for the top -up loans?

Rajesh Viswanathan: Yes, I don't think that is more of a way of doing it. The component is too small.

Rishi Anand: So yes, whatever directions come, we will comply with it, Kunal.

Kunal Shah: Sure. And one last question, if I can chip in. Maybe you alluded to in the opening comments with respect to the CLSS and PMAY. So what is the extent of benefit, any maybe, I would say, in terms of the push to the growth, which can come in during the disbursements now? We have those schemes. We have the allocation of CLSS as well. So how much can it help in terms of the overall AUM growth?

Aadhar Housing Finance Limited

August 08, 2025

Page 8 of 17

Rishi Anand: Kunal, one is that, let me give you a little figure of what we did in the previous avatar of CLSS. We disbursed close to about INR800 crores of subsidy, which impacted about 80,000 plus consumers. So that was the contribution that Aadhar did in the entire CLSS program in PMAY CLSS 1.0. The new contours are still not out. We don't know what are go

ing to be the contours

for the CLSS program. The overall budget allocated is INR4,000 crores. The way it looks, it is going to be for the last four or five months of the year.

So in totality, I think the allocation is more than sufficient. Will it give a huge upside on the business? In the previous avatar, CLSS was always a refinance program. My business would come in. Once the disbursement is done, it is taken to the regulator. The regulator will look at the eligibility from a CLSS perspective and then give a refinance.

So upfront, I don't commit to the customer that you will get a CLSS. But yes, maybe anywhere between 8% to 10% of the customers who are sitting on the fence will move on the positive side of taking fresh home loans. It was more of word of mouth rather than a big jump on your AUM. So that's how the overall AUM growth that we are talking about, 23 %-24%, will definitely have a portion of the CLSS impact.

Moderator: Thank you. The next question is on the line of Nidhesh from Investec. Please go ahead.

Nidhesh: Thanks for the opportunity. What are the plans for distribution expansion and branch addition this year?

Rishi Anand: Nidhesh, in terms of distribution, as I indicated today, we stand at about 535 branches. Now we have added another state in this quarter, which is Himachal Pradesh. Now we are in 21 states. As we go ahead, next couple of years, we will keep introducing 75 new branches. 25 of those will come in the existing locations. And 50 will come in the deeper impact strategy that I spoke about, which is small talukas and small sub -districts of existing states.

In Phase 1, we have shortlisted five states to do our deeper impact strategy, which is typically Rajasthan, Andhra Pradesh, Telangana, UP, and Maharashtra.

Nidhesh: How is the productivity of the field officer for us? On average, how many files are being disbursed and how are the trends from that?

Rishi Anand: At our company level, we monitor our people on the volume generated because our average ticket size is quite low. And obviously we do on the number of units also, but primarily the way we drive is on units. And we have different layers of sales teams. Right at the front end, which is called the direct selling team member, the average productivity is about INR15 lakh to INR16 lakh.

The supervisor who manages these people has a productivity of about INR60 lakh to INR70 lakh. Then you have an area head whose productivity will be anywhere between INR2.5 crores to INR3 crores. So that's how the hierarchy works. If I were to translate into number of units, typically it will be 1.5 units disbursed and about 3 to 4 units logged in.

Aadhar Housing Finance Limited

August 08, 2025

Nidhesh: Sure. How are the trends on that and is there any initiative to improve the productivity over a period of time?

Rishi Anand: See, that is Nidhesh an ongoing activity which happens 365 days a year. We have our training team which keeps hand -holding and training our front -end employees. And the factor of attrition also plays a very important role because the way the data is evident, people who come in new 0 to 3 months kind of vintage will have a lower productivity, say 8 or 9 lakhs.

People who cross the 6 -month bracket move to an 18 -20 lakh kind of productivity. So our endeavour is always to train people on the product and hand -hold them to cross the 6 -month bracket. So it is a continuous activity and we will continue to do our best on that front.

Nidhesh: What is the incremental ticket size on housing loan for the quarter?

Rishi Anand: Housing loan incremental ticket size is 13 lakhs and non -housing stands at 8.2 lakhs.

Nidhesh: Just a data -keeping question on BT out rate and sourcing mix. What is the sourcing mix for the quarter? Channel mix and BT out rate for the quarter.

Rajesh Viswanathan: So BT out is, Nidhesh, this quarter w

e had a BT out of around 5. 9% which is an improvement compared to the full year as well as the fourth quarter. Fourth quarter is typically the very high quarter. But some steps we have also taken on the BT out . We have involved our data analytics team to give us some pre -emption on the BT outs which is tracked back to our call center and our specific retention team which we have created.

So this has also helped us in retaining some of our customers. So that has also helped in reducing the BT out. The second question that you had was the breakdown of disbursements in terms of this.

Rishi Anand: So the breakdown of the sourcing mix stands at broadly 45% comes from overall external channels. The corporate DSA contributes about 35% and the balance 55% is all in -house.

Nidhesh: Okay. Thank you, sir. That's it for my side.

Rishi Anand: Thank you, Nidhesh.

Moderator: Thank you. The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Hi, good evening. Just a couple of questions. If you can firstly break the Q1 disbursements into April, May, June and what is the run rate of July?

Rajesh Viswanathan: So to be very honest, that is a very micro number. We don't really give monthly numbers. The only thing I want to reassure you is it's business as usual from June onwards. We have seen July and June are trending well. So that is giving us enough confidence to claim that we will have 18%-20% disbursement growth leading to a 22 %-23% AUM growth. So whatever little impact of the circular which Rishi said, we would have seen the last of it by say 15th of June or June end.

Aadhar Housing Finance Limited

August 08, 2025

So June was a strong month and July again is a strong month without giving the numbers -- July has been a very strong month and June has been a fairly strong month.

Rishi Anand: And if I can add to it, from a pure board approved budget perspective, Rajiv, we are exceeding the numbers.

Rajiv Mehta: Got it. And in the initial commentary, you spoke about incremental yield being 12 bps-13 bps better than Q4. Now, is this a function of product mix or have you also taken product level, rate increases for the new originations? Are we pushing pricing incrementally on fresh loans in both the products?

Rishi Anand: So I would say no, not as we speak, we are not pushing incremental rates upward. I think it is to do slightly with the mix. So initially the mix was 73 -27 towards NHL. And in the quarter we are speaking about, it is to do with the mix and it is also to do with, I think broadly it is to do with the 150 branches that we launched in the previous year towards the deeper impact where the yields are slightly higher than what you get in metros.

Rajesh Viswanathan: So we had a 2 %-3% movement away from NHL specifically in this quarter. Another point to note that all the disbursements that we have done till 15th of June have got re -priced by 25 bps.

Whichever of this is floating has automatically got re -priced. So to that extent, the yield that we are carrying on this would have gone up by 25 bps.

Rajiv Mehta: And this PLR hike will even apply to non -housing loans, right?

Rajesh Viswanathan: Yes, very much. So as I explained, approximately 80% of our portfolio is floating. So it will apply on the 80% of the portfolio.

Rajiv Mehta: Got it. And just lastly, we can also elaborate on trends in employee attrition.

Rishi Anand: So employee attrition across the front end of the business side has been in the range of 28 %-29%. Obviously front end will be slightly higher and the supervisors are lower. And these are

much within the acceptable limit given that these are typically front end direct selling teams.

Rajiv Mehta: And just lastly, this last question, on this opex growth when I look at it on a Yo Y basis, it is also pretty moderate. I'm sure it is coming o

ut from the efficiencies, but what is the incremental headroom of getting more efficiencies from the current cost structure and hence further improving the opex to asset ratio?

Rajesh Viswanathan: Yes, I think on a lighter way, we should not give everything out in the Q1 itself. But having said that, we are always set on a cost to assets. We would like to drop it by about 10 bps-12 bps. 10 bps is what we would like to drop on 12 bps will be fine. And we have said that on a cost to income, this will look at in the range of about 75 -80, 75 bps to 100 bps in a full financial year. I think from investment perspective, I think it is as business as usual, as you would know our IT programs are fully invested, our analytics programs are fully invested.

Distribution is to a great extent fully invested. Whatever incremental investments that we are making in deeper impact offices are pretty asset light. So I don't think that we'll have a thing on Aadhar Housing Finance Limited

August 08, 2025

Page 11 of 17

opex . But having said that, at any point of time, if you feel that there are new avenues for growth and we have to invest for growth, considering that we have now growth capital also, I think we will not shy away from that. But overall, we would like to drop cost to income by about 75 bps to 100 bps in the current financial year.

Rishi Anand: And Rajiv, if I can come back on the attrition, now I have the final numbers. Overall attrition has been in the range of 35%. If I break it down, the regret attrition is where the company regrets the employee going is 18% only.

Rajiv Mehta: Okay. Thank you for answering all my questions and best of luck.

Rishi Anand: Thank you, Rajiv.

Moderator: Thank you. The next question is from the line of Kunal Garg from IIFL Securities. Please go ahead.

Kunal Garg: Yes, hi. Good evening, sir. Congratulations for the good set of numbers. So this one has two questions. So how much was the right top in the Q1 and in the financial '25? And the second question is, any reason for the fall in the Phase 3 provisioning in this quarter vis-à-vis last quarter?

Rajesh Viswanathan: Sorry, I didn't get the second part of the question. Fall in provisioning, you said provision cover?

Kunal Garg: Yes, provision cover, yes.

Rajesh Viswanathan: Yes, so as I explained in provision cover, typically what has happened is whatever flows into the new Stage 3 in a quarter would typically get provision in the range of about 24% to 26%. And that is the reason the provision cover would have come down from, I think, 41% to about 35%, 36%. It would be sort of range-bound in this range only about 34% to 37%. Probably in quarter ends or year ends, when we have a very good quarter in terms of NPA, this may go to the range of about 37%, 38%.

Kunal Garg: Okay, and how much was the write-off in the Q1?

Rajesh Viswanathan: Write-off in the year was in the range of about INR7 crores to INR9 crores.

Kunal Garg: INR7 crores to INR9 crores, okay. So are you following any model for this ECL equation? How many years of data you use for this ECL model?

Rajesh Viswanathan: How many years of data we use? We use five years of data. We use the past five years of data.

Kunal Garg: Past five years of data. Okay. Got it, sir. Thank you, sir. And best of luck.

Rajesh Viswanathan: Thank you, Kunal.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Aadhar Housing Finance Limited

August 08, 2025

Page 12 of 17

Shubhranshu Mishra: Hi, good afternoon. Two or three questions. The first one is around the top-up loan. What percentage of our AUM are the top-up loans? Second is again around the top-up loans. What would be the exact mechanism to establish the end-use of top-up loans? And third is around the growth that we guided for. So ball

park around 5 % to 7% would be inflationary growth in the ticket sizes. And there would be some degree of loss of working days in the entire fiscal year due to the first quarter days' loss. So how do we look at the decomposed growth guidance that's been given? Thank you.

Rishi Anand: So, Shubhranshu , if I can take the first two questions, and Rajesh will come and chip in the third

part. Top-up loans today stand at about close to 3% of our AUM, which is approximately about INR600 crores. What do we do in terms of end-use monitoring? Today we typically take an undertaking from the customer on where he's going to use the funds. But is there a real end-use monitoring mechanism? No, there is not because the ticket size is too small, in the range of about INR3 lakh to INR4 lakh-INR5 lakh.

And knowing our customer segment very well, creating a house itself is a one-in-a-lifetime kind of job for him. So taking a top-up on his existing house and using it for something else is slightly difficult in the segment that we operate. Having said that, when we talk about home loan and top-up together, we are regulated by LTV, Loan Against Value, from the regulator, which is typically, as an illustration, up to INR30 lakh.

Let's say it is 90% loan to value. Instead of using 90%, we use 85% loan-to-value. And when we do top-up, we do typically top-up on the original valuation rather than the new valuation. So we build our own risk mechanisms around top-ups. And as I told you, the number of top-ups, the value of top-ups is very small, which is close to about INR600 crores in the INR22,000 crores of book that we have today.

Shubhanshu Mishra: So it's fair to assess that it's not possible to assess the end-use of the top loan, right?

Rishi Anand: No, I will not say it is not possible to assess the end-use. For example, when we give fresh loan against property, which is equivalent to a top-up program, we monitor the end-use in terms of taking an Udyam certificate from self-employed people that the money is being utilized towards his factory or whatever job he does. So that is quite possible.

And for example, there are a certain percentage of consumers who are salaried in nature and take top-up loans. We would typically know that they would be taking for higher education of the child or a medical exigency at home. So from an undertaking perspective, it is monitored, rather controlled.

But from a pure end-use monitoring that I should go and give the payment in name of the third-party vendor, et cetera, that control is, if a regulator would advise us, we would want to build that as we go ahead.

Rajesh Viswanathan: In terms of the growth decomposition, I will try to answer to the best of my capability. I think if you look at home loans, our average ticket size for the whole year last year was ranging in the range of INR14 lakhs. And we would see probably something like an 8%-9% growth in terms

Aadhar Housing Finance Limited

August 08, 2025

Page 13 of 17

of inflation-led impact on that. But the more important thing is that we do on disbursement basis anywhere between 25%-26% on non-home loans.

And the non-home loans, if you look at the average ticket size, it has been quite static at around 8.5 lakhs. And so 75% will grow by something like 8%-9%, and the balance, 25%, 26%, which is non-home loan, in that sense will be static. The balance growth, which we are guiding of 18%-20%, has to come from our growth-added offices and improved productivity of our front-end staff.

Shubhanshu Mishra: Understood. And if I can just squeeze in one last question, what is our strategy of opening a new branch, whether in an established geography, established state, or a new state we are entering?

What are the various data points and checks that we do in order to open up a branch?

Rishi Anand: Primarily, as a branch, we do two things. One

is we have been already available in most of the

states for a good five years plus. Our teams there or the senior team members there would typically pull out locations saying that these are potential locations. The list of those potential locations in the beginning of the year, which is typically the budgeting time internally, would move on to the data analytics team.

The data analytics team would typically map it against potential across the financial services business in that location. They would map it against delinquencies. They would map it against credit behavior. That is one. Second, it would go to the technical team to map the property types. What are the kind of property segments that are available? What are the kind of properties that we would be doing? Do we have potential in our segment?

These are three aspects from where the data comes, which is the business team, the technical team. When I say technical team, it is the property valuation team, which is our in-house team, and the data analytics team. All the three are clubbed together. That's how we typically choose a new location. Now, when it comes to existing locations where we are already available to illustrate maybe an example of Jaipur. We are in Jaipur.

We typically have a strategy, a broad strategy, nothing hard and fast. Any location where a branch reaches close to about INR5 crores of incremental business, that's the time we look at opportunity of opening another branch. For example, in Jaipur today, we have six branches, and we are wanting to open the seventh one.

In Delhi, we have eight branches. In Hyderabad, we have seven branches, and so on and so forth.

In existing locations, while we look at data analytics, but it is more from a perspective of, we know the potential, we know the market, can we expand within the state in various, for example, east, west, north, south. That's how we do it.

Rajesh Viswanathan: And just to talk about what Rishi has said about the new branches, three points he told how we decided about the new branches. Largely, the deepening strategy. The strategy has more of a deepening in those states where huge potential is there, and my branches are a little far away from those locations.

Aadhar Housing Finance Limited

August 08, 2025

Page 14 of 17

That's why after analyzing from data science, business team, and the potential, we will open the branches in those centers.

Shubhranshu Mishra: Understood. This was very helpful. Thank you.

Rajesh Viswanathan: Thank you.

Moderator: Thank you. The next question is from the line of Nischint from Kotak Institutional Equities. Please go ahead.

Nischint: Hi. Thanks for taking my question. I hope I'm audible. Can you share the state-wide breakup of your AUM? I think you discontinued that slide from this quarter. I'm not sure if I understood?

Rishi Anand: No worries. I'll give it to you, Nischint. Okay. Broadly, if I can pick up states and give you the AUM breakdown, Maharashtra contributes 14% of my AUM. Uttar Pradesh contributes 13.5%.

Rajasthan, 13.1%. Gujarat, 11%. Madhya Pradesh, 9.7%. And so on and so forth. For example, Tamil Nadu, 8.5%. AP and Telangana put together about 11%. And that's how it moves.

Nischint: Got it. Basically, not much has changed is what we're getting?

Rajesh Viswanathan: Nischint, as we have explained right through the last two, three years, our aim and strategy is to ensure our distribution strategy in terms of number of branches as well as our AUM and disbursement should not be more than 15% in any state. And I think we are managing to hold that very well.

Nischint: But the broad view is that these two states will be on top or probably Rajasthan, Gujarat, UP and Maharashtra would ...

Rajesh Viswanathan: UP and Maharashtra will be on top because as per demand scenario of the country, Maharashtra in terms of value, UP in terms of number is always

ways highest and will continue to be the highest.

And you have rightly said that our strategy remains the same. Five states used to contribute 62% last year. This year they are contributing 61%. That shows that certain states which were contributing less, they are now contributing more because of our deepening strategy.

Nischint: Got it. And south would, I guess, the expansion in south would be sort of a little more gradual?

Rajesh Viswanathan: Yes. AP Telangana numbers, I just told you, we are close to about 11% already. Tamil Nadu, we are expanding. In fact, we created two zones in Tamil Nadu now. Tamil Nadu numbers, I will try and give. Already 9% there. So we are very, very focused on the south location. If you see that in one or two, AUM will increase in AP Telangana and Tamil Nadu going forward.

Rishi Anand: Maybe I did a point to add there. One is that we are very sure of, in terms of APTL, we are very confident and sure. In fact, one of the five states that I spoke about in our deeper impact strategy happens to be AP Telangana.

Nischint: Got it. Just a little bit of outlook on spreads. And I'm not sure whether you gave an outlook over there. But we are looking at, from the yield side, rate hike, increase in share of non-mortgages,

Aadhar Housing Finance Limited

August 08, 2025

Page 15 of 17

as in non-home loans. So how do we really see the yields and cost of funding maybe panning out in the fourth quarter of the year?

Rajesh Viswanathan: I'll stick to spreads, Nischint, if you don't mind. I think 6% now. I think as we end the year, we should be broadly in the range of about 5.8% to 5.9% exit spreads. And as Rishi has been saying over the, and we have been saying over the last two years, the company has always demonstrated in the past that we are capable of working in a spread range of about 5.6% to 5.75%.

And over a two-year phenomenon or two-and-a-half-year phenomenon, we may hit that. But currently, one year, as we exit the year, we should be looking in the range of about 5.85% to 5.90% and probably end up something in the middle of that.

Rishi Anand: And we're very confident of delivering upward of 5.7% even in the two-year bracket. That's it.

Nischint: So then essentially, what you're trying to say is that the cost of borrowing could kind of maybe between the first and the fourth quarter go up around 30%, 40%?

Rajesh Viswanathan: To a certain extent, we would see the, as Rishi said, incremental cost of funds, if you look at it, we would see anywhere an increase of about 20 bps to 25 bps which would come in. We would

obviously try to, because we are yet unsure of the way NHB is going to lend to us. A big combination of the entire cost of fund proportion.

And if you remember, the funding that we took from NHB, about 50% of the funding is to come from the AHF scheme, which obviously comes to you at a lower rate of COF. The spreads expand but the COF reduces. But we are yet unsure of how much the AHF will be granted in the current year.

And as Rishi had talked about, there are various discussions happening of whether any blended rates could be offered at the NHB level. So we'll have to wait it out for that. But having said that, we have in our internal calculations looked at a 25 bps to 25 bps, increase. And that was also one of the reasons that we took a 25 bps increase in the RPLR in the month of June.

Nischint: And NHB funding, if I can extend it, NHB funding, that's something to do with NHB, right? Not with our ability to sort of generate the..

Rajesh Viswanathan: No, no. It's completely what is to be done with at NHB's level. And we are more than happy to take whatever comes our way in terms of -- because it is linked back to EWS and LIG. And as you would know, a significant portion of our disbursements and AUM is anyhow EWS, LIG. 70% we are EWS, LIG.

Nischint: Sure. Just two final questions.

On the banking side, how much, what proportion of this 52% is linked to MCLR versus EBLR? And just one final one. If I have to look at coverage on stage one loans, do you really differentiate between home loans and other mortgages?

Rajesh Viswanathan: We do differentiate between home loans and other mortgages. I will just give you the percentage, but I will just pull out the number which you asked first of MCLR and non-MCLR. 30% of our Aadhar Housing Finance Limited

August 08, 2025

Page 16 of 17

resets happen on a one-year MCLR. 37% happens on a six-month MCLR. And three months and others are approximately 35%.

Nischint: Okay. Got it. And just on the ECL coverage.

Rajesh Viswanathan: In terms of Stage 1, HL would be in the range of, just a second, I'm just pulling it out. Stage 1, 40 bps would be NHL and 27 bps would be HL.

Nischint: But your coverage on stage one is 76, right?

Rajesh Viswanathan: No, no. I'm talking about the provision that we carry, 0.27% and 0.4%.

Nischint: No, no. I'm just saying that as a percentage, at a company level, on Stage 1, your coverage is 76 bps. So if I really try to split it between the two verticals, I mean, ideally, I would expect, let's say, home loans to be slightly lower and other mortgages to be slightly higher?

Rajesh Viswanathan: I wouldn't have this data point exactly. Probably we can circle back to you if you don't mind, Nischint, on that one.

Nischint: Yes, sure. No, just one small thing. The simple reason is that your growth in other mortgages has gone up, but then your coverage on ECL loans over the last four quarters on Stage 1 has actually kind of come down from 94 bps to 76 bps. And this is stage one, so it's probably nothing to do with the asset quality trends.

Rajesh Viswanathan: Absolutely. I'll just check it out. I'll just come back to you on that one, if you don't mind.

Nischint: Perfect. Thank you very much and all the best.

Rajesh Viswanathan: Thank you, Nischint.

Moderator: Thank you. The next question is from the line of Monshree Soni from MK Ventures. Please go ahead.

Monshree Soni: Yes, thank you for taking my question. I wanted to know from a long-term perspective what is our AUM growth guidance for the next three years? And secondly, could you also please break down your portfolio yields by home loans and non-home loans?

Rishi Anand: Yes. So from a pure guidance perspective, this year we are anyway speaking about 22%, 23% growth on AUM. The way we look at it, you know, three years hence, which is year three from now, we should be in the range of about 20%, 21% AUM growth. And then you wanted a breakdown on the yield between, incremental yield, AUM yield between HL and non-HL. HL stands at 13.06% and HL stands at 16.9%. Okay.

Monshree Soni: And so our AUM growth would be 21% to 22%. What would be the co-lending mix? Is it going to be 20% or?

Aadhar Housing Finance Limited

August 08, 2025

Page 17 of 17

Rajesh Viswanathan: That's right. I think on a direct assignment piece, we would be around 20%. Co-lending is still in its nascent stage. We only do it with one bank. And what is a fresh assignment that you will do in a year, which will typically be in the range of about 8% to 9% of our opening book.

Rishi Anand: So at least in the current scenario, DA plays a very important role in our liability mix and strategy. Co-lending, we are still, the industry is still observing how it will pan out and we will move with the industry trend.

Monshree Soni: Okay, got it. That's it. Thank you.

Rishi Anand: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we take this as the last question. I would now like to hand the conference over to the management for the closing remarks.

Rajesh Viswanathan: I think, thanks a lot for all of you all to join in on this call, on this evening. I know it's a busy,

busy season for all of you all in terms of results. I take the opportunity on behalf of the entire management, Mr. Deo Shankar Tripathi, Rishi, myself and Sanjay and the entire team to thank all the participants and for the lively questions that you asked. And I hope we have managed to answer all the questions and hope to meet you all soon with our quarter two results. Thank you very much. Thank you so much, everyone.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

Date: May 12, 2025

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
National Stock Exchange of India Limited
Listing Dept., Exchange Plaza, 5th Floor, Plot No.
C/1, G. Block, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub:- Transcript of the Earnings Conference Call for the Financial Year ended March 31, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated April 25, 2025 please find enclosed the transcript of the Earnings Conference Call on the Financial performance of the Company for the Financial Year ended March 31, 2025 held on Tuesday, May 06, 2025:

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please.

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
Encl.: As above

CC:- Debenture Trustees-
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

Page 1 of 17

"Aadhar Housing Finance Limited Q4 & FY'25 Analyst
Conference Call "

May 06, 2025

MANAGEMENT : MR. DEO SHANKAR TRIPATHI - EXECUTIVE VICE
CHAIRMAN

MR. RISHI ANAND - MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER

MR. RAJESH VISWANATHAN - CHIEF FINANCIAL
OFFICER

MR. SANJAY MOOLCHANDANI - HEAD (FINANCIAL
PLANNING)

MODERATORS : MR. AJIT KUMAR - JM FINANCIAL

Aadhar Housing Finance Limited
May 06, 2025

Page 2 of 17

Moderator : Ladies and gentlemen, good day, and welcome to A adhar Housing Finance Limited Q4 & FY'25 Analyst Conference Call hosted by JM Financial Institutional Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on the touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ajit Kumar from JM Financial. Thank you, and over to you, sir.

Ajit Kumar: Thanks, Rutuja . Good evening, everyone. On behalf of JM Financial, I welcome everyone to 4Q FY'25 Earnings Conference Call of Aadhar Housing Finance Limited.

From the Management Team , we have with us today Mr. Deo Shankar Tripathi – Executive Vice Chairman; Mr. Rishi Anand – MD & CEO ; Mr. Rajesh Viswanathan – Chief Financial Officer; and Mr. Sanjay M oolchandani – Head, Financial Planning.

We will start with opening remarks, and then we will open the floor for Q&A. I'll now hand over the call to MD & CEO, sir, for his opening remarks. Over to you, sir.

Rishi Anand: Thank you so much, Ajit. A very good evening, ladies, and gentlemen. On behalf of Aadhar Housing Finance, I extend a very warm welcome to all of you.

This year has been a landmark in our journey defined by strong performance. We are proud to announce that our AUM has reached INR 25,531 crores, representing a remarkable year -on-year growth of 21%. This outstanding milestone not only reflects our continue d momentum, but also reaffirms our leadership position in the Affordable Housing Finance sector. We have consistently delivered a strong performance in every quarter while maintaining our position in the Affordable Housing Finance industry. This sector has seen substantial growth this year with strong support from government and rise in demand for affordable housing. We believe affordable housing will continue to be the cornerstone of India's housing finance industry.

Moving on to Aadhar's performance for the Quarter and for the Financial Year ended 2025 :

We clocked an AUM of INR 2 5,531 crores , crossing a key milestone of INR 25,000 crores, a significant growth of 21% Y OY. We continue to maintain our position as India's leading low - income housing finance provider. Disbursements stood strong at INR 8 ,192 crores, a growth of 16% YOY .

Quarter 4 disbursement at INR 2,556 crores has shown a growth of 18% YOY and growth of 21% YOY in Quarter 4 PAT at INR 245 crores . While maintaining this growth momentum, we Aadhar Housing Finance Limited

May 06, 2025

Page 3 of 17

continue to focus on maintaining our book quality. Our portfolio continues to be entirely focused on retail secured loans with nil exposures to corporates and developers.

Our GNPA has declined by 3 bps to 1.05% on Y OY basis, supported by a stable collection efficiency of 100% plus. Our average loan -to-value ratio is at 59%, majorly catering to the salaried segment constituting 56% of our portfolio with an average ticket size of INR 10 lakhs. Home loans make up a substantial majority of the AUM, accounting for 74%, while non -home loans is the remaining 26% .

Our deeper impact strategy has been instrumental in driving both meaningful outreach and operational efficiency. By focusing on high potential underserved regions, particularly smaller districts, and Taluk as, we have been able to scale our presence effectively while maintaining a lean operational structure. This has translated in aligning our long -term objectives of sustainable growth and prudent resource allocation.

As highlighted in the last quarter, the strategy has not only strengthened our foothold in these target segments, but also laid a strong foundation for

our future expansion.

On geographical front – our geographical footprint has shown substantial growth over the past year, now spanning to 21 states and covering 545 districts, supported by a robust network of more than 580 branches. In FY'25, we added 57 new branches, which has significantly enhanced our capacity to serve a wider customer base, which has now reached 2.99 lakh live customers. Another milestone we have achieved this quarter is our entry to the Northeast with its first branch in Guwahati, marking a pivotal step in our mission to provide homeownership accessible to the underserved communities. Our expansion to Guwahati aligns with NHB's vision of financial inclusion and Government's "Housing for All" mission.

Our portfolio remains well diversified with no single state accounting for more than 14% of our total AUM. This balanced exposure underscores our prudent risk management approach while supporting our strategic goal of sustainable and inclusive growth.

On technology front – we have led from start by leveraging our TCS -enabled core system to fully digitize our processes. We have implemented advanced data science solutions to streamline operations end -to-end. Over the past 4 years, we have focused on expanding data insights across teams, starting with basic reporting and evolving towards advanced analytical support for better decision -making.

With this strong foundation in place, we are now moving towards deeper insights through AI and machine learning, unlocking smarter, more transformative outcomes. This shift will further enhance data quality, governance, and compliance.

On the liability side, we continue to focus on our diversification strategy. And in the quarter 4, we have explored ECB as an option. Rajesh will be speaking a little more about it.

Aadhar Housing Finance Limited

May 06, 2025

Page 4 of 17

The Affordable Housing Finance sector has witnessed a strong growth momentum in the recent quarters attributed to urbanization and rising demand for housing loans, along with significant push given by the government. Union Budget 2025 provides a strong boost to the Affordable Housing Finance sector through measures that directly benefit institutions like us. Key initiatives such as reduced personal income tax rate, enhanced funding for Pradhan Mantri Awas Yojana , revival of the interest rate subsidy scheme, credit guarantee program and allocation to the SWAMIH fund are designed to increase home loan accessibility and affordability for low- and middle -income groups.

To conclude – I would like to emphasize that Aadhar Housing Finance stands well positioned to continue its growth journey backed by a strong operational foundation, expanding footprint and robust technology infrastructure. With supportive government policies, rising demand for affordable housing and our commitment to the financial inclusion, we are confident in sustaining our leadership in the sector. As we move forward, we remain focused on delivering value to our stakeholders while deepening our impact in underserved communities.

I would now like to hand over to our CFO, Rajesh Viswanathan, to take you through the financial performance of the quarter and the year.

Rajesh Viswanathan: Thank you, Rishi, and good evening, everyone.

I would like to take you through the Financial Performance of Q4 FY'25 and Full Year 2025 :

As we exited FY'25, our AUM has grown by 21% on a YOY basis. And as Rishi said, we have crossed the mark of INR 25,000 crores, and we are the first low -income housing finance company to do so. Our overall borrowings as at 31st of March 2025 stood at INR 16,388 crores compared to INR 13,960 crores as at 31st March '24.

The borrowings has grown by 17% on a YOY basis. The borrowing mix as at 31st March '25 is 53% from banks. NHB share is 23% , NCD share is 21%. And as Rishi said, we have done our first ECB issuance and the ECB share is 3% .

The

ECB that we did was for US \$50 million. We did it in Quarter 4 FY'25 and this is a fully hedged transaction that we have carried out. This is carried out at a SOFR plus 156 bps and the full all -in hedged cost comes in around 8.1%.

Our incremental borrowings for FY'25 stood at INR 5,024 crores. We have around 43 borrowing relationships among national housing bank, banks, housing finance banks, mutual funds and DFIs. We have drawn INR 1,100 crores from NHB in FY'25, of which the affordable housing fund share is around 16%. The blended cost at which the INR 1,100 crores was borrowed was around 7.9% . The overall exit cost of funds at FY'25 stood at 8.2%.

Aadhar Housing Finance Limited

May 06, 2025

Page 5 of 17

In terms of fixed and floating nature, 79% of our borrowings is floating and 76% of our assets are floating. Undrawn sanctions as at 31st March 2025 is INR 891 crores.

Liquidity , as at the end of the year stood at INR 2,200 crores, which is about 10.7% of the loan

book. The portfolio yield for the full year as we exited was about 13.9%.

In terms of spreads as we exited, we have exited at a spread of 5.7% is what we had also highlighted in our previous calls.

Our cost -to-income ratio for FY'25 stood at 36.4% as compared to 37.5% in FY'24. As we had mentioned in our earlier calls, we were looking at reducing our cost to income in the full year on 80 to 100 bps, and we have shown improvement of 104 bps. Further, as you would note, there is a movement in the overall OPEX in Quarter 4 as compared to Quarter 3. But as we have indicated in prior calls, what we have done is we have tried to spread OPEX to a great extent among Quarter 3 and Quarter 4 to ensure that there is no lumping up in Quarter 4. This was, as you would remember, had happened in last year Quarter 4.

Compared to that, in this year, the OPEX, which is basically the contest that we run from periods of November to March is spread over 2 quarters. GNPA as at 31st of March is 1.05%, and this is one of the best performances in terms of GNPA in the last 3 to 4 years that the company has demonstrated. There is an improvement of 3 bps of GNPA on an AUM basis.

The provision coverage ratio on Stage -3 currently stands at 34.5%. Capital adequacy ratio for FY'25 is 44.1% and Tier 1 and Tier 2 is 0.5%. For FY'25, the overall full year PAT came in at INR 912 crores compared to INR 750 crores in FY'24. Overall growth is 22%. PAT for Quarter 4 FY'25 stood at INR 245 crores versus INR 202 crores in Quarter 4 FY'24, which is a growth of 21% on a Y OY basis. We are focusing on maintaining a healthy book and delivering consistent performance on a quarterly basis.

With that, we can open up for questions.

Moderator: Thank you very much. We would now like to open the question -and-answer session. The first question is from the line of Renish from ICICI. Please go ahead.

Renish: Hi sir. Congrats on a good set of numbers. Just 2 things. One on the asset yields. So typically, in a falling rate cycle, there are 2 -3 moving parts. One of those is the BT-out rate then the PLR change and also the competitive pressure because generally the prime housing loans will get repriced lower and lower in line with the repo rate cut. So if we look at our yields in Q4 exit, how do you see yields are settling, let's say, over the next 2 to 3 quarters, considering all these 2-3 moving parts?

Rajesh Viswanathan: I think, Renish, if you look at our overall book yields, it has been quite consistent on a quarterly basis for the last 3 quarters. And as we had said, the full year yields are around 30 bps lower

Aadhar Housing Finance Limited

May 06, 2025

Page 6 of 17

than the book yield. So in quarter 4 also, we have been quite good at managing to get incremental yields of around 13.5% to 13.55%, which is quite similar to what we had in Quarter 3. Yes, BT, as you correctly said, some of the prime housing finance companies

obviously do a lot of

aggressive BT-in Quarter 4. And the BT-out rate as we exited the year, we had a 6.5% BT-out, which was a drop from 6.9% in Quarter 4 of last financial year. So to that extent, some of the steps that we had taken on BT-out is something that has helped us to stem the BT-out to by about 50 bps on a quarter -on-quarter basis.

Renish: But I mean, let's say, in a scenario where there could be higher BT-out rates going ahead and in order to sustain 20% plus growth obviously we have to get into the price war. So in that scenario, I mean how comfortable or confident we are that we will be able to sustain this yield of 13.5.

Rishi Anand: So Renish, I can come in here. Rishi here. So Renish, as Rajesh said, we have taken multiple steps already with our central retention team in place, multiple other measures with respect to data analytics pooling in into the retention team. So all those measures have been taken and we can see initial results at 6.9% to closer to 7% falling to about 6.5%. Vision is to take it to a annualized number of 6%. What we have also interestingly done is and you are right, in the way you are looking at it, what we have done is to protect ourselves, we have now divided the country into something and that is effective this financial year. But I don't mind speaking about it right now into urban and emerging locations. So the top 15 cities which will contribute about 100 branches of ours is now urban which contributes to my topline and in emerging we have 3 categories of branches which is typically about 400 odd branches, so emerging A, B and C. And the strategy is for urban and emerging A,B, C for all 4 kinds of different location is completely different. When I say strategy I mean the ticket size, I mean the yield, I mean the BT-out strategy, the branch strategies, all the strategies for every branch category is different. Illustratively let us say emerging C location on which will be typically a Tier 4, Tier 5 location. I have a maximum ticket size cap, I have a BT-out cap, I have incremental yields which will be much higher than what an urban and emerging will be given to me. So as we move ahead, I think this strategy of ours which is going to play a big role in defining how Aadhar is going to maintain its current levels of spreads or even BT-out for that matter.

Renish: Got it. Rishi sir, just a request, would you be able to share the yield difference, let us say between urban and emerging, A, B, C, I mean, there will be 40 -50 basis points of rate difference between

each location or how is it?

Rishi Anand: While this is, as I told you it is 1st April, but I will indicatively give you the differential in yields overall. You can just bear with me for a second.

Rajesh Viswanathan: Renish, we will come back to you. We will just pull it and we will come back to you in the call and we can take up the next questions, if you don't mind?

Renish: Okay, sir. So sir, second question, again from the asset quality. So obviously this quarter we have seen a very sharp recovery. But when we look at the Stage -2 assets, that has been steadily

Aadhar Housing Finance Limited

May 06, 2025

Page 7 of 17

increasing with it stacking at 4% as on March '25 versus 3.8% December quarter and 3.6% last quarter last year. So is there any specific reason or this is just a quarterly movement here and there?

Rajesh Viswanathan: I think, honestly Renish, we should not read too much into Stage -2. Honestly, as a company we have been a company which shows a lower NPA and higher Stage -2 always. There is also one more thing which I would want to share because, included in Stage -2 is some of our assets which were one-time restructuring we had done at the time of COVID. So on this basis, what you call it, conservative basis, we provide a provision of 10% and we also show them at Stage -2 though they are Stage -1 assets. So the impact of that is anywh

re between 0.6% and 0.7%. So of the total Stage -2 that you are seeing, 4% about 0.6% to 0.7% will pertain to assets which are actually Stage -1, but we show it under Stage -2 because we carry a Stage -2 provision as per RBI mandate of 10%. It is about 4 year since restructuring has happened on account of OTR. So probably somewhere in FY'26 we may take a view or a call of moving this back into Stage -1.

Renish: Got it. But all these accounts are regularly paying accounts?

Rajesh Viswanathan: Yes, this 0.6% to 0.7% which I have mentioned are actually Stage -1 in terms of actual DPD, but I classify it under Stage -2 for the purpose of reporting.

Rishi Anand: So Renish, if I can now, I have the data on the yield that you have required. If I can indicatively tell you, your urban location yield will be in the range of 12%. Your emerging A,B,C as I told you will be in the range of 14% to 16%. And that is how the combine 13.5 %-13.6% yield is.

Rajesh Viswanathan: And as Rishi said, the reason of us going on emerging A, B and C is primarily to ensure that our next year yields also fall into the same range as we exited in the current financial year. So we would like to maintain yields at similar levels, may be minus 5 to 6 basis points, but otherwise we would like to maintain at similar levels.

Renish: Got it. This is actually very helpful, and this is what sort of we wanted to get a sense of yields. Thank you very much and best of luck.

Rishi Anand: Thank you, Renish.

Moderator: Thank you. The next question is from the line of Yash from Citigrou p. Please go ahead.

Yash: Hi sir, Thanks for taking the question. Sir, on the borrowing side of the almost 79% -80% of the floating rate borrowings, can we get the split on like what's the benchmark they are linked to? And what could be the quantum of improvement, which we can see in sort of 1Q of FY'26?

Rajesh Viswanathan: So if you look at it on the total bank borrowings or even on the total borrowings, if you see, about 18% of them will be linked to short-term rates like repo or T bill s. So for example, let's take the bank borrowing, out of the total bank borrowing, approximately 18% is linked to either

Aadhar Housing Finance Limited

May 06, 2025

Page 8 of 17

repos or T bills, where obviously, the pass on will be almost immediate. We are, for example, out of the total borrowings, 1-year MC LR is 20% and 6-month MCLR would be 30% and 3 months will be a further 30%. So in that sense, it is widely distributed and only about 18% is where we get immediate benefit. The bigger benefit will obviously start coming in when the MCLR starts moving. And what we have seen is that 2 rate cuts have happened, and we have not seen much movement in the MCLR. So honestly, I do not see MCLR moving the needle so much at the end of 1Q. Maybe in this in Quarter 2 that we will see some movement in MCLR, which will happen as a pass back to us. Maybe MCLR headline of the banks may change. But by the time it gets passed on to us, depending on whether we come into a 3-, 6- or 12-month MCLR resets, probably we see it happening somewhere in Quarter 2. As far as the interest rate drops are concerned, I think a lot of public experts have spoken on that. And as and when the drop happens, approximately 18% benefit comes immediately to us. In terms of fixed and floating, as I said, approximately 74%, 75% of my assets are also floating. and we calculate RPLR on a continual basis. And as and when the RPLR needs to get passed on, as per the mandate of the ALCO and the Board, we will pass it on to the customers. So we don't see much of a benefit on any movement in interest rate because our borrowing floating and our asset floating are more or less on a matched basis.

Yash: Okay. So basically from 2Q onwards, you would see some meaningful drop in borrowings, but it might get offset with yields?

Rajesh Viswanathan: And yes, to be very honest

, you may have a lag effect before we get a benefit and we may pass it on. But beyond that, I don't think neither we are building anything internally also on that.

Yash: Got it. And sir, second, on the asset quality more from the MFI exposure. I believe in the last call also, we have indicated around 9,000 -10,000 customers with MFI overlap. And now with the Tamil Nadu thing coming in, so any risk to the customers there? I believe we have around 56 or 57 branches in there. So anything incremental from the states we could see given the MFI exposure?

Rishi Anand: Yes, you're right. Our numbers were about 9,000 -odd customers, 9,096 customers who had MFI exposure. That number has dropped to about 7,077 customers now. So loans have been foreclosed. As regards to Tamil Nadu, I think it is too early to read what is going to happen. Yes, we have branches. As we speak today, things are perfectly okay. Our recovery efforts wherever applicable are completely online. The complete support from the government machinery like the DMs or the police wherever assistance required has been coming in even as close as today morning. So we don't see any issue happening as we move ahead.

Yash: Got it. That is it sir from my side. Thank you so much.

Rishi Anand: Thank you, Yash.

Aadhar Housing Finance Limited

May 06, 2025

Page 9 of 17

Moderator: Thank you. The next question is from the line of Sonal from Asian Market Securities. Please go ahead.

Sonal: Thanks for the opportunity, sir and congrats on the quarter. Just I had one question on the yields. So when we look at it as a percentage of average assets, it has come down to 12.8%. So there is some drop. But the reported numbers, they stand pretty much similar at 13.9%. So what kind of explains this difference?

Rajesh Viswanathan: I think to be very honest, I would want to see the number that you're quoting 12.8%, I wouldn't be able to. So if we can take that offline and you can probably share it with us, and we'll be more than happy to help you on that.

Sonal: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Abhishek Kumar Jain from AlfAccurate. Please go ahead.

Abhishek Kumar Jain: Thanks for opportunity and congrats for strong set of numbers. Sir, in disbursement and AUM side what is your growth target for FY'26?

Rishi Anand: So Abhishek, in terms of growth targets or guidance we will maintain our AUM guidance of 20%-21%, disbursement growth of about 18% -19% and a PAT of about 20% -21%. And on the NPA front we believe that we should be around 1.10% to 1.15%.

Rajesh Viswanathan: That's right.

Abhishek Kumar Jain: And from where you are targeting this much of growth, basically on the emerging market or in your existing ?

Rishi Anand: So our primary growth is going to come from emerging markets. As I explained during the previous call er, emerging is going to contribute higher composition of our growth.

Abhishek Kumar Jain: And what is the current urban versus rural mix of your loan?

Rishi Anand: We don't do rural , Abhishek, just to clarify. We do only urban. Urban and emerging split , I can tell you is about 55% current is from the urban locations and the balance is from the emerging locations. And we would look at maintaining 55% should eventually in a couple of years should go to about from emerging and 45% from urban , so it will reverse as we move ahead.

Abhishek Kumar Jain: And how is the demand situation , urban versus rural at this point of time in affordable housing?

Rishi Anand: So demand, whether it is urban or whether it is emerging, not rural again, it is more or less similar. It is all about how do we reach there, where is competition playing a larger role? For

Aadhar Housing Finance Limited

May 06, 2025

Page 10 of 17

example, in urban locations, competitors will play a larger role. And the moment you move to emerging A , B, C kind of locations that I

just explained, the competitive intensity goes down.

Hence, the probability of higher conversion ratios applies in emerging locations.

Abhishek Kumar Jain: Okay, sir. Thank you. That is all from my side.

Rishi Anand: Most welcome.

Moderator: Thank you. The next question is from the line of Siraj Khan from Ascendant Capital . Please go ahead.

Siraj Khan: Thanks for the opportunity and good set of numbers. So sir, first question is with regards to the credit cost. Credit cost for Q4 was elevated. I mean, compared YoY . last year Q4, we had a recovery, negative number. This year, we have a positive number . So I wanted to know, are there any write -offs, elevated write -offs, technical write -offs of that sort?

Rajesh Viswanathan: No. This is not on account of write -off as it was asked by one of the analysts, this is primarily because of the movement of Stage -2, because Stage -2, if you look at it on a year -on-year basis would have moved by about 30 bps-40 bps . And second is basically your standard asset provision would have increased because the AUM increases significantly in Quarter 4. Last year, the Stage -2 improvement was fairly significant in Quarter 4 versus Quarter 3. That is why there was a reversal of provision in Quarter 4. This year, that much benefit didn't flow through in terms of Stage -2 improvement. And that is why we are seeing a small credit cost of about INR 5 crores, INR 6 crores going into the P&L

Siraj Khan: Okay. So in Q4, we will not have any write -offs basically?

Rajesh Viswanathan: There will be standard write -offs, which, for example, if you sell an asset, for example, if there's a haircut of 10% on an asset sale, that 10% write -offs will happen. We have not taken any additional provisional write -off or prudential write -off, which we take. Normally, we take prudential write -off once a year. We have not done anything of that sort in Quarter 4.

Siraj Khan: Okay. So I want that number. So what was the Q4 write -off and FY'25 write -off?

Rajesh Viswanathan: This would be approximately INR 8 crores to INR 9 crores in Quarter 4.

Siraj Khan: Full year?

Rajesh Viswanathan: INR 32 crores would be the full year.

Siraj Khan: Okay. That's for the asset quality. One more question, another I had was on the sourcing, specifically in the Southern region. So many of the peers that have seen that is there in the Southern market, they have seen that Tamil Nadu market has seen a little bit of a slowdown.

Aadhar Housing Finance Limited

May 06, 2025

Page 11 of 17

Karnataka is also facing some issues. Even Madhya Pradesh, there were some NBFCs showing that there is some tremors of very, very low level this thing, there is some asset quality issues. Are we seeing anything in these markets, Madhya Pradesh, or maybe Southern area? Anywhere in across of our states, we see some asset quality issues, maybe early signs in 30 DPD, 60 DPDs, anything of that sort?

Rishi Anand: So since you mentioned Siraj, certain states, Tamil Nadu, we are not seeing any issue as I see the numbers, Karnataka, no issue. Andhra Pradesh on a growth trajectory, Tamil Nadu on a growth trajectory. The states , and if you recall in the last quarter also, I mentioned the states, which historically have been a poor credit behavior, continue to be poor credit behavior, which is typically east of the country. You have Kerala. They continue to be bad. Madhya Pradesh, again, a growth trajectory, complete growth trajectory, no early indications from any of the states that you mentioned, neither in bouncing any negative indications nor in 1 plus nor in NPA.

Siraj Khan: Okay. And finally, on OPEX . So year-on-year cost to income has also come down. So what are the drivers that we will get this further lower? What is the target with respect to both cost to income and OPEX , OPEX to AUM?

Rajesh Viswanathan: I think when we reduce 120 bps of cost to income, I

think I have said that we want to reduce

about 150 bps in 2 years, to be very honest. And we have already done about 120 bps in year 1. I think to be very honest, next year, we will have around 30 to 50 bps sort of a drop in cost to income. The driver over here predominantly is that majority of our expansion has already happened. And the incremental expansions that we do over 50, 60 branches expansion that we do, about 60%, 65% of the branch expansion will happen in emerging B and C, which are smaller offices. and where the cost of OPEX of setting up these offices are predominantly lower and the remaining 30%, 35% will happen in the bigger offices. And the second thing is, obviously, since we have invested significantly 3, 4 years back in data analytics as well as in technology, the benefit of that is seen right across the company, whether it is sourcing, whether it is credit, the number of files that they can handle, technical in terms of turnaround time. So basically, the sheer productivity, not only of the sales guys, but also of the non -sales guys has stepped up. So that is the reason for the incremental Rs. 100 of business, the OPEX that I had to probably put in 3 years ago is not the same. Obviously, we are seeing benefits of productivity. And that is a driver that we constantly work on, whether it is frontline sales productivity or productivity right across all the business support functions.

Siraj Khan: Understood. Just a few statistics if you could provide what was the log in to sanction and the sanction to disbursement ratio for the year and the files per officer.

Rishi Anand: Files per officer or volume per officer ?

Siraj Khan: Yes.

Aadhar Housing Finance Limited

May 06, 2025

Page 12 of 17

Rishi Anand: The third number I will try and pick up. But login to sanction was 60% and sanction to disbursement was 62%.

Siraj Khan: Okay. And the corresponding last year number if that is readily available?

Rishi Anand: The previous year, it was the log -in to sanction was 61.8% in FY'24. In FY'25, it is 60, sanction to disbursement was 62.5 and in '25, it is 62. So more or less similar in terms of numbers.

Siraj Khan: And the volume per employee, the officer, file number, if possible?

Rishi Anand: For the sales, right?

Siraj Khan: Yes.

Rishi Anand: For the sales, it is 1.15 per sales officer. This is for the frontline sales.

Siraj Khan: Yes, understood. ROs you are speaking about, right?

Rishi Anand: Yes, that's right. You got it right.

Siraj Khan: Thank you.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh: Thanks for the opportunity. On credit rating, how is the conversation with the credit rating agencies on possibility of credit rating upgrade? That is my first question. And then I have some data keeping questions.

Rishi Anand: Okay. So credit rating, as also informed, Nidhesh, earlier, we are already engaged with both the credit rating agencies. And I don't foresee that this rating upgrade should be prolonged for too long, while obviously, it is a decision that will be taken at their management level or the rating committee level. But we have had good rounds of meetings even as last as last 15 days. So that's the update.

Nidhesh: Sure. Because in terms of size and other financial metrics, we are doing quite well. And we have also reached gross INR 25,000 crores of size.

Rishi Anand: That's what both the rating agencies also tell us. So I will leave it up to their judgment.

Nidhesh: Second, if you can share incremental yields and incremental ticket size, loan size for Q4, incremental yields and incremental loan size?

Aadhar Housing Finance Limited

May 06, 2025

Page 13 of 17

Rishi Anand: Incremental yields has come in around 13.45% and the incremental ticket size on a blended basis is INR 13 lakhs. HL is about INR 15 lakhs and INR 9 lakhs

is nonhome loan.

Nidhesh: And in terms of sourcing mix for the full year or for the quarter, if you can share the sourcing mix between in-house, DSA and connectors?

Rishi Anand: The split I will pull out, but broadly, if I can tell you, in-house, which was 54% last year, has grown to 59%. So almost 60% is now in-house. And the balance is external split between DSAs and connectors.

Rajesh Viswanathan: So of the 41%, your corporate DSA would be in the range of about 25%, the balance would be what we call connectors or retail DSA. A point that we wanted to mention over here is our Aadhaar Mitra program, which if you remember, we have been always talking about it for the last 3, 4 years. We have seen good traction in our Aadhaar Mitra offtake and the disbursement contribution by Aadhaar Mitra now is almost touching 30% for FY'25. To put it into perspective, in FY'22, it was about 22%. And FY'24, it was again about 22%. So there has been a significant movement both in the number of Aadhaar Mitras that we have and the contribution that Aadhaar Mitras are making to the overall disbursement mix. As you would know, Aadhaar Mitra is only a referral model where the case is actually closed by my internal sales team. And hence, these are all counted as internal businesses.

Nidhesh: Okay. So 59% internal includes Aadhaar Mitra?

Rishi Anand: Yes, Aadhaar Mitra is a referral program of providing leads to my internal channel. It is just a lead provider.

Nidhesh: Sure. And sir, last question is that if you look at 1.15 per sales officer, what are the steps we are taking to improve this? Because this productivity for an industry level also the productivity is broadly here only. But then, let's say, we want to build a INR 50,000 crore book, etc. this could become a bit of a constraint for reaching that particular scale because then we will require thousands of employees. So how are we thinking about improving this productivity?

Rishi Anand: See, the direct correlation of this 1.1 file per sales officer is linked to the attrition rate of the company and we've realized that and we understand the data, we understand the psyche of our front-end employees. We have launched multiple programs right from handholding to internal schemes of the growth trajectory, etc., just to ensure and we've seen early results, early positive results, at least in the last 3 quarters that we've been doing this, our attrition rates have dropped. The moment the attrition rates drop and if I were to look at numbers in the current quarter or the last month, for example, they have gone up, I'll not say substantially, but you can see a trajectory moving northwards. So it is directly correlated to attrition. We have started adjusting attrition,

which will eventually lead to a higher file per RO.
Nidhesh: Sure, sir. Thank you, sir. That is it from my side.
Aadhar Housing Finance Limited
May 06, 2025

Page 14 of 17

Rishi Anand: Thank you

Moderator: Thank you. The next question is from the line of Abhishek M from HSBC. Please go ahead.

Abhishek M: Thanks for taking my question. Can you give a sense of the balance transfer that you are seeing? So how much is getting BT-out right now? And has that increased or remained the same over the last, say, 1 year?

Rishi Anand: So Abhishek, our balance transfer out annualized for March is 6.49%, which has dropped from a previous year. Previous year, it was 6.93%. So from 6.93% it has dropped to 6.49%.

Abhishek M: This is on the number of files. So if you are holding 100 files, 6.9 are getting BT-out or 6.4 or is it from value?

Rishi Anand: This is AUM, value.

Abhishek M: Right. So see, as per my understanding, a lot of larger HFCs are trying to build an affordable housing book, and they are trying to approach customers who have been with you and your peers for 2, 3 years, good track record, and they are able to offer lower rates given th

eir own lower

cost of funds and OPEX and all that. So is that not increasing in instance and that is why your BT-out trade is coming down? Or is it some calculation thing that is contributing to this? I just wanted to understand how you're able to retain these many customers, when the competition from large peers is increasing?

Rishi Anand: Yes. So there are multiple things, Abhishek, that plays around when BT-out is spoken about.

One is internally, we have taken multiple measures, right, from having a centralized retention team to data analytics contributing towards highlighting the consumer as red, green, and amber, etc. So there are multiple things from a data analytics perspective that has gone to the retention team. It's a centralized retention team operating out of Mumbai. So any customer across the 600 branches that process a branch for a BT-out is immediately redirected. We understand the reason of his BT-out, if it is yield, good customer, green tagged customer, we look at our own spreads and accordingly, maybe look at the customer, if he needs top up, based on our policy, we look at top up. That is one. Second is while you mentioned large housing finance companies, etc. everybody has a certain risk appetite, as we understand. There are certain large companies who are not very comfortable with a certain credit score. There are companies which are not comfortable with self-employed, no income proof underwriting. There are certain large housing finance companies not comfortable with the kind of properties my consumer buys. It is a mix of a lot of things, a generic statement that one large company can come and take away BT. No, it doesn't work like this. It is a combination of all these 3 things. Third, when we talk about larger companies looking at our consumers, this is primarily going to happen only or is happening, I would say, primarily in the emerging A and urban locations and that's why our shift in strategy emerging B, C. So that is going to balance out completely. And that is actually already, you can

Aadhar Housing Finance Limited

May 06, 2025

Page 15 of 17

see the numbers panning out. For example, versus the last year, as I quoted, almost 7% of our BT-out has fallen to about 6.5% today.

Abhishek M: Yes. Thanks for that. That was very comprehensive. So another quick question on your sourcing mix. So you explained that almost 59%, 60% internal and the rest is through your channel partners. Even in an internal, you have this Aadhaar Mitras. Can you sort of pinpoint which is the fastest-growing channel? Is it Aadhaar Mitras and that's because you've added a lot of Aadhaar Mitras and that is helping the growth of 54% going to 59 entirely driven by that? Or there a reliance more on your internal teams as well.

Rishi Anand: Yes. my fastest growing 2 channels, Abhishek, are Aadhaar Mitra and my direct sourcing. Both of them combined are the fastest-growing channels for me today.

Abhishek M: Understood. Thank you so much for those two answers. Thank you and all the best.

Rishi Anand: Thank you, Abhishek.

Moderator: Thank you. The next question is from the line of Parth from Nomura. Please go ahead.

Parth: Congratulations on a good quarter, sir. So just 2 basic questions. You mentioned that the share of emerging markets is going to improve going ahead to 55% from the current levels of 45%.

And we also see good traction in the non-home loan segment. So do you see any incrementally improving impact on the yields with the growth in these 2 segments and geographies? And apart from that, since you will be growing in the emerging market segment, can we expect some improvement in the share of self-employed customers and EWS /LIG customers and this will be detrimental to the credit cost?

Rajesh Viswanathan: Yes. I think as we explained, overall, the strategy of moving into or splitting the business into urban and emerging 1, 2, 3 is to maintain the healthy yields that we currently have. So I think

the idea is to maintain the yields that we currently have. To be very honest, we don't expect the yields to grow significantly from where we are currently. Maintenance of the yields itself is a fair achievement. Whatever benefit we get from emerging B and C is where the yields will be slightly more stronger. If the business of that starts growing significantly in year 1 and year 2, that is where you may see some traction. But for that, we also have urban locations where competition will be high. So it's a sort of a setup that we have. That's why I'm saying holding yields is a fair assumption. The second question that you had was on consumer profile. See, consumer profile, what is going to happen is as we move ahead in this strategy, our self-construction business will go up. Our self-led business will go up because the more you focus on emerging B and C locations that these are smaller district centers where more of self-employed customers are available, which gives us an upside on managing. So, what are we trying to protect by doing broadly if I can give you a couple of points. One is we are trying to protect our ticket size, emerging locations, urban locations where the ticket size moves northward, cost of construction is high, cost of labor is high, so on and so forth. And the emerging locations, the Aadhar Housing Finance Limited
May 06, 2025

Page 16 of 17

cost of construction is comparatively lower. So I will be able to manage my ticket size. And as Rajesh explained, urban locations, you will have slight contraction on yields on spreads, whereas in emerging locations, that's where you will be able to manage. So a complete balance on ticket size and complete balance on spreads is what urban and emerging is going to give you.

Parth: Sure, sir. That is helpful. Sir, just another question was on the fact that since you will be looking in the emerging segment, do you see a rise in the EWS and LIG income group and will it have any impact on the credit cost side?

Rajesh Viswanathan: First, let me clarify to everybody on the call, including Parth you, that we are already in these locations. We are not going to these locations. What I have done is I have split my 600 branches that I'm available today into 2 categories. So I am not that I'm going to venture out into new locations. From a pure strategic and control perspective, ticket size perspective, yield perspective, I have just distributed not only the branches, but even my teams. I'm trying to put the best and the strongest team on the emerging side because urban locations are more or less on auto mode right now. So that's what I'm doing. So will my credit cost enhance because of this? No, it will not because this is a business that I've already been doing.

Parth: That is helpful. And just one last question. So your top states like Rajasthan, UP, Maharashtra and even Gujarat is now at 11%. So do you plan to change your threshold of maintaining per state AUM just 14% to EBITDA for higher threshold once you start seeing improved growth in the state?

Rajesh Viswanathan: No. We as management, we have strategically decided whether it is distribution whether it is incremental disbursement or whether it is AUM we will not breach the 14% mark, maybe 50 bps here and there 14-14.5 but that's the range we will be around.

Parth: Thank you. This is very helpful. Congratulations.

Rajesh Viswanathan: Yes, thanks.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Thank you for the opportunity. Apologies, I joined in late, so I'm not sure if this has been discussed already. I wanted to understand how much liquidity are you holding on balance sheet right now in terms of 3 months, 6 months, what is it right now? What was it in FY'24?

Where

would we want to keep it? And if any benefit can come through from reducing this on our spreads, on our margins, etc.? So some commentary on that, please. Thank you.

Rajesh Viswanathan: So our overall liquidity that we had at the year-end stood at about INR 2,200 crores, which is approximately 10% of the loan book. And if you look at it at March end last year, it would have been on a similar line. So typically, what happens is in intervening quarters, this typically is in Aadhar Housing Finance Limited
May 06, 2025

Page 17 of 17

the range of about 8% to 9% and the end of the year, it becomes 10% because there are significant drawdowns which happen at the end of the quarter, which gets utilized in the start of the next quarter. Typically, what we would like to keep it is, we would like to keep this in the levels of about 8%. And to be very honest, we would like to measure that more as a percentage of borrowing mix. So we would like to keep somewhere about 8% to 9% of the borrowing mix.

Obviously, this gets decided by the ALCO in terms of the liquidity in the market. If the liquidity becomes tight, we would like to keep it at a higher percentage. Otherwise, 8% to 9% is balance sheet liquidity. On top of that, we will always have undrawn lines. For example, on balance sheet liquidity was INR 2,200 crores, we also had undrawn lines of about INR 900 crores.

Shreya Shivani: Got it. So broadly, then you are pretty much in range and this will not really dramatically shift from where we are right now, right?

Rishi Anand: This may give you a release of about 1%, 2% to be very honest. Not significant.

Shreya Shivani: Got it. This is very useful. Thank you so much and all the best.

Moderator: Ladies and gentlemen, as this was the last question for today. I would now like to hand the conference over to the management for closing comments.

Rishi Anand: Thanks a lot. I thank all the participants for joining in. And I would like to apologize also for uploading the presentation a bit late. We had some problems at the site for upload. So we will ensure that next time at least we give you a slightly more bigger lead time for reading the presentation. I hope all the questions have got answered. If there are any unanswered questions, you can always reach out to the Investor Relations email ID, and we'll be happy to answer questions. Thanks a lot, and have a good day.

Rajesh Viswanathan: Thank you so much.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

Date: July 31, 2025

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
National Stock Exchange of India Limited
Listing Dept., Exchange Plaza, 5th Floor, Plot No.
C/1, G. Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub: - Transcript of the Earnings Conference Call for the quarter ended June 30, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated July 10, 2025 please find enclosed the transcript of the Earnings Conference Call on the Financial performance of the Company for the quarter ended June 30, 2025 held on Friday, July 25, 2025:

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please .

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
Encl.: As above

CC:- Debenture Trustees -
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

Page 1 of 15

"Aadhar Housing Finance Q1 FY -26 Earnings
Conference Call"

July 25, 2025

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE
CHAIRMAN , AADHAR HOUSING FINANCE
MR. RISHI ANAND – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , AADHAR HOUSING FINANCE
MR. RAJESH VISWANATHAN – CHIEF FINANCIAL
OFFICER , AADHAR HOUSING FINANCE
MR. SANJAY MOOLCHANDANI – HEAD (FINANCIAL
PLANNING) , AADHAR HOUSING FINANCE
MODERATOR : MR. RENISH – ICICI SECURITIES LIMITED

Aadhar Housing Finance
July 25, 2025

Page 2 of 15

Moderator : Ladies and gentlemen, good day and welcome to the Aadhaar Housing Finance Q1 results metrics earnings conference call hosted by ICICI Securities Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Renish from ICICI Securities Limited. Thank you and over to you, sir.

Renish: Thank you, Viren. Good evening, everyone and welcome to Aadhaar Housing Finance Q1 FY26 earnings call. On behalf of ICICI Securities, I would like to thank Aadhaar Management Team for giving us the opportunity to hold this call.

Today, we have with us entire top Management Team of Aadhaar represented by Mr. Deo Shankar Tripathi – Executive Vice Chairman, Mr. Rishi Anand – MD and CEO, Mr. Rajesh Viswanathan – CFO, Mr. Sanjay Moolchandani – Head, Financial Planning.

I will now hand over the call to Mr. Rishi sir for his opening remarks and then we will open the floor for Q&A. Over to you, sir.

Rishi Anand : Thank you very much, Renish. Very good evening, ladies and gentlemen. On behalf of Aadhaar Housing Finance, I extend a very warm welcome to all of you.

We are pleased to begin FY26 on a very strong and promising note. This quarter has been a continuation of our disciplined execution and strategic focus and I am proud to share that our AUM has reached an all-time high of Rs. 26,524 crores, reflecting a remarkable year-on-year growth of 22%. This achievement is more than just a number. It is a testament to the trust of our customers, the dedication of our teams, and the strength of our business fundamentals. It also reinforces our leadership position in the affordable low-income housing finance space, a sector that continues to gain relevance in India's evolving financial ecosystem. The affordable and low-income housing finance segment has seen renewed momentum over the past year, supported by proactive regulatory measures, improved credit demand, and growing aspiration of home ownership, especially among first-time and low-income buyers. These macro tailwinds have complemented on our ground efforts, enabling us to scale responsibly and sustainably.

Moving on to Aadhaar's performance for this Quarter:

As mentioned earlier, in Quarter 1 FY26, our AUM grew by 22% YOY at Rs 26,524 crores, with disbursement standing strong during the quarter at Rs 1,979 crores, reflecting a 32% YOY growth. Over the past year, even as we scale our lending operation, our focus on preserving asset quality remains unwavering. To ensure this does not get compromised, we have continued to

Aadhar Housing Finance

July 25, 2025

Page 3 of 15

fully concentrate on retail -secured lending with no exposures to corporates or developers. Our asset quality remains healthy, with gross NPA stable at 1.3% and collection efficiency consistently above 98%.

The portfolio continues to be well-secured, with an average loan-to-value ratio of only 59%. Notably, the salaried segment now represents 56% of our overall portfolio, reflecting our focus on stable income profiles. The average ticket size on AUM remains steady at INR 10 lakhs only. Home loan continues to form the core of our business, accounting for 73% of our AUM, while the balance 27% happens to be micro-loan against property.

As a part of our commitment to inclusive and efficient growth, we have focused on expanding into high-potential underserved regions, especially in smaller districts and talukas, through our deeper impact strategy. This targeted approach has enabled us to deepen our outreach while maintaining a lean and agile operational mo

del. It has also helped us strike the right balance between scale and sustainability, aligning well with our long-term goals of impactful expansion and optimal resource allocation. This has helped us expand our reach pan-India through 591 branches, serving more than 3 lakh live customers across 22 states and 547 districts. Our network continues to grow in alignment with the strategy, and during this said quarter, we have added 11 new branches.

Our portfolio continues to be geographically well-diversified, with no single state contributing more than 14% of our AUM, a testament to our calibrated and disciplined risk management framework. This diversification also marks a significant milestone in our broader mission to expand access to housing finance in under-penetrated regions. It aligns closely with the government's 'Housing for All' vision and National Housing Bank's mandate to drive financial inclusion across the country. This mission has led us to the birth of our strategy of urban and emerging. We have, based on our internal classification, selected approximately 130 branches, that is, top 15 cities as urban, and the balance as emerging. We spoke about this strategy in the last call as well. The quarter in discussion was effectively our first quarter under this new strategy and we seem to be going in the right direction with broadly aligning separate focus for urban and emerging with regard to ticket size, potential, yield and manpower.

Moving on : we have mentioned in multiple intervals that for us as an organization, technology is central to how we operate and scale efficiently. Our TCS-enabled core system has helped digitize key processes across loan life cycles, improving turnaround times and customer experience. Over the past 4 years, we have built strong data capabilities, moving from basic reporting to advanced analytics. We are now leveraging AI and machine learning to enhance decision-making, strengthen governance and support future-ready operations. As FY26 takes shape, we are seeing steady improvement in the economic environment. The first quarter reflected a gradual pickup in the market sentiment, supported by RBI's rate cut, stable macro indicators and support global context.

Aadhaar Housing Finance

July 25, 2025

Page 4 of 15

The Affordable Housing Finance sector in India continues to be the cornerstone of inclusive economic growth, deeply aligned with countries' vision of becoming a developed nation by 2047. With urbanization projected to rise at 40% by 2030, affordable housing is emerging as a critical bridge to address the growing needs of migrant population across Tier 2 and Tier 3 cities. The sector continues to gain momentum, driven by sustained urbanization, rising demand from first-time low-income homebuyers and a consistent policy support. Additionally, government initiatives like PMAY 2.0, revival of interest subsidy scheme, a credit guarantee program and continued support for the SWAMIH Fund, amongst others, will give additional boost to the segment.

A key macro development this quarter was RBI's third consecutive repo rate cut, lowering it by 50 bps to 5.5 in June 2025, which has further improved housing affordability ahead of the festive season. We remain optimistic that these combined actions will accelerate formal credit penetration and sustain growth in the affordable housing segment.

I am pleased to share that the CARE rating has revised our rating outlook upward to AA+, from the old AA. This recognition reflects our consistent loan book growth, robust capital adequacy, strong asset quality. Our collection performance remains stable and we continue to benefit from the well-diversified funding mix. These strengths, along with our strong internal controls and governance framework, have reinforced CARE's confidence in our ability to sustain both our business momentum and financial resilience over the medium term. We

would also like to

highlight a few important recognitions and accolades received recently. Aadhaar enters the 22nd state in the said quarter with a branch in Guwahati, Assam. We received the NBFC of the year award under PMAY affordable housing. We received the prestigious NHB excellence award for product innovation. We received the gold award from CSR times for our clinic on wheels initiative. I am also immensely proud to let the audience know that Aadhaar under its vision of empowering women colleagues has launched its first ever all-women branch in Indore and we continue to look for more opportunities across the country.

Lastly, I would want to conclude by saying that Aadhaar Housing Finance is well positioned to sustain its growth trajectory, backed by strong operational foundation, expanding reach and robust technology infrastructure. With continued policy support, a stable macro environment, and rising demand for affordable housing, we are confident in our ability to maintain leadership in the sector. As we move forward, our focus remains on creating long-term value for stakeholders while deepening our impact on underserved communities.

Now I would like to hand over to our CFO ; Rajesh Viswanathan to take you all through the financial performance of the quarter.

Rajesh Viswanathan: Thank you, Rishi. Good evening, everyone and thanks for joining in late on a Friday for this call. I would like to take you through some of the financial numbers. Bear with me while I repeat

some of the highlights that Rishi has pointed out .
Aadhar Housing Finance
July 25, 2025

Page 5 of 15

In Quarter 1 FY26, our AUM has grown 22% on a YOY basis. Our overall borrowings as at 30th June, 2025 stood at Rs. 16,876 crores compared to Rs. 14,019 crores as at 30th June 2024. The current borrowing mix stands at 48% from banks, NHB share is 24%, NCD share is 23%, and ECB and others make up 4%.

As highlighted by Rishi, one big achievement for the company was an upgrade of our rating to AA+ by CARE during the quarter and an upgrade to a positive outlook from a stable outlook from ICRA. Our incremental borrowings for Quarter 1 FY26 stood at Rs. 1,165 crores which came in at around 8.1%.

Currently we have about 43 borrowing relationships. We have drawn Rs. 300 crores from NHB in Quarter 1 FY26. The cost of funds as we exited Quarter 1 FY26 stood at 8%. In terms of fixed and floating nature of the asset and liability side, 75% of both our assets and borrowings are floating in nature. Undrawn sanctions as at 30th June 2025 is around Rs. 1,500 crores. Liquidity as we ended Quarter 1 FY26 was Rs. 2,181 crores. The exit portfolio yield is 13.8%. In terms of spread, the exit spread was 5.8%. Over all NIMS for Quarter 1 FY26 was 8.8%.

Our cost to income ratio where we had seen more than 100 bps improvement in last financial year, happy to state that we have managed to even drop it further in the current quarter and compared on a Y-on-Y basis, the Quarter 1 FY26 cost to income has come in at 36.1 % compared to 36.7 % in Quarter 1 FY25.

GNPA 1.34% compared to 1.31% in Quarter 1 FY25. Capital adequacy as at end of 30th June 2025 stood at 44.1% Tier 1 and 0.5% Tier 2. Last but not least, for the first quarter FY26, the PAT came in at Rs. 237 crores compared to Rs. 200 crores in Quarter 1 FY25 rendering a 19% growth on a Y-on-Y basis.

With that, we can open up for questions. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Varun from Kotak Securities. Please go ahead.

Varun : Hi, sir. Thanks for the opportunity and congrats on a good set of numbers. With regard to the seasonality that you just mentioned, that the stages between 4Q and 1Q this quarter appear to be a bit higher than what it was last year in the same period. Are you seeing any heightened stress that is localized like any wa

y in some particular region, state or in particular cohort of customers that you see the stress peeking out or is it a broad-based thing? And the second question is with regard to the repayment rate. Calculated repayment rate appears to be low at about 15%. Is this just some seasonal effect here as well or are you seeing lower BT -outs, which is a bit surprising because players have called out higher competition ? So, can you just call out the BT -out rate as well? Thanks. Those are my questions.

Aadhar Housing Finance
July 25, 2025

Page 6 of 15

Rishi Anand: Great. Varun, thank you so much for your questions. So, Varun, part one of your question was with regard to the stress. If I look at our numbers on Quarter 1 YOY basis, we were GNP A of 1.31% moving to 1.34%. So, I would not say that there is any movement. It is more flattish and it is actually seasonality effect. Are we seeing any impact on any region, state, etc.? I would say no because our portfolio remains to be constant. The second part I will hand over to Rajesh.

Rajesh Viswanathan : In terms of asset rundown, you are right. The BT -out has come in at 5.3% for this quarter. Typically, in our business, we have seen that BT -out actually spikes in Quarter 4 when there is very high competition. So, 5.3% was for this quarter and just to put it in context, Quarter 1 FY25 last year was around 5.9%. So, 5.3% versus 5.9% same time last year.

Varun: Thank you.

Moderator: The next question is from the line of Manan Tijoriwala from ICICI Prudential. Please go ahead.

Manan Tijoriwala: Just in light of some of your larger peers giving some commentary on MSME being stressed, just wanted to understand if there is any colour that you can provide on the same and how do you see the credit cost for this year, for the full year and how should it trend across the quarters? That is the first question.

Rishi Anand: Hi Manan, MSME, we will have to look at what our portfolio is. Our portfolio is actually not the MSME portfolio. We do micro loan against property which is about 25% of my portfolio.

Are we seeing any stress? No, we are not seeing any stress. Our bounce rates on a YOY basis are steady state, exactly same I would say. Our GNPA's and delinquencies are same if I do a data cut on specifically on the loan against property that I do. So, good news is that we are not seeing any stress on that portfolio .

Rajesh Viswanathan : And Manan, on the credit cost, typically if you look at it last time also, we had ended up with a

credit cost of approximately Rs. 57 or 58 crores for the whole year and approximately Rs. 19-20 crores had come in Quarter 1 and approximately if you take Quarter 1 and Quarter 2, H1 put together, it was about Rs. 35-36 crores. So, in that sense, I think if you look at the slight growth that we have in the AUM, I think it will be better to extrapolate the Rs. 57 crores. So, we believe that overall credit cost for the whole year will be tending in the range of about 25-27 bps. In terms of current quarter, obviously, because of seasonality, it looks high at 40 bps odd, but we believe that we should be able to hold it between a range of about 25-27 bps as we exit the year.

Manan Tijoriwala: So, basically, the operating environment is not materially different from what it was in the last year. That's what you think?

Rishi Anand: No, I agree with your point. It is not different at all in fact. In fact, it's better. If you look at the numbers that we spoke about incrementally, the growth numbers, etc., it's kind of better. But from a pure asset quality perspective, it remains steady state.

Aadhar Housing Finance
July 25, 2025

Page 7 of 15

Manan Tijoriwala: Right, fair enough. So, could you give us some colour on the average ticket size that you have between home loans and LAP segment?

Rishi Anand: So, our home loan ticket size on disbursement, is 15.7 lakhs and non

-home loans, (micro -LAP)

is about 9 lakhs. Total average at the company level incrementally is 12.7 lakhs. And on AUM, I indicated it is 10 lakhs on AUM.

Manan Tijoriwala: Okay, fair enough. And could you explain how we should think about the spreads going on, on a quarter-on-quarter basis for the year?

Rajesh Viswanathan: Yes, I think we have seen some benefits that has come in the current quarter on account of a drop in the cost of funds for us. We will be assessing as banks start passing on MCLR, we believe that should happen somewhere in Quarter 2 and Quarter 3. And since a percentage of our book is floating, we will also be obliged to pass it on to our borrowers. So, the way of looking at spreads over here is currently we are at 5.8%. We were about 5.7% as we exited the last year. So, the exit spread was 5.7% March 25, 5.8% Quarter 1 FY26. So, it should be there about in the same range of 5.7% as we look ahead here.

Manan Tijoriwala: Sure. And could you talk about how the disbursements are picking up under the PMAY scheme?

Rishi Anand: So, see Manan, I explained last time also, I would not say disbursements are picking up because of PMAY. Disbursement comes and then it goes to the regulator to tag it as PMAY. So, it's the other way around. But having said that, we were fortunate enough to be the first ones to draw down subsidies for our consumers under the PMAY 2.0. And our customers, the first set of customers were called by the regulator, and they were given out letters. As we stand today, close to about Rs. 10 crores of subsidy is already disbursed to our consumers and the journey continues.

Manan Tijoriwala: Right. Fair enough. And any guidance on growth for this year?

Rishi Anand: Yes, I will give you. But coincidentally on PMAY, we get the data of the industry. We happen to be the number one leading player on PMAY subsidy. On growth guidance, we continue to maintain our growth guidance of generally at around 20%-22% of AUM, 18%-20% on disbursement.

Manan Tijoriwala: Right, fair enough. That's all from my side, sir. Thank you.

Rishi Anand: Thank you so much, Manan.

Moderator: Thank you. The next question is from the line of Abhishek Jain from Accurate Advisors Private Limited. Please go ahead.

Aadhar Housing Finance
July 25, 2025

Page 8 of 15

Abhishek Jain: Thanks for the opportunity and congrats for a strong set of numbers. My first question on the AUM growth, you have guided around 21% AUM growth in FY26. So, which are the key states which will drive this growth and how much will it be sustainable?

Rishi Anand: So, Abhishek, it is not fair on my part to say particular state will drive more growth and you will have to go back to my statement saying that we are now driving urban and emerging, right. So, in this particular year, emerging will give me slightly higher growth than my urban locations. Urban locations are steady state, we are not adding more branches, etc. It is the focus is more towards emerging. A combination of both will give us the desired 18%-20% average growth that we are talking about.

Abhishek Jain: And how is the BT -out trends across the urban versus emerging branches? Where is the state more visible, urban or emerging?

Rishi Anand: So generally, while I don't have the data cut right away, but generally urban will have a slightly higher BT -out rate.

Abhishek Jain: Okay.

Rishi Anand: And I will ask Sanjay to come back to you on that urban emerging data.

Abhishek Jain: Okay. And my last question on that, many peer companies are indicating that they have a lot of the competitions on the prime segment. So just wanted to understand that how is the growth potential and the risk reward dynamics of the prime housing segment versus the affordable segment at this point of time.

Rishi Anand: Abhishek, I don't think it will be fair on my part to comment on prime because we are not a

prime player at all. We are in the bottom of the pyramid which is affordable. So affordable, whatever you talk about competition, you talk about people operating in the affordable space, they continue to be the same set of people. And all of us are expanding reach and growth. So prime, I will not be able to comment too much.

Abhishek Jain: Okay, sir. Thank you.

Rishi Anand: Thank you so much, Abhishek.

Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh : Thanks for the opportunity, sir and congratulations for a good set of numbers. The first question is, can you share 1 plus DPD data at the end of the quarter?

Rishi Anand: S 1 plus for us, end of quarter in question is 7.1%.

Aadhar Housing Finance

July 25, 2025

Page 9 of 15

Nidhesh : And how is the trend in this number? Is it stable YOY ?

Rishi Anand: I would say I would say it is exactly same as we've been talking about , seasonality impact in Quarter 1 . YOY, we were close to about 6.2 %-6.4% in a YOY basis, we are 7.2 %. But currently under control.

Nidhesh : And if you can also share the sourcing mix in terms of connectors and own employee, that would also be useful.

Rishi Anand: Sure, Nidhesh . So Q1, the direct mix has jumped from 57%-58% to 61%. And the balance is DSA.

Nidhesh : Okay. That's quite good. Thank you.

Rishi Anand: Our emerging strategy starts to play around. The proportion of direct mix will slightly start inching up.

Nidhesh : What is the definition of emerging?

Rishi Anand: We have not gone by a scientific definition of emerging. As I indicated in my opening call, that , we have internally said that top 15 cities of the country, which contributes close to about 132 branches and the top 15 cities will be top metros are all urban for me and rest balance India is emerging for me. And if I can give you a few examples, if that helps, let us pick up APTL. In APTL, Andhra Pradesh, Telangana, Hyderabad would be urban , Wanaparthy and Kurnool will be emerging for me. If I pick up Rajasthan as an example, then Kota would be urban , Jaipur would be urban, but Bundi, Deoli, Bhilwara will be emerging for me. And in emerging, I have three categories A ,B,C. So, they are accordingly divided based on potential and what kind of spreads that I can derive from that location.

Nidhesh : Top 130 cities are urban and rest of them are emerging.

Rishi Anand: Not 130 cities, 130 branches, 15 cities.

Nidhesh : 15 cities.

Rishi Anand: That's right Nidhesh .

Nidhesh : And the last question is, what are the plans to add branches this year?

Rishi Anand: As we indicated in the beginning of the year, also, we will keep adding about 50 to 60 branches year-on-year basis. And we are on track, we have already in Quarter 1 launched 11 new branches, including one new state which is Assam. Nidhesh , I would want to add here in the branches,

Aadhar Housing Finance

July 25, 2025

Page 10 of 15

when I say 50 branches , 15 branches will be an urban location and about 35 branches will be in emerging locations.

Nidhesh : That's it from my side. Thank you.

Rishi Anand: Thank you, Nidhesh .

Moderator: Thank you. The next question is from the line of Sanket Chedha from DAM Capital. Please go ahead.

Sanket : Yes, so this is Sanket here. Sir congrats on good chart of numbers and particularly on the 30 plus DPD, which has stayed steady quarter -on-quarter. Just wanted to understand within that, say, Stage -3 has moved up by 31 bps and Stage -2 has come down by similar quantum. So apart from usual Q1 specific pinch up, were there any specific accounts which have moved to Stage -2 to Stage -3? Just wanted to understand better on that. Sorry, if you have already alluded on earlier.

Rajesh Viswanathan : We think the flow from Stage -2 to Stage -3 is a normal phenomenon which has happened during

the quarter. And so, whatever wa

s in opening Stage -2 during the quarter may have slipped into a Stage -3. And hopefully during the year, we will be working on this and getting it out of NPA. That is the normal process which we run with. So, this is a pure seasonality where Stage -2 flows to Stage -3. And then typically what happens is once it flows into Stage -3, it also allows us to start SARFAESI action on the customer.

Rishi Anand: So generally, that is what you see when we say seasonality, it's a very broad -based word. What we do is some accounts are allowed to be flowed in Quarter 1 so that you can go ahead and start doing your legal process, which is typically called SARFAESI . And that can happen only when the account flows to (+90). These will be typical sticky accounts, as we call them, who continuously are delinquent, then they try to be only in 60 or 90 buckets. Such accounts generally would flow. And that's the seasonality we talked about. And then we do SARFAESI , which is a six months process. And then you start seeing downward trend on NPAs.

Sanket : Sure, sir perfect. And since you indicated that maybe the SME or MSME specific thing would not be , say that in our case, we operate in a different segment, do we expect this 5% 30 plus DPD as a pool to sustain and not go beyond that maybe throughout the year or you expect it to come down?

Rishi Anand: No, we definitely expect it to come down, Sanket, because if you look at on a F Y basis also, we have always been in the range of about 3.5 % to 4%. So, we are today about 4.65% with the effort that goes around the next nine months, it is bound to come down.

Sanket: Okay, sure, that answers my question. Thanks a lot.

Rishi Anand: Thank you, Sanket.

Aadhar Housing Finance

July 25, 2025

Page 11 of 15

Moderator: Thank you. The next question is from the line of Yash from Citigroup. Please go ahead.

Yash: Hi, sir. Thanks for taking my question. Sir, one question on this differentiated strategy on urban and emerging locations since this is the first quarter. So how different is the underwriting infrastructure in both? And since we believe that we could extract benefit on the growth side from emerging, would this differentiated strategy also lead to help us extract benefits from asset quality as well, by focusing solely on emerging?

Rishi Anand: Yash, when it comes to the back-end functions, which is underwriting operations, collections, technical visit to the property, everything remains common for urban and emerging. As earlier indicated, we have a hybrid underwriting mechanism, all the salaried profiles are underwritten centrally at something called regional processing centers , whether it is for urban or emerging that happens for both urban and emerging, it is the same process. The self-employed consumers are underwritten from the branch network, and it continues for urban as well as emerging. So, the underwriting standards, underwriting process, even operation process, technical process, everything remains common. As far as leveraging the emerging, yes, when you focus more on certain locations, your asset quality, one is growth is bound to come in and asset quality is bound to improve. So that's what I think the agenda of the company is to realign our focus today, as I indicated to the first person we spoke to, 55% of my incremental business was coming from urban and the intent is to change this to 55% from emerging.

Yash: And the second is on this MFI exposure related customers, which you had shared last time as well, which I believe had dropped to around 7000 customers. So , any meaningful impact — obviously, it is in 1Q but any meaningful impact we saw from Tamil Nadu, Karnataka as well?

Rishi Anand: Not specific to Tamil Nadu, Karnataka, the number of customers remain more or less same 7077 customers. Delinquent broadly has dropped to about 2000 customers from 2600 customers it dropped to about 2100 customers

omers and NPAs out of each and delinquency across the bucket, NPAs will be around close to about 550 customers. So, I would say there is a slight improvement rather than deterioration.

Yash: Okay, slight improvement in the sort of this MFI-led customers .

Rishi Anand: Performance of the MFI exposed customers. Yes. And nothing very specific in Karnataka and Tamil Nadu.

Yash: Got it. And lastly, sir, if you could just share the incremental yield in 1Q .

Rishi Anand: The incremental yield stands at 13.45%.

Yash: So, it's slightly dropped from 13.55, is it?

Rishi Anand: No, it was 13.5, which is a full year. So, 13.43, more or less there.

Aadhar Housing Finance

July 25, 2025

Page 12 of 15

Yash: Okay, got it. Thank you, sir. That's it from me.

Rishi Anand: Thank you, Yash.

Moderator: Thank you. The next question is from the line of Lalitabh from Anti que Stock Broki ng. Please go ahead.

Lalitabh : Yes, hello, sir. Thanks for giving the opportunity and congratulations on your results. Two brief questions. Your gross Stage -3, if I see as a percentage, has actually improved on a sequential basis. Generally, it is seen that there is some seasonality impact in the first quarter, which is not visible this time. So, one thing that could be that, the book is behaving really well or is there some kind of a spillover or late spillover of that aspect that can be seen in Q2? Just your thoughts on that. And secondly, overall, our self-employed LAP category loans, particularly, are you seeing any change in the environment or have you done any changes in your credit tightening or things like that? How are you reading the situation, sir? Thank you.

Rishi Anand: Thank you, Lalitabh . I will answer your second question first. As I indicated, we are not MSME LAP consumers because our ticket size remains very -very small. We are incrementally only 9 lakh ticket size on the book is about 7.8 lakhs. So, we do micro loan against property. No stress observed on even on a YOY basis and even on a sequential basis, our bounce rates, our NPAs, our delinquency remains steady state. Hence, we don't want to change our approach, whether on underwriting or on property. One thing I would want to add is close to about 95% of our consumers in LAP are self-occupied residential property. The only change that we have done in approach recently is we wanted to take only residential properties which will mean that new incremental business will be 100% residential property. But that is only temporarily we have taken that decision, but we will continue to focus only on micro -LAP.

Rajesh Viswanathan : And on the first part of your question, the seasonality that we keep talking about is a comparison of as we end year end, which is March '25 versus June '25. So, March '25, when we ended, our NPA on AUM was around 1.05% which has moved to 1.34%. And this is the movement of anywhere between 25 to 30 bps which is always visible between Quarter 4 and Quarter 1 of the next year. And that is a seasonality impact, which basically stems down during the year and as we end the year, again, we probably go back to the 1.10% type level.

Lalitabh : Yes, sir. Thanks a lot.

Moderator: Thank you. The next question is from the line of Faraz Motani from Paragon Partners.

Faraz Motani: Hi, thank you so much for the opportunity. I have a couple of questions on geographical expansion. So, I see that we have entered a new state in the northeastern region Assam. The first question is that, is this more of a pilot expansion wherein we are opening a couple of branches or is this a full-blown expansion by opening say x done a state and potentially other adjoining states? Second question, on the similar lines, is that what kind of competition are you seeing in Aadhar Housing Finance
July 25, 2025

Page 13 of 15

our Affordable Housing Finance products, maybe from other ASFCs that are already pr

esent in
those states?

Rishi Anand: Okay, great. Thank you, Faraz, for asking those questions. So, when it comes to geo -expansion, when it comes to new states, the strategy is very clear. First is we identified the relevant cities where we can go and open branches. So, we identified a step one, Guwahati in Assam. Given the geopolitical dynamics that operate around the northeast states, we have not wanted to go full blown, but we have identified four or five branches or cities which make business sense to be in and we will take calibrated step s as we move ahead. Right now, it is going to be Guwahati. We are going to be settling down in Guwahati, understanding the dynamics of northeastern states and then expand there on in relevant cities. Your second question was with regards to competition. As I said in one of the discussions a little while ago, we are not seeing any fierce competition because the number of players broadly remain the same. There is little more than opportunity available in the market. We are all operating in the same market. We have created our own niche, but we happen to be —as in the opening statement I said, we happen to be —the largest in terms of AUM, largest in terms of incremental disbursement, largest in terms of our distribution network in the segment that we operate.

Faraz Motani: Got it. Thank you.

Rishi Anand: Thank you, Faraz.

Moderator: Thank you. The next question is from the line of Darshan De ora from Ind vest Group. Please go ahead.

Darshan Deora: Thank you for the opportunity. Just a question on the ROA and ROE. Can you give some guidance on what we plan to achieve in terms of ROA -ROE for FY26 and also what would be our aspirational ROE for this business?

Rajesh Viswanathan : I will come to aspirational. I think we will be targeting an ROA in the range of about 4.2% to 4.3% as we exit current financial year. 4% is obviously because of the credit cost which gets baked in in Quarter 1 . See, aspirationally, if you look at the way the business is, this is more of not a long -term guidance, but more of the way the math stacks up is that if you look at the way

the RO A and ROE will happen is that 2 years back, we delivered ROA in between 4.2% to 4.3%, which also translated to around 18% ROE. So, to be very honest, on a long-term sustainable basis, that is the sort of ROE that we would like to hit. Whether it's going to happen in 2 or 3 years, I don't want to comment on that. But typically, anywhere between a 4.2% ROA and anywhere between a 17% and 18% ROE is a good sort of a math for the business that we run. Current year, we would like to end between 4.2% to 4.3% RO A.

Darshan Deora: Got it. And the second question I had was regarding the loan book. What percentage of our loan book would be self-construction where the customer, the applicant is self-constructing his home vis-à-vis purchasing a ready flat or either resale or build a flat?

Aadhar Housing Finance
July 25, 2025

Page 14 of 15

Rishi Anand: Darshan, I will give you the complete breakup. So, self-construction happens to be 25%, purchase of ready-built property is about 43%. P plus C, purchasing a plot and constructing thereon is about 7% and the balance is micro-loan against property.

Darshan Deora: Okay. All right. Appreciate that. Thank you. That's all from my side.

Moderator: Thank you. The next question is from the line of Dixit Shah from A S Capital. Please go ahead.

Dixit Shah: Yes. So, my question was firstly with respect to a statistical one. What is that of the total AUM, individual housing loan book as a percentage of the number?

Rishi Anand: You want pure home loan, right?

Dixit Shah: Individual housing loan.

Rishi Anand: Individual housing is 73% and the balance happens to be loan against property.

Dixit Shah: Understood. Now, coming to a question with respect to the strategy. So, with respect to urban and emerging strategy

that we have, what will be the approximate rate differential with respect

to the yields that we could see that an emerging location will have over your urban location?

Rishi Anand: So, if I can indicatively tell you, urban typically gives about 12%-12.5% incremental yield. Your emerging will range between 14.5% up to 16%.

Dixit Shah: 14.5% to 16%, understood.

Rishi Anand: That's right.

Dixit Shah: And with respect to a question on our underwriting. So, typically with respect to we heard in con-call of one of our peers, not exactly in the segment that we have, but the peer that is more focused in the southern region, they had categorically called out that they are seeing a little bit of a slowdown specifically in the sub 20 lakhs segment of the ticket size. They are not seeing enough demand or the PMAY 2.0 has not seen as euphoric as the demand and that was seen in PMAY 1.0. What is your sense in that space with respect to in the southern markets? Because from the data that I have seen with respect to your, in the southern region, you are a good player and a leading in some of the states. So, what is the sense of the competition in that segment? And how would you look at the demand environment in that region for that segment?

Rishi Anand: Dixit, yes, you are right. We happen to be a relevant player in the southern market as well. In fact, one of the largest markets in the top three markets is Andhra Pradesh, Telangana. And while he was making the statement, I was thinking, I don't know why this statement has come in the industry that there is a slowdown. There seems to be no slowdown. In fact, our Quarter 1

Aadhar Housing Finance
July 25, 2025

Page 15 of 15

numbers have moved positively across the southern states. So, I don't see any slowdown happening there. I missed the second part of your question, but we don't see any slowdown.

Dixit Shah: So, with respect to the, how was the credit culture because of the MFI ordinance in the state of Karnataka, the Telangana also having a few bills being passed. So, is there any materially different credit behavior because some of the players were saying that they are seeing a bit of a spillover impact in their books?

Rishi Anand: No. So, if I can give you a top five states in best credit culture, out of the top five states, two states are from south, which is Andhra Pradesh, Telangana and Tamil Nadu. Again, I fail to understand why people are making such statements. These are good states. I think this is eliminating from the fact that the MFI issue and which happened in the ordinance that was passed in Karnataka and Tamil Nadu. Fortunately for us, we had a secured loan product. So, we are seeing no impact. In fact, these are pristine locations.

Dixit Shah: Understood. And just a final one, what would we look at with respect to branch addition with respect to a long term, 50 to 60 branches that you had said, will that be steady state like for 2-3 years or this is like year by year you might revisit and then...

Rishi Anand: No, so when we say 50 to 60 branches year-on-year, this is for 3 years from now and we will keep adding 50 branches year-on-year.

Dixit Shah: So, probably by FY28, it would be around (+700) branches.

Rishi Anand: 750 branches.

Dixit Shah: Thank you very much.

Rishi Anand: Thank you so much Dixit.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Rajesh Viswanathan : On behalf of the Aadhaar management, thanks a lot to all the participants on this call for taking time out on a Friday evening and joining the call. I am sure that this has been a very eventful quarter for the company and hope we have similar results to share with you in the forthcoming quarters of the current financial year. Thank you and good evening.

Moderator: On behalf of ICICI Securities Limited, that

concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Date: November 11, 2025

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
National Stock Exchange of India Limited
Listing Dept., Exchange Plaza, 5th Floor, Plot No.
C/1, G. Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub: - Transcript of the Earnings Conference Call for the quarter ended September 30, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated October 29, 2025 please find enclosed the transcript of the Earnings Conference Call on the financial performance of the Company for the quarter ended September 30, 2025 held on Friday, November 07, 2025:

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please .

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
Encl.: As above

CC:- Debenture Trustees -
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

Page 1 of 15

"Aadhar Housing Finance Limited Q2 FY '26 Earnings
Conference Call"

November 07 , 2025

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE
CHAIRMAN , AADHAR HOUSING FINANCE LIMITED
MR. RISHI ANAND – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER , AADHAR HOUSING FINANCE
LIMITED
MR. RAJESH VISWANATHAN – CHIEF FINANCIAL
OFFICER , AADHAR HOUSING FINANCE LIMITED
MR. SANJAY MOOLCHANDANI – HEAD, FINANCIAL
PLANNING , AADHAR HOUSING (FINANCE LIMITED)
MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL

Aadhar Housing Finance Limited
November 07 , 2025

Page 2 of 15

Moderator : Ladies and gentlemen, good day and welcome to Aadhar Housing Finance Limited Q2 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nidhesh Jain from Investec Capital. Thank you and over to you, sir.

Nidhesh Jain : Thank you. Good evening, everyone. Welcome to Q2 FY '26 Earnings Conference Call of Aadhar Housing Finance Limited hosted by Investec Capital.

We will start the call with the Management commentary followed by a Q&A session . To discuss the financial performance of Aadhar Housing Finance Limited and to address your queries, we have with us Mr. Deo Shankar Tripathi - Executive Vice Chairman ; Mr. Rishi Anand - MD and CEO ; Mr. Rajesh Vishwanathan – CFO ; and Mr. Sanjay Moolchandani – Head, Financial Planning.

I would now like to hand over the call to Mr. Rishi Anand for his opening comments. Over to you, sir.

Rishi Anand : Thank you very much, Nidhesh, and a very good evening, everyone. On behalf of Aadhar Housing Finance, I would like to welcome all of you to the Q2 H1 FY ' 26 Earnings Conference Call. We would like to wish all of you a belated Happy Diwali and a prosperous New Year.

We are pleased to share that the first half of FY '26 has been marked by strong performance and continued progress on our strategic priorities. H1 FY ' 26 reflects another period of disciplined execution, operational efficiency and customer -focused growth. Our performance speaks for itself with the numbers showing the commitment of our teams and the strength of our business model. This milestone reinforces our leadership in the low income housing finance segment, which continues to play a pivotal role in India's inclusive growth story.

This quarter has witnessed positive developments in the economy with low income housing sector poised for further expansion, supported by favorable policy reforms and continued government focus. The recent rationalization of GST rates under the GST 2.0 framework is expected to lower housing costs and provide a significant boost to the affordable housing segment, particularly in the EWS /LIG categories. We expect these measures to drive sustained growth in the sector in the coming quarters.

Now , coming to Aadhar's performance for the said period :

Aadhar Housing Finance Limited

November 07 , 2025

Page 3 of 15

During the half year, our AUM touched Rs. 27,554 crores as on 30th September, which is a 21% growth on a Y-o-Y basis. This is another significant milestone for the company. Disbursement stood at Rs. 4,089 crores, which is 16% Y-o-Y increase, reflecting consistent lending momentum. Asset quality remains well -contained, with gross NPAs at 1.42%, collection efficiency above 99% and more importantly, Stage-II assets improving by approx 20 bps on a Y-o-Y H1 FY '26 basis, driven by robust risk management and disciplined underwriting. Our portfolio continues to be entirely retail and secured, with home loans forming 73% of the AUM and loan against property remaining at 27% . The average ticket size of Rs. 1.05 lakhs and average loan -to-value ratio of 60% reflect prudence and stability of our portfolio. The salaried segment contributes 55% of the book, aligning with our focus on borrowers with steady income profiles. Balance transfer out for H1 FY '26 stood at 5.4%, which is an improvement of 50 bps as compared to H1 FY '25. This is an outcome of our centralized retention team and data science team efforts. We continue to expand our presence in high -potential underserved market

s through

a measured and efficient approach.

During the quarter, we added 20 new branches, taking the total to 611 branches across 22 states and 549 districts, serving over 3.15 lakh live customers. Our portfolio remains well diversified, with no single state accounting for more than 15% of our AUM, demonstrating the strength of our distribution reach and risk containment framework. Digital transformation remains integral to our operating model. The TCS -Enabled Core System has streamlined processes across the loan lifecycle, improving turnaround time and enhancing customer experience. We continue to strengthen our data and analytics framework, leveraging AI and machine learning for sharper insights, improved governance and scalable operations. These capabilities continue to enhance efficiency and prepare us for the next phase of growth.

As mentioned earlier, we are very positive on the recent GST 2.0 reforms and are expected to significantly accelerate growth in the low and middle -income housing segment. The reduction in GST on inputs such as cement, marble, granite and bricks is lowering the cost of construction for developers, improving project viability and supporting price affordability for homebuyers with lower EMIs. Moreover, low -income and affordable housing projects under the government schemes such as PMAY 2.0 and Agnicart 2025 stand to benefit the most with reduced construction costs, enabling faster execution and delivery in rural and semi -urban areas. Beyond cost optimization, the reforms are also expected to strengthen credit quality and financial inclusion by improving loan affordability and spurring incremental demand within formal housing finance channels. The affordable housing finance segment in the country is poised for significant growth in the coming quarters, and we continue to support the government in fulfilling the mission of housing for all. Looking ahead, Aadhar Housing Finance is well positioned to sustain its growth trajectory, supported by strong fundamentals and expanding distribution networks and technology -led operating efficiency.

Aadhar Housing Finance Limited

November 07 , 2025

Page 4 of 15

With continued policy support and a favorable macro environment, we remain confident of strengthening our market leadership, creating long -term value and deepening financial inclusion. We remain steadfast in our mission to enable home ownership for low income families. Backed by a strong balance sheet, enhanced credit profile and structural tailwinds, Aadhar is well placed to capture emerging opportunities and continue to drive inclusive and sustainable growth. We have a positive outlook for the next 2 quarters, and we are confident of meeting our growth guidance given for this financial year.

With this, I now hand over to Rajesh, our CFO, to discuss the financial performance in detail.

Over to you, Rajesh.

Rajesh Viswanathan : Thanks, Rishi. Good evening, everyone. I would like to take you all through the financial performance for H1 FY '26 and Quarter 2 FY '26.

In Q2 FY '26 , our overall AUM has grown by 21% on a Y-o-Y basis. Our overall borrowings as on 30th September 2025 stood at Rs. 17,600 crores compared to Rs. 14,600 crores same time last year, which is a growth of 21% on a Y-on-Y basis. The borrowing mix at the end of 30th September is 50% from banks, NHB share is 21%, NCD is 22% and ECB and others make up the balance of 7%.

Our incremental borrowings for Quarter 2 FY '26 was around Rs. 1,800 crores, which came in at slightly lower than 8%. We have around 44 borrowing relationships. The exit cost of funds as at 30th September stood at 7.9%. In terms of fixed and floating nature of our book, 73% of our borrowing is floating and 75% of our assets are floating. So there is a great degree of matching in these. Undrawn sanctions as at 30th September 2025 is Rs. 2,381 crores, which includes Rs. 1,250 crores from

National Housing Bank .

We have not drawn down anything from NHB in Quarter 2 of the current financial year.

Liquidity for FY '26 stood at Rs. 2,270 which is around 10% of the loan book. Portfolio yield exit is 13.8% as at Quarter 2 FY '26. Hence, the exit spread stood at 5.9% as compared to 5.8% as at Q1. So there has been a growth of 10 bps on a sequential basis in terms of spread. Our cost to income for H 1 FY '26 stood at 36.1% as compared to 36.4% in H1 FY '25, which is an improvement of 30 bps on a Y-on-Y basis.

As we had earlier conveyed, we would like to drop our cost of income by around 40 bps for the entire financial year and we are well on track for that. GNPA as at 30th September is 1.4% as compared to 1.3% Q2 FY '25. And NNPA is 1% versus 0.9%. The Stage-III provision coverage ratio currently stands at 34.3%. One more important metric which we would like to share is that our Stage -II on a sequential basis has dropped by Approx 20 bps. The capital adequacy ratio for Quarter 2 FY '26 stood at 44.3% for Tier-1 and 0.5% for Tier-2.

H1 FY '26, we delivered an overall PAT of Rs. 504 crores compared to Rs. 428 crores in H1 FY '25, which is a growth of 18%. And on a quarter basis , in Quarter 2 FY '26, our PAT was Rs.

Aadhar Housing Finance Limited

November 07 , 2025

Page 5 of 15

266 crores versus Rs. 228 crores Quarter 2 FY '25, again a growth of about 17%. As conveyed by Rishi , we are focusing on maintaining a very healthy book and delivering consistent performance on a quarterly basis. With that, we can open up for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of R enish from ICICI. Please proceed.

Renish : Hello, am I audible?

Rishi Anand : Yes.

Renish : Yes. Hi, congrats on a good set of numbers and thanks for the opportunity. Sir, my first question is on asset quality. So when we look at the key asset quality metrics, as I just Look Credit cost, Stage -II asset, etc., improves sequentially , but when we look at the other , mortgage players have witnessed marginal deterioration on sequential basis. So I just wanted to understand what is this driving better asset quality performance than the industry ? And also, if you can share your exposure in, let us say, some of the stress market like Tirupur, Coimbatore, Surat ? And also, if you can share 1 plus DPD movement sequentially would be helpful, sir ?

Rajesh Viswanathan : So there are 3 questions in one, Renish, but I will try to answer the first and second by Rishi . I think, to be very honest, the benefit of more stable credit cost and credit behavior must be because the way we are spread out right through India. If you look at us one of our main strategy is not more than 15% in any major market or major state and probably that is helping us quite well. So even if there are other stress states with some of the other peer players may be seeing stress on, probably for us, it is a percentage of that stress. So to that extent, we have not seen any specific new spurts in any state, which is out of the ordinary. And as the first trigger, as all of us will know is the bounce rate. We have not seen any inordinate movement in bounce rate. And as I have explained, the Stage-II has also dropped by 10 bps. So to that extent, there is a slight degree of comfort that we are probably going in the right direction. And in terms of other micro markets, I think I will ask Rishi to just take that one on Tirupur and Ludhiana and other locations.

Rishi Anand : So Renish, thanks for coming on the call. See, the way we look at our business, while I will give you those numbers, the sequential numbers that you asked for, but the way we look at our business is when it comes to specifically tariffs, is there any particular city, etc., which gets impacted , no because, for example, textile, pharma, gems, they are spread across In

dia. But since

you have asked a specific question regarding some specific call outs of cities that have happened in various calls, for example, Tirupur, Surat, Coimbatore, all put together close to about 1.6 %-1.7% of our AUM, so not a very large exposure. But even in these markets, our sequential 1 plus has dipped. For example, Tirupur, from a 9.2 %, it has dropped to about 7.1 sequential quarter -on-quarter . Surat has dropped from 8.8 % to about 8%. Coimbatore has dropped from a 9.2 -9.3 to 8.2 -8.3. So in all the 3 markets which the market has been talking about, we have seen a drop in 1 plus. So our worries, obviously, the worries around these specific cities is not prevalent in Aadhar.

Aadhar Housing Finance Limited

November 07 , 2025

Page 6 of 15

Rajesh Viswanathan : And I just correct it, our Stage-II improvement is actually 20 bps. It is not 10 bps, it is 20 bps.

Renish : Got it. And overall, 1 plus DPD, how it has moved sequentially?

Rajesh Viswanathan : One plus sequentially was 7.18, it is 7.17.

Renish : So it is flat basically ?

Rajesh Viswanathan : That is right.

Renish : And my second question on the disbursement. So the first half looks better at 16% Y-o-Y. But when we look at the sequential disbursement, it is actually muted at 4%. So can you throw some light on this disbursement being lower in Q2? And are we still confident about delivering 18%-20% growth in FY '26 ?

Rishi Anand : So Renish, it might not be okay to take an isolated view on this particular quarter. And I will give you the reason why. This particular quarter on a quarter -on-quarter basis will definitely give you a distorted view. If you recall, last year, in Q1 of last financial year, there was a regulatory circular which had come with respect to interest recognition, which was supposed to move from a disbursement to cheque handover. And because of which, there was a substantial business which got carried forward to Quarter 2 of last year. Hence, if you observe, in quarter 1 of this financial year, our disbursement growth was 32% on a quarter 1 Y-o-Y basis. Hence and because of the bulge in Q2, you look at the numbers at 4%. The better way of definitely looking at it is the overall YTD H1, which is a 16% growth, which you rightly mentioned. As regards H2, we are very confident of market dynamics. We are looking at market very closely. We are looking at our login parameters very closely. And we are very confident of the guidance numbers that we had given. Another important aspect of our business is the way H1 versus H2 is tagged.

Generally, it is 40 -60. This year, already 42% has been delivered of whatever we planned, and the balance should be coming in with a lot of comfort.

Renish : Got it. And just last thing, would you like to share October disbursement number?

Rishi Anand : October disbursement number has been in line with our estimates. In fact, on the budget numbers, we are right on track on 100% achievement.

Renish : Got it. This is very helpful, sir. Thank you and best of luck.

Rishi Anand : Thank you so much.

Moderator : Thank you. The next question is from the line of Sonal Gandhi from AMSEC . Please proceed.

Sonal Gandhi : Thanks for the opportunity and congrats on the quarter, A adhar team . So just going ahead with the question which was asked earlier on the disbursement , so disbursements, if you look at home

Aadhar Housing Finance Limited

November 07 , 2025

Page 7 of 15

loan segment particularly, there has been some degrowth over there. So if you could just throw some light if anything that we are doing in terms of tightening the credit policies or if there is any other change that has happened in the system because of which the disbursements are down?

Rishi Anand : I would not give any particular reason of why disbursement on home loan, it is actually flattish.

Primary reason is extended monsoons. When there are extended m

onsoons and good chunk of

our AU M incremental portfolio happens to be self -construction. For example, the entire Uttarakhand belt, in fact, the entire North belt saw a heavy impact on login when it comes to self-construction. And to add to it, we had slightly issued a caution to our underwriting teams with respect to whatever was going around with the tariff situation across gems and jewellery, pharma to some extent and primarily textile. I think both of them have contributed a little bit on the login side. But having said that everything is now behind us and coming quarters look very positive.

Sonal Gandhi : Sure. And sir, anything on the PLR hike? How do you plan? What is the guidance with spreads now? Earlier , we were thinking that it might go down a bit , but it is clearly improving. So how do we see spreads moving in Q3, Q4 or maybe 2H of this year?

Rajesh Viswanathan : See, we believe that there may be a further 10 bps sort of improvement in our overall cost of funds as we exit the current financial year. Having said that, you are right, we have not passed on anything on the RPLR bid. The 10 bps drop will be majorly benefited by the MCLR pass -on which will happen to us from the banks, which we believe should happen somewhere from December to February, March. And probably that is a period where we will probably take it to the ALCO. And if at any point of time, we will calculate and then pass it on to the customer. Our current spread, as you have correctly said, is actually coming at 5.9%. And the way we look at it is that probably we may end up around 5.8% as we exit the year .This is after the pass -on, we should be around 5.8%.

Sonal Gandhi : Sure. And sir, just one clarification, in the opening remarks, you said that 40 bps reduction in cost of borrowing. So we are talking about exit quarter, right, and we should be closer to about 7.8, 7.7 ?

Rajesh Viswanathan : This is all exit. When I am saying that when we are exiting the year, we will be exiting in the range of 7.75 to 7.80.

Sonal Gandhi : Got it. Thank you so much.

Rishi Anand : Thank you, Sonal .

Moderator : Thank you. The next question is from the line of Kunal Shah from Citigroup. Please proceed.

Kunal Shah : Yes. Hi, Rishi and Rajesh. Thanks for taking the question. So firstly, with respect to recoveries, overall, I think ECL provisions are still up like Rs. 20 odd crores, but in P&L, it is like almost

Aadhar Housing Finance Limited

November 07 , 2025

Page 8 of 15

Rs. 13 odd crores. So has there been any recovery during the quarter and what is the nature of that?

Rajesh Viswanathan : So we recovered somewhere in the range of about Rs. 6 -Rs. 8 crores from our old project finance portfolio mainly. If you remember, our project finance portfolio were written off. So there were some old recoveries to the range of about Rs. 8 crores that we had in the current quarter.

Kunal Shah : That is almost Rs. 8 crores?

Rajesh Viswanathan : That is right.

Kunal Shah : And this would have been entirely written off. So this would have been 100% provided or only a part of that is?

Rajesh Viswanathan : No. It was 100% written -off assets. So technically, it is a P&L pass -through. So it becomes a P&L benefit.

Kunal Shah : And is there a more pool to be recovered or this is more kind of a one -off?

Rajesh Viswanathan : So we have a Rs. 25 crore s pool which is left on project finance, which we believe will come

over after this recovery, which probably will take another 2-3 years, depending on how these stack up because these are really long tail sort of recoveries. So whatever comes, so for example, this recovery of Rs. 7-Rs. 8 crores has come in after a long time, I think, the first thing after about 7-8 quarters. So in that sense, it is a good thing to come. We have Rs. 25 crores, we are not sure how much we will recover from that, but it is a good positive to keep with us

Rishi Anand : And to add to it, this Rs. 25 crores that we are talking about is 100% written off.

Rajesh Viswanathan : Right. Any benefit will directly come into the P&L.

Kunal Shah : Sure. Got it. And secondly, in terms of the OPEX, which is up like, say, almost 34% year-on-year and quarter-on-quarter. So any one-off element in that?

Rishi Anand : No one-offs on OPEX.

Kunal Shah : Overhead cost, yes.

Rajesh Viswanathan : Yes, the OPEX is typically the typical management expenses that we generally have, as well as the stride, because we have set up approximately 20 branches in the current financial year. The impact of setting up those 20 branches are there. And if you look at OPEX, Quarter 2 FY '26 was in the range of Rs. 201 crores. We were Rs. 173 crores last year, same time, and Rs. 187 crores in the quarter 1. So from 187 on a sequential basis, we have grown to 201, which is

Aadhar Housing Finance Limited

November 07, 2025

Page 9 of 15

typically 16% is a Y-on-Y growth, Q2 versus Q2. In a sequential quarter, we have grown from 187 to 201, which is a quite organic growth. There is nothing special on that.

Kunal Shah : Sure.

Rajesh Viswanathan : Just one point. As we alluded our cost to income that we look at very closely, that is where we would like to see that statistics. And we would like to see, we have seen it happen, and probably year end also, we will see a 40-50 bps that we will be able to target.

Kunal Shah : Sure. And lastly, if you can comment with respect to your entire strategy on the urban and emerging, how it is panning out, maybe Q1 was the full quarter, but how things have been. And over a period when we look at it in terms of the proportion of the branches, how much do we think like, say, A, B, C branches would respectively, maybe what proportion would those numbers be, say, over the medium term?

Rishi Anand : So Kunal, with respect to our strategy, I would say the current quarter in question was the first full quarter because we implemented towards mid of April in quarter 1. So we obviously did not get the first quarter in full. Whatever we had planned and the timeline that we had planned and the momentum we had planned, we are completely on track. If you recall, we mentioned at some stage that today 45% of the business comes from the emerging markets and eventually we want to get into a 50-50 model. Are we on track? I would say we are on track. The emerging C branches obviously need little more efforts for them to establish because it is a small setup. It is one or two manpower kind of branches. Broadly, if I were to break down urban and emerging today, urban is about 137 branches, emerging A, B, C and total will be about 475 branches. Out of which 400 branches will be in the B and C categories. Broadly, if I were to indicate, are we on track in terms of our commitments and guidance, we are completely on track. I don't see anything disturbing that 50-50 balance figure that we had indicated.

Kunal Shah : Got it. Thanks and all the best.

Rishi Anand : Thank you, Kunal.

Moderator : Thank you. The next question is from the line of Shweta from Elara. Please proceed.

Shweta : Thank you, sir, for the opportunity. A couple of questions. While you alluded to the fact that bulkier disbursements in Q1 led to slightly slower momentum in Q2, but then if we were to maintain 18%-20% full year target, then the ask rate for the second half is going to be pretty much higher, right, as high as 23%-24% kind of growth. So are we on track to achieve that kind of robustness and disbursements every quarter, like in second half?

Rishi Anand : Shweta, hi. Thank you for the question. Yes, as I indicated already, the way to look at it is 42% typically, 40-60 is what H1 to H2 happens across the industry. So for us, we have already delivered 42% against what we plan to do this year and the balance should be coming in Second

Aadhar Housing Finance Limited

November 07, 2025

Page 10 of 15

half we are on track, if I want to answer that question? Yes, we are completely on track, the way October has panned out and the way we look at our current month. We are completely on track and you are right. If we were to look at our guidance numbers, we will have to look in terms of growth. We will have to look at 20%-22% kind of growth in the coming quarters and we are completely on track.

Rajesh Viswanathan : And Shweta, just to add, if you look at historically the performance of Aadhar over the last 3-4

financial years, typically you will see this ratio of 42 %-43% in H1 and then quarter 3 and quarter 4 actually moving in that direction of 57%. So I think that is why the full marketing team, the sales team, as well as the business teams are quite well guided plus, we believe that our entire strategy of emerging, which Rishi just spoke on, will get more activated plus GST, good harvest, good rains, the festival season behind us, PM AY, all these tailwinds will really help to really push demand and disbursements in the second half of the year, not only for us, but also for the entire industry.

Shweta : Understood, sir. Sir, second question is, was there movement from Stage-II to Stage-III because Stage-III climbed 13 -14 bps sequential basis?

Rajesh Viswanathan : This would typically be the movement, Shweta, from Stage -II to Stage-III. If you look at our NPA at Stage-III itself, it has gone up from 1.34% to 1.42%. So 1.34% to 1.42% of the 8 bps movement has gone from Stage-II to Stage-III typically.

Shweta : And sir, what has been the bounce rate for this particular quarter and for TDPD?

Rajesh Viswanathan : So the bounce rate is quite static.

Rishi Anand : It is static for the last 6 quarters in the range of early 20 % and that is where we have been for the last 6 quarters. What was the second question?

Rajesh Viswanathan : The 30 -plus is in the range of about 4.6%. The 30 -plus sequential quarter FY '26 quarter 1 was about 4.65%. So there is a movement of 5 bps positive over there.

Shweta : Perfect, sir. Thank you so much and all the best.

Rishi Anand : Thank you, Shweta.

Moderator : Thank you. The next question is from the line of Shubhranshu Mishra from Phillip Capital. Please proceed.

Shubhranshu Mishra : Hi, Rishi. Hi, Rajesh. Good evening. So I just want to understand the yield that we get on the retail loans versus other mortgage loans. Essentially, what I am trying to get at is the contribution to the profit from home loans versus the other mortgage loans ?

Aadhar Housing Finance Limited

November 07 , 2025

Page 11 of 15

Rishi Anand : Hi, Shubhranshu. Yields home to non -home , home gives us close to about 12.15% and non -home gives 15.75%.

Shubhranshu Mishra : So ballpark non -home would be contributing roughly around 35% -40% to the profit pool?

Rajesh Viswanathan : Yes, that is a way of looking at it. Because in terms of contribution, it will be about 26%-27% of our AUM. But obviously, it comes in at a higher ROA. So that is a way of looking at it.

Obviously , the NP As are slightly higher in NHL compared to HL., The difference in yield directly . be an ROA enhancer.

Shubhranshu Mishra : Understood. And the second part is about BT out and BT in as well. What would be the net number for the quarter? And how many people do we deploy as a team to have this kind of attrition ?

Rishi Anand : Shubhranshu, our BT out percentage for the said quarter has dropped to 5.4% annualized. So there is definitely an improvement of about 50 bps. BT in, as I have been indicating every time on the call, we are a company which does not entertain too much of BT in because of obvious reasons.. It is close to about 0.91% which is only reference cases from our existing customers. In terms of central retention team that we have employed, there are 16 people, more of telecallers and

people who engage with the consumers and one team leader. So about 16 people who help us retain the consumer. Apart from this, obviously the data analytics team, they help us churning out a lot of data with respect to consumers, which is a separate team. They have other deliverables as well, but they contribute towards retention.

Shubhranshu Mishra : And what percentage of this attrition is actually rested? So I present 100,000 a month , what actually gets retained?

Rajesh Viswanathan : Close to about, if I can put that number, 27 %-30% will get retained.

Shubhranshu Mishra : Understood. And any guidance for FY '26 for the remainder part of 26 and of course , 27 for disbursement?

Rajesh Viswanathan : On BT out?

Shubhranshu Mishra : Sorry, AUM and disbursement ?

Rajesh Viswanathan : On AUM, we have always kept a guidance of 20 %-22% and profit again about 18 %-20%.

Shubhranshu Mishra : Disbursement?

Rajesh Viswanathan : The disbursement will be, if you look at the reverse calculation, it will be again approximately 18%.

Aadhar Housing Finance Limited

November 07 , 2025

Page 12 of 15

Shubhranshu Mishra : Thank you so much. Have a great and clean quarters.

Rishi Anand : Thank you so much, Shubhranshu.

Moderator : Thank you. The next question is from the line of Rajiv Mehta from YES Securities. Please proceed.

Rajiv Mehta : Hi, good evening. Thank you and congrats on steady and solid performance. So a few of my questions are already answered, but again, just coming back to asset quality and Stage-II performance, which has been pretty stable, which also implies that your early bucket collections have slightly improved. And when I in fact look at the flow rates, it seems that your flow rates or your collection performance in the early bucket in this H1 is actually better than last H1. So my question is, if the bounce rates are stable, then has the resolution improved in the early buckets? And if it has improved, then what has driven it? Is it your collection effort, intervention, or is it something like at the customer end, the leverage has gone down and is able to kind of make the payment immediately?

Rishi Anand : I think I will not be able to pinpoint something very specific, Rajiv. It is a matter of continued focus on collection. Our teams, for example, we have separate teams for separate buckets. The focus continues across various buckets. I think multiple things all across the support from the legal system. We have in-house legal team right from Section 138, Section 24 filing to in extended buckets filing of SARFAESI, memos, DM orders. So I think it is a contribution of entire team effort. I will not be able to pick out any single item and say that this has contributed to additional efforts. We have a total close to about 1,500 people on the collection team, on the front end who lies in with customers across various buckets. I think it is a team effort across various buckets, Rajiv.

Rajiv Mehta : And just one last thing, when you look at the asset quality movement at the whole company level, and is it reflective of the movement in LAP as well, because LAP is a much smaller as portfolio than home loan. So within LAP, has the asset quality or the DPD movement been similar to the whole company?

Rajesh Viswanathan : I think yes. If you look at it, it is only at 10 bps movement on difference in the asset quality when it comes to LAP. Otherwise, it is quite similar. For example, home loan moved from 1.1% to 1.2% on a sequential basis and LAP moved from 1.9% to 2%.

Rajiv Mehta : Sure. Thank you so much and best of luck.

Rishi Anand : Thank you so much.

Moderator : Thank you. The next question is from the line of Rishabh, an Individual Investor. Please proceed.

Rishabh : Hi, sir. I am audible? Thank you for the opportunity.

Aadhar Housing Finance Limited

November 07, 2025

Page 13 of 15

Rishi Anand : Hi, Rishabh. You are au

dible.

Rishabh : Thank you. So I have one small question. It is about the leverage on the book. So where do we intend to increase the leverage going ahead so that our overall ROE can reach up to 18% levels?

Rajesh Viswanathan : Basically, currently our lever is around 2.5 -2.6, and honestly, if you remember in the past, we have been saying that the rating agencies generally are comfortable in a range of about 4.5 for a AA rated company. We are today a AA+ rated company, at least in one rating agency and hopefully on the way for the others also. Typically, we would lie somewhere between a AA rated and a AAA rated in terms of leverage, which the rating agency would be comfortable. So we have some headroom on that. Having said that, I think getting even to a 3.5 -4x is going to be some way out of where we currently are. So it will take some time. We believe that first we should hit the 3x lever and then probably take it up from there. So it will be a slow process, steady process. We do not intend to push lever too much to be very honest. Internal accruals are fairly strong for us. So we have to take that also too viously into account when we look at our overall borrowings and as it is, we believe that we maintain sufficient liquidity also. So keeping all these elements in play, I think the movement is going to be fairly slow towards 3 x first and then we take it up from there.

Rishabh : Sure. So that answers the question. Sir secondly, if you can again recall on the collection efficiency, I think I missed at the beginning of the call?

Rajesh Viswanathan : Our collection efficiency stands at 98.96%.

Rishabh : So that is it from my side. Thank you and all the best to the management.

Moderator : Thank you. The next question is from the line of Siraj Khan. Please proceed.

Siraj Khan : Hi, thank you for giving me the opportunity. Sir, I wanted to understand with respect to our branch addition strategy, how many branches will we be trying to close at the end of FY '26 and any specific states that we are looking to target?

Rishi Anand : In terms of branch, Siraj, as we have always indicated, we will keep adding 50 -55 branches, out of which 15 will come in the urban category, which means the top 15 metro locations of the country and the balance 35 will come in the emerging category. Are we looking at any specific state? No, it depends on each state, the Zonal Head or the Business Head, looking at the potential of various locations, the data of which is sent to the data analytics team, which looks at the data very differently from a market potential perspective, delinquency perspective. That is how we

boil down to locations. But if I were to give you, these will be typically top 10 states of the country for now, and which is Phase-I. So it can be likes of Maharashtra, Tamil Nadu, Andhra Pradesh, Telangana, Rajasthan, Gujarat, Delhi NCR and so on and so forth.

Aadhar Housing Finance Limited
November 07 , 2025

Page 14 of 15

Siraj Khan : Understood. And with respect to a couple of questions on competition and your view on the Southern piece, so in Southern India, specifically Karnataka, there are a few locations where one of the participants earlier had said that there was some stress, although we have not seen that much in our book, but any specific ticket size wise or category wise, there has been early warning signs, although we might not see any stress, but any warning signs, maybe in the South or in general, any warning sign specific, say, less than 5 lakh or less than 7.5 lakh ticket size, are you seeing any stress?

Rishi Anand : Siraj, I would not want to pick out any specific consumer type or state type. Yes, you are referring to Karnataka. Karnataka was not consumer issues. They were more government related issues with respect to e -Khata policies, which have been sorted already. For us, if I were to talk about stress, it is typically the states that I have

been talking about in all my calls, which is typically East, in location like East and Kerala, where, and that is also not because of anything else, but because of the lack of legal support system. And our strategy of any state not contributing greater than 15% of our AUM actually plays out very well. So I will not pick up any state and say that my portfolio is under stress or a particular consumer segment or a known type is under stress. And because of East and Kerala, obviously our incremental numbers of our focus is much lower in these states. But since we are available there, we continue to do full business.

Siraj Khan : And the competition bit, like for example, some of our listed peers and even unlisted peers have been very aggressive with respect to pricing, one of the larger listed players, although not in the same segment, but they had said that, they will try to undercut price it in a way that they will try to get good customer using their cost of funds advantage. So color on that with respect to the competition in general ?

Rishi Anand : Yes. Siraj, our view has been, and to all my 8,000 employees in the field, the view has been very clear that we are not in the race of undercutting and a war of rate. We have our own identified customer segment. We will play on technology. We will play on speed. We will play on TAT and we play on efficiency. End of the day, consumer is more interested in how fast can you provide me the funds rather than looking at rate. This is a very different kind of customer segment. You are talking about larger players trying to undercut. I think it is only a matter of, we have all seen, we have been in the industry for 30 years. We have seen players come and go in various segments. I don't think too many people are doing undercutting, but undercutting is a mechanism of creating your own space. But since we have a pre -identified space across cities, I don't think there is any cause of worry.

Siraj Khan : So competition is as is and you are not seeing any much of an issue that it will cause?

Rishi Anand : No, not really. I can relate to which companies you are referring to. As I told you, our emerging ABC is going to play a very important role and big role in the entire play area that we have been talking about.

Aadhar Housing Finance Limited
November 07 , 2025

Page 15 of 15

Siraj Khan : And just finally, with respect to the credit rating updates that we have had, in the AA plus and the long -term outlooks improving, we have already seen a bit of an improvement in the cost of borrowing. How much more, purely because of the maybe, although it is difficult to quantify, but how much more of an improvement can we see because of the credit rating of 10 -15 bps? Because I think now you would be also having access to maybe insurance money, which is longer tenor and that way ?

Rajesh Viswanathan : Yes, I think you are right. In fact, we have not seen maximum benefit of the rating upgrade in our incremental cost of funds as of yet. You are right. It will appear more in the debt capital market transactions that we do on NCDs. We are eagerly waiting for more rating agencies to take upgrade us because that will give us leeway to view for insurance as well as pension funds. It will not necessarily mean that it will come at lower cost, but it will come at longer duration, which we are also interested in. But you are right, the entire game will be on the 25 %-30% incremental NCD business that we do. There you will be seeing benefits between a AA and a AA plus company of anywhere between 20 -25 bps is something that you can see in a market, but that is an incremental and that is technically not played out till now. Probably will play out in the full way in more in next financial year rather than the current part of the financial year.

Siraj Khan : So what is the timeline when you expect these everybody, say ICRA and everyone to

o come up
and?

Rajesh Viswanathan : We can't speak for the rating agencies. The only thing is that they have sort of taken the outlook from stable to positive, which we see is one step towards an ultimate goal for us.

Siraj Khan : Understood. Thank you.

Moderator : Thank you. Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.

Rajesh Viswanathan : Hi, thanks to everyone to come in and attend this call late on a Friday evening. Hope we have been able to answer all your questions. If there are any unanswered questions, please do feel free to get in touch with our Investor Relations team, and we will be more than happy to answer your questions. Thank you and hope to have a good call in quarter 3. Thank you very much and good night.

Rishi Anand : Good night, everyone.

Moderator : Thank you. On behalf of Aadhar Housing Finance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Feb 2026

Date: February 4, 2026

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
National Stock Exchange of India Limited
Listing Dept., Exchange Plaza, 5th Floor, Plot No.
C/1, G. Block, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub:- Transcript of the Earnings Conference Call for the quarter ended December 31, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated January 20, 2026 please find enclosed the transcript of the Earnings Conference Call on the financial performance of the Company for the quarter ended December 31, 2025 held on Friday, January 30, 2026.

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please.

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
ACS: 19534
Encl.: As above

CC:- Debenture Trustees-
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

Page 1 of 15

"Aadhar Housing Finance Limited
3Q FY '26 Earnings Conference Call "
January 30, 2026

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE
CHAIRMAN – AADHAR HOUSING FINANCE LIMITED
MR. RISHI ANAND – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – AADHAR HOUSING FINANCE
LIMITED
MR. RAJESH VISWANATHAN – CHIEF FINANCIAL

OFFICER – AADHAR HOUSING FINANCE LIMITED
MR. SANJAY MOOLCHANDANI – HEAD, INVESTOR
RELATIONS – AADHAR HOUSING FINANCE LIMITED

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES LIMITED

Aadhar Housing Finance Limited
January 30, 2026

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to Aadhar Housing Finance 3Q FY '26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Renish Bhuva from ICICI Securities Limited. Thank you and over to you, sir.

Renish Bhuva: Thank you. Good evening, everyone, and welcome to Aadhar Housing Q3 FY '26 Earnings Call. On behalf of ICICI Securities, I would like to thank Aadhar management team for giving us the opportunity to host this call. Today, we have with us the entire top management team of Aadhar represented by Mr. Deo Shankar Tripathi, Executive Vice Chairman; Mr. Rishi Anand, MD and CEO; Mr. Rajesh Viswanathan, CFO; Mr. Sanjay Moolchandani, Head, Investor Relations. I will now hand over the call to Mr. Rishi sir for his opening remarks, and then we'll open the floor for Q&A. Over to you, sir.

Rishi Anand: Thank you very much, Renish, and very good evening to you all. Thank you for joining us this late evening to discuss Aadhar Housing Finance performance for third quarter and 9 months ended December 31, 2025. I would like to begin by wishing all of you a very Happy and Prosperous New Year.

The third quarter has been significant for the Indian housing finance sector with RBI reducing policy repo rate by additional 25 bps in December, bringing it down to 5.25%. This marks a cumulative easing of 125 basis points in 2025, which has significantly pushed home buying affordability, particularly in the affordable and mid-segments where customers are more sensitive to EMI movements.

Furthermore, we are seeing a tangible benefit out of GST 2.0 framework. The reduction in GST on construction inputs like cement and brick is lowering the cost for developers and improving project viability. The combination of lower borrowing costs and resilient buyer sentiment positions the housing finance market on a strong footing for 2026.

Overall, the combination of supportive policy measures, increasing borrowing costs and sustained end user demand provides a constructive backdrop for affordable housing finance sector. Moving to Aadhar's performance for the quarter. I am happy to share that we continue to deliver healthy growth while maintaining strong portfolio quality.

As of 31st December 2025, our AUM stood at INR28,790 crores, registering a 20% year-on-year growth. Disbursement for 9 months FY '26 stood at INR6,469 crores with a 15% Y-o-Y increase and PAT stood at INR797 crores, registering a growth of 20%, reflecting steady lending momentum across our core segments.

These numbers reinforce our confidence on the historical guidance that we have given during the last 3 quarters and further boosts our confidence as we enter quarter 4. Our portfolio remains

Aadhar Housing Finance Limited
January 30, 2026

Page 3 of 15

entirely secured with home loans and loan against property continuing to be well balanced within the book. Asset quality remains well contained.

Gross NPA stood at 1.38%, a sequential improvement of 4 bps versus last quarter. Collection efficiency remained upward of 99% during the third quarter. Importantly, early bucket delinquencies remained stable and Stage 2 asset continues to show improvement by 20 bps compared to the last quarter.

1 plus DPD also reflects an improvement of 30 bps on a sequential basis, reflecting the effectiveness of our underwriting discipline and field-level collection process. Our average ticket size stands at INR10.7 lakhs

with 60% loan-to-value ratio, reinforcing the resilience of our portfolio. The salaried segment continues to be at 55% of AUM, aligning with our focus on borrowers with stable and predictable income profiles.

Balance transfer outflows during the 9 months FY '26 stood at a comfortable position of 5.6% annualized, a 50 bps improvement on a Y-o-Y basis, which was supported by focused retention efforts and data-driven customer engagement.

During the third quarter, we continued to expand our physical presence in a calibrated manner. We added 10 new branches, taking our total network to 621 branches across 22 states and 552 districts, serving over 3.2 lakh live customers.

Our geographic diversification remains strong with no single state contributing disproportionately to the AUM, which is not greater than 15%. Technology continues to be a key enabler of scale and efficiency. Our TCS-enabled core system and data analytics framework are reducing turnaround times, strengthening governance and improving customer experience across loan life cycle.

We continue to leverage analytics and machine learning tools to sharpen credit assessment, monitor early warning signals and support scalable growth. The Pradhan Mantri Awas Yojana, PMAY 2.0 scheme continues to play a supportive role in driving demand across low income and affordable segment.

Aadhar continues to lead from the front on this very important initiative of the Government of India, spearheaded by National Housing Bank. 10,000-plus customers have already received first tranches of their interest subsidy under this renewed program. The availability of interest subsidy under the PMAY 2.0 has improved affordability for the first-time homebuyers, particularly in the EWS LIG segment.

We expect the scheme to gain further traction as customer awareness improves, supporting disbursement growth in the affordable segment. Looking ahead, we remain strongly optimistic about the operating environment over the coming quarter.

With strong fundamentals, our diversified branch network and continued policy support for the affordable segment, we remain confident of sustaining our growth trajectory and meeting our guidance for FY '26 and in the medium term. We are driving a key mile stone of crossing INR30,000 crore s AUM by the end of this financial year.

Aadhar Housing Finance Limited

January 30, 2026

Page 4 of 15

Aadhar remains steadfast in this mission to enable homeownership for low-income families while delivering consistent and sustainable returns for our stakeholders. Before I hand over to Rajesh, our CFO, to take you through the financial performance, I would like to reinforce that we have a positive outlook for quarter 4 FY '26 and are very confident of meeting our medium-term growth guidance on AUM, asset quality and all profitability metrics. Over to you, Rajesh. Rajesh Viswanathan: Thanks, Rishi. Good evening, everyone. I would like to take you through some of the financial data. Some of these have already been covered by Rishi, but I would like to reiterate some of these numbers.

In quarter 3 FY '26, our AUM has grown by 20% on a Y-on-Y basis. Our overall borrowings as at 31st December 2025 stood at INR17,500 crores compared to INR15,100 crores on 31st December '24, which is a growth of 16% on a Y-on-Y basis. The borrowing mix at the end of 31st December '25 is 50% from banks, NH B share is 22%, NCD share is 21% and ECBs and others make up the balance of 7%.

Our incremental borrowing cost for quarter 3 FY '26 stood at 7.5% and was 7.9% for the 9 months ended FY '26. We have 41 borrowing relationships. In quarter 3, our NHB borrowings were INR299 crores, which came in at 6.6%. And for the 9-month period, the NHB borrowing was around INR600 crores, which came in at a 7.4% cost. The exit cost of funds as at 31st December 2025 stood at 7.74%.

In terms of fixed and floating nature

of the book, we run a very disciplined fixed and floating nature, 74% of our borrowing and assets, both are on floating basis. Undrawn sanctions as at 31st December '25 is INR2,400 crores, of which we have around INR950 crores, which is still drawable from NH B.

Liquidity at the end of quarter 3 FY '26 stood at INR1,435 crores. This is balance sheet liquidity. Portfolio yield exit is 13.71% at the end of quarter 3 FY '26, and I'm repeating the exit cost of funds was 7.74%. The exit spread hence stood at 5.97% as compared to 5.93% at the end of quarter 2.

Our cost-to-income ratio for 9 months FY '26 stood at 35.4% as compared to 35.9% in 9 months FY '25, an improvement of approximately 50 bps on a Y-o-Y basis. This is in line with our guidance where we had stated that we would like to drop our cost to income by around 50 bps for the current financial year.

GNPA, as Rishi has said, has come in at 31st December '25 at 1.38% as compared to 1.36% in quarter 3 FY '24 and the NNPA stood at 1% versus 0.9% last time same year. Capital adequacy ratio stood at 43.6% for Tier 1 and 0.5% for Tier 2. For 9 months FY '26, the PAT without the

impact of the new Labor Code was INR797 crores compared to INR667 crores in 9 months FY '25, rendering a growth of 20% Y-o-Y.

PAT stood at INR294 crores for quarter 3 FY '26, again, without the impact of the new Labor Code compared to INR239 crores in quarter 3 FY '25, resulting in a growth of 23%. ROA and ROE were 4.4% and 15.6%, respectively.

Aadhar Housing Finance Limited
January 30, 2026

Page 5 of 15

The 15.6% is also impacted also because of the capital raise of INR1,000 crores that we had done in last May. For quarter 3, the ROA and ROE were 4.6% and 16.5% as compared to 4.4% and 15.8% in quarter 3 FY '25. Impact of the past service cost due to implementation of the new Labor Code is INR16 crores.

And in line with the ICAI guidelines, we have shown this as an exceptional item. The number of employees as at 31st December '25 on rolls were 5,200 employees and off-rolls were around 3,800 employees. We are focusing on maintaining a healthy book and delivering a consistent performance across all metrics, whether it's AUM growth, cost to income, performance of our portfolio as well as profitability metrics.

With that, we can open up for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhishek Kumar Jain from AlfAccurate.

Abhishek Kumar Jain : Congrats for strong set of numbers. Sir, you have delivered very strong growth in the disbursement ahead of your peers. So just wanted to understand what gives you confidence in sustaining it in the fourth quarter and FY '27, where most of the peers are struggling on the parameter?

Rishi Anand: Thank you, Abhishek, for the question, and thanks for your message and congratulations. What gives us confidence is, see, I will not be able to talk about what others are doing. But the way I look at my current numbers, even for January, they are upward of what we delivered in December. So with the current pace of numbers, I foresee that the quarter 4 is completely protected and the guidance numbers that we've been giving is completely protected.

As we enter 2026, obviously, we'll bring on table, our core competence has always been the branch network, which we are very confident of, and we are expanding branch network, as I indicated even in the last call, we will keep adding about 40 to 50 branches year-on-year basis even as we go ahead in the next financial year. So a combination of multiple things gives us that confidence that we will be able to deliver our commitments.

Abhishek Kumar Jain : So can we expect that 20% kind of the disbursement growth in the next quarter onwards?

Rishi Anand: You're talking for the next financial year?

Abhishek Kumar Jain : Yes. Yes, sir.

Rishi

Rishi Anand: So let us look at the current financial year right now. Current financial year AUM, which should be upward of 20%, disbursement will be upward of close to about 16% to 17%. Similarly, the similar trends, we would want to maintain next year, and that's where the confidence comes from.

Abhishek Kumar Jain : Okay, sir. And my next question is Stage 2 assets, where we have seen very good improvement. Was Q3 improvement broad-based or driven by specific geographies like Surat and Tamil Nadu?

Aadhar Housing Finance Limited
January 30, 2026

Page 6 of 15

Rajesh Viswanathan: I think it's answering your question about Stage 2 improvement, it is pretty broad-based. we wouldn't be able to specifically link it to any particular geography. Honestly, just pre-empting a question on this one, we are not seeing any specific geographies behaving very badly or very superbly in the sense that whatever has been our performance of our portfolio for the last 3, 4 quarters is sort of showing itself up in this quarter also.

So neither has there been any drastic improvement or drastic deterioration. However, we are very happy with the way our Stage 2 has been consistently dropping by 20 bps consistently for the last 2 quarters, which we believe is a good sign for maintaining the overall health of the portfolio and for stopping slippages into Stage 3, which is a 90-plus portfolio.

Rishi Anand: Yes. If I can add to that, Rajesh. Abhishek, you had a very specific point pointing out a city state called Tamil Nadu. So Tamil Nadu, I can understand where the question is coming from. For us, Tamil Nadu, we've seen, I would say, substantial improvement on delinquency trends, which is 1 plus and 90 plus. And if I can give a number, Tamil Nadu has shown 20% to 25% growth on disbursement and AUM. So for us, Tamil Nadu has been a good location.

Abhishek Kumar Jain : Okay, sir. And my last question on the PMAY 2.0 incentives. So can you give us a few updates

on the approval time line, disbursement linkage? And in the upcoming budget, are there any additional policy meters or incentives housing finance company is outing for or expecting, sir?

Rishi Anand: So one is PMAY update I gave in my speech, and I told that we are a company which is leading from the front. We are the highest subsidy takers today for our customers, 10,000 -plus customers have already availed the subsidy. Actually, the traction of PMAY 2.0 has happened in the last, I would say, 1.5 quarters. The total process starts only when we disburse the loan.

And the TAT of which is there through NHB, the nodal office, where the subsidy comes from is anywhere between 2 to 3 working days. So it's not too much of a turnaround time. As regards expectation from the budget, I think the previous budget has already put a lot of things on the table.

We, as an industry, will have to first deliver on those, for example, PMAY, GST, overall funds for stalled projects, etcetera. What we anticipate this time is may be a redefinition of the word affordable in terms of ticket size. That might just come in.

Moderator: The next question is from the line of Arun from JM Financial.

Arun : Congratulations on a very good set of numbers. Just a couple of questions. One, credit costs for the quarter have slightly inched up despite the overall Stage 3 PCR coming down. So against this backdrop, what would be your guidance for credit cost for the full year FY '26? Does it change? And also, where do you see your GNPA level settling by the end of the year?

Rajesh Viswanathan: So basically, credit cost, if you look at quarter 3 FY '26 is 0.28%. As you would be tracking the industry, what happens in quarter 4 is we typically see an improvement in the overall NPA numbers. I'm just going into a second question, which we are currently at about 1.38%. And we basically believe that we may end in a trend line of 1.1% to 1.15%.

Aadhar Housing Finance Limited
January 30, 2026

Page 7 of 15

So if you look at that, typically, the credit cost in the last quarter will be very minimal or sometimes could surprise us with a negative credit cost also. So typically, to that extent, you can assume that whatever credit cost on a YTD basis is there is going to grow very less. And hence, this gives us confidence that our credit cost number for the entire year will be within the 25 bps as we had suggested earlier and the guidance that we had given earlier.

And that still remains our medium -term guidance when it comes to credit costs, along with our AUM guidance in the range of about 20%, 21%, we are confident that we should be maintaining year-end AUM . Year-end NPA numbers will be in the range of 1.1% to 1.15% and credit cost in the range of about 25 - 26 bps. In the medium term, I think we are confident of that. Second question, specific answer, we should be ending the year at NPA levels of between 1.10% and 1.15% on AUM.

Moderator: The next question is from the line of Chintan Shah from ICICI Securities Limited.

Chintan Shah : Yes. Congratulations on the quarter. Firstly, in terms of the disbursement, the disbursement growth has been quite robust, 14% sequentially. So any specific state which has led to some disbursement? And so given that we think the peers we have seen many peers have been struggling on that front. So what is leading to this disbursement?

And secondly, on this disbursement, so this is also coming without any compression on the margins front. So going ahead also, do we expect this disbursement trend to continue along with stable margins? Yes, that's the first question.

Rishi Anand: Chintan, while you're asking the question, I'm struggling because all the states have contributed almost equally. So I don't want to pick up any particular state which has given me higher growth or lower growth. Everybody has contributed, barring one state, which I can point out, Punjab, which is still struggling from coming out of the flood situation because it takes a little time. Rest all the states have equally contributed. So as regards to margin, are we confident of maintaining those margins as we go ahead in quarter 4 and end the year? Yes, we are very confident, Chintan.

Chintan Shah : Sure, sure. So basically, I think there were some states like Tirupur, Coimbatore, Chennai, which were probably impacted, not for us, but for the industry overall. So that -- those sales are also not leading to any -- those sales are also growing at a decent pace. I think you already mentioned, but just wanted to get some...

Rishi Anand: No. So Chintan, you're talking about specific cities, which I think I only called out in the last call with regards to the tariff impact, if that is the question. Yes, I remember calling out textile and gems in these 4 cities would get impacted. But I am also equally surprised looking at our numbers.

One is -- one thing I want to highlight is on an AUM level, these cities don't contribute very large. They are all sub -1% for me. But the good part here is, if I look at the last 2 -3 quarters movement, both on 1 plus and on NPAs, all these states have performed very good.

Aadhar Housing Finance Limited
January 30, 2026

And if I can just indicatively give you one example, 1 plus drop of about 3% has happened in Tirupur and NPA drop of 0.7% has happened in Tirupur. And similar is the trend in Surat, Chennai and Coimbatore. So overall, a very comfortable zone to be in.
Chintan Shah : That's very pleasant to hear. And sir, I think on the BT out, if you could just share the number, I think that was 5.4% for H1. So how has the BT out been in this quarter?
Rishi Anand: Yes. So we are in a similar trend, Chintan. 5.6% is what we have recorded, which is a drop from a 6.1% Y-o-Y basis. So from a 6.1%, we have come to 5.6

%, which is definitely an improvement. And obviously, the credit goes to the retention team and the data analytics team.
Chintan Shah : Sure. So there is no competition as such coming from the larger players, which is likely to also impact this BT.

Rishi Anand: I will not say there is no competition. I would want to say that the teams here are doing a better job, if that helps.

Moderator: The next question is from the line of Prithviraj Patil from Investec.

Prithviraj Patil : I just wanted to the 1 plus DPD number for the quarter and our plans to expand into other geographies and the branch expansion? Just give some details on there.

Rishi Anand: Prithvi, thank you for the question. I'll take the second question first. In terms of plan for expansion into new geographies, I would say that we are available in all the possible geographies of the country. We are available in 22 states. So there is no more state that is getting added. But we will keep adding 40 to 50 branches year-on-year basis in the states that we are present. If you recall, last time I spoke about our deeper impact strategy, the strategy continues, 30 branches of ours will keep coming in the lower category, which is deeper impact and the balance 20 will keep coming in the urban and emerging A locations. So we'll keep expanding our network in the geographies that we are present.

Rajesh Viswanathan: And on the 1 plus number, the 1 plus number as at December end is 6.86%, which is a 31 bps improvement on a sequential basis. It was 7.17% as at end of September '25.

Moderator: The next question is from the line of Siraj Khan from Ascendancy Capital .

Siraj Khan : Firstly, I wanted to know, I mean, the numbers that I'm seeing in the PPT, the Y-o-Y growth in the NHL disbursement is 25% and the HL is only 11%. So I mean, are we focusing more on NHL? Or is there like a rollover effect happening? Because 11% growth in the HL disbursement seems a bit low. So are we seeing a little bit of like going slow for any specific reason or this is by rollover of any disbursements in the coming quarter?

Rishi Anand: Thank you, Siraj, for the question. In fact, if you look at our quarter-on-quarter performance, our home loan has grown by about 14%, 14.5% and non-housing has grown by 9%. So it's the other way around. And it's an impact of the refocus that we did post the tariff issues, et c. Slight refocus has been done, and this is interim.

Aadhar Housing Finance Limited

January 30, 2026

So will I go back and start doing a little more of NHL as we go ahead? Yes, we will. But for the time being, we kind of, I would say, kind of cautioned our teams, and that's how the output is. Home loan is again, I'll give the numbers. Home loan has grown at 14% on a quarter-on-quarter basis and non-housing has grown at 9% on a Y-o-Y 9-month basis, home loan has grown by 11.5% and non-housing by about 24%.

Siraj Khan : Correct. Correct. So I was referring to that. I was referring to that itself because in the PPT, the 9 months to 9-month comparison, it is 4.5%. So this is by design that we are...

Rishi Anand: Yes. Completely by design, 70-30 is the number that the regulator allows us to do, and that's where we want to be. We don't want to breach that point. So at any given point in time on an AUM basis, we are today at about 27%, if I'm not mistaken, Sanjay can correct me, 27% NHL. We still have some room. So we're going to be maintaining a 30% bracket on that.

Siraj Khan : This is not a reflection of anything with respect to a slowdown in the demand in the affordable segment or anything, just to understand.

Rishi Anand: Not at all.

Siraj Khan : Okay. So now because we are going slightly higher on the NHL side and just to confirm, we have not taken any PLR cuts and with respect to an outlook on that because we have held the yields at a good place for the last 4, 5 quarters, 12

5 basis that you have mentioned and it

happened. On the ground, we are seeing that there is a lot of competition. So overall yields on onboarding must be lower. Where does the yield trajectory go? And what is the time line that you see with respect to the PLR cut? And how much would be done?

Rajesh Viswanathan: So as we had explained in the past 2 calls, in the case of downward trajectory of interest rates,

we are also morally and regulatory required to pass on the interest rate benefit to our customers who are on a floating rate basis. And as you would know, we have 75% of our book is broadly on a floating rate basis. In today's ALCO, the ALCO has decided to drop our rates by 15 bps from February 2026.

It could be applied between 10th and 15th of February 2026, a 15 bps drop, which will be impacting 75% or benefiting 75% of the customers. So technically, the pass-through will be to the range of approximately 12 bps, which will happen from February. And as has been our basis, what will happen in the last 3 months of business will be we'll get this benefit over the next 3 months.

For example, January business will get the benefit in May. December business will get the benefit in April and the last we will get in the month of March. So basically, that's the way we have taken on the way up. On the way down, we will be doing it in this way. We believe on the cost of funds basis, we are currently at 7.74%. Maybe as we enter quarter 4, we may have a 2, 3 bps improvement in our cost of funds.

Beyond that, I don't think because we have already, to a great extent, maxed out on the pass-through. If the banks have decided to pass through more MCLR cuts, probably we may be benefited. But otherwise, we broadly believe that another 3, 4 bps may come through.

Aadhar Housing Finance Limited
January 30, 2026

Page 10 of 15

So anyhow, I think as we end the year, we may end in a range of approximately 5.8% spread, which importantly is about 10 to 11 bps better than the exit spread as at March 31, 2025. So typically, for the whole year, we have protected and the exit spread that we would have in March is projected to be at least 10 to 11 bps better than when we entered the current financial year.

Moderator: The next question is from the line of Maulik Chaudhari from Monarch Network Capital Limited.

Maulik Chaudhari : Am I audible?

Rishi Anand: Yes, very much, Maulik. Yes.

Maulik Chaudhari : Yes. Congrats on the good results. So I just have one question. Just wanted to get your perspective on the competition. Like there is a broader narrative that the competition is rising.

So I just wanted to know your take on this.

Rajesh Viswanathan: So Maulik, when we talk about competition, it's a broad-based. We will have to look at various segments. For example, there is competition in the prime segment, and there is affordable segment and then there is low-income segment. And we operate in the low-income segment. And low-income segment is typically those companies which operate in average ticket size below INR15 lakhs that's where we operate.

Are we seeing any big traction here? I would defer and I would say no, we are not seeing any big traction here. Is there competition in the affordable space? Today, the affordable definition goes up to loans up to private sector definition goes up to INR50 lakh of loans. So yes, there is some traction happening there, and there will always be a 5%, 7% overlap. In the low-income space that we operate, we are not seeing big traction.

Point number two here is to be noted is that we keep talking about 620 branches. Out of the 620 - odd branches, about 150 branches happen to be in the urban locations for us. And rest 450 -plus branches happen to be the emerging locations. So as we go down in to deeper impact locations and emerging locations, the competitive intensity definitely goes down. So that's how we will

h

ave to look at it. So basically, when I say no traction means competition is less.

Moderator: The next question is from the line of Siraj Khan from Ascendancy Capital .

Siraj Khan : Sir, you were mentioning that the MCLR is the total book, not the bank of the total book, how much is MCLR linked?

Rajesh Viswanathan: Total banks is about 50% and of the banks, approximately 23% is MCLR linked.

Siraj Khan : Okay. 23% is MCLR. So approximately 12% is...

Rajesh Viswanathan: Siraj, one sec, I'll just get the number. Just hold on for one second.

Siraj Khan : Not a problem. I'll move on to the next question. So with respect to the...

Rajesh Viswanathan: Siraj, I got the number. 67% of bank borrowings is MCLR -linked.

Aadhar Housing Finance Limited
January 30, 2026

Page 11 of 15

Siraj Khan : So almost 30% of the total. Okay.

Rajesh Viswanathan: Yes.

Siraj Khan : So on the asset quality, I mean, we are holding up quite good. And as you said that in some of the states that you had earlier called out with respect the tariff could become an issue, but it is positively surprising us.

So with respect to the acceleration for growth, you are saying that at 20% is what you are aspiring. But say, what would be the conditions with respect to some of the states, say, MP or Tamil Nadu or some of the other states where you see there is good growth how much can the growth accelerate to?

I mean, given that you are already going to cross the INR30,000 crore s mark, what is on the upside that you see that growth could go to? And will the asset quality remain sustainable in that range because you might see a few other delinquencies coming here and there.

Rishi Anand: Okay. Siraj, the way we look at our businesses, since we are in 22 states, there will be certain states will give us higher double -digit growth. There will be certain states which will give us lower double -digit growth. There will be certain states, and I can call out states whenever you want. There will be certain states where I, as an organization, don't want to grow beyond single digit. and there are multiple reasons around it. So it is a combination.

Since you called out Madhya Pradesh, the way we look at Madhya Pradesh, it should give me a Y-o-Y growth upward of 25%. Similarly, Maharashtra will give you close to about 25%, 30%.

So that's how the dynamic works. There will be states where, for example, where I have low legal support, I might want to grow only single digit because I still have presence there.

So it's a combination of multiple things. But overall, as we indicated multiple times on this call, we are very comfortable with a 20% AUM growth in the current financial year and as we enter the next financial year.

Siraj Khan : A quick statistic. So what is your funnel with respect to the login to sanction and sanction to disbursement?

Rishi Anand: See, our current log -in to sanction ratio would stand anywhere between 65% to 66% and our log-in to disbursement would range at about 39% to 40% today.

Siraj Khan : This is on count, I believe?

Rishi Anand: That's on volumes. Count is more or less similar, 1% here and there. So count is more or less similar.

Siraj Khan : Understood. Understood. And because why I'm asking this is because as you say that you try to maintain 20%, 21% growth sustainably over the next -- over the medium term, 2 to 3 years, 20% growth breakdown will be what? I mean how much of it would be ATS le d? How much of it would be, say, branch expansion or something. So how much will be this -- what will be the breakdown for this 20% or whatever you...

Aadhar Housing Finance Limited

January 30, 202 6

Page 12 of 15

Rajesh Viswanathan: Yes. I think broadly to look at it is 5% to 6% will be typically linked to inflation. And broadly, the balance would be a combination of productivity improvements, which will happen with our existing mat

ure branches and 5% to 6% will be the incremental bus iness, which the branches set up in the last 18 months, which start providing in the next financial year. So that's a broad way of looking at 6% productivity gains, 6% inflation related and 6% impact of new branches providing more.

Rishi Anand: If I can add to that, Siraj, the branches that I will add next year will not give me traction for next year, they will give me a year after that. So that's how the model works. So for example, the branches, 40 -odd 40, 50 branches that I would have said thi s year will start giving you numbers next year. So that's the combination of the 3 things.

Siraj Khan : General gestation period is , what, 15 to 18 months, I believe ?

Rishi Anand: Depends on the size of the branch. We have 4, 5 categories of branches, starts with sales office goes up to large setups. So anywhere between 12 to 18 months, depending on the type of branch is where it breaks even.

Siraj Khan : With your experience to say, if you set up a sales office, in, say, 18 months' time, it would reach up to, say, the middle level, say, the small branch.

Rishi Anand: Yes. I'll tell you the way we look at it, if I set up a sales office within 9 months, exactly 9 months, it should break even. And after that, it should all be adding to the bottom line.

Rajesh Viswanathan: What Rishi was alluding to, sales office is the lowest branch category of. That will take 9 months. And the highest branch, which will be a city branch and an urban branch may take anywhere between 15 to 18 months because obviously, the target for him is a lso higher compared to a sales office.

Moderator: the next question is from the line of Sonal from Asian Market Securities.

Sonal : Congrats on the quarter. So I have 3, 4 questions. One is on the co -lending part. So if I look at the numbers, co -lending seems to be a little low this quarter. So if you could just give us some guidance on how do you see co -lending fees moving from here o n? Any targets that you have on the disbursements or on the AUM from the co -lending?

Second is if you could just let us know what are the incremental deals for the quarter? And also if you could give us some sense on how your non -home loan book is behaving because you

slowed down on disbursement. So any signs that you're seeing of stress over there? Or is it more precautionary where you've decided to go slow? Some trend, how is it currently in terms of delinquencies and how it was like a year back?

And the fourth one is on the attrition rate. If you could just let us know how the attrition rates are and whether it has improved or you're seeing some increase in attrition currently. These are my 4 questions.

Aadhar Housing Finance Limited
January 30, 2026

Page 13 of 15

Rajesh Viswanathan: Yes. So if we remember the 4 questions, we will answer. We have forgotten the second question. But the co-lending that we did, co-lending is a small piece for us. We did only INR26 crores of co-lending in the current quarter. Previous quarter was approximately INR97 crores. So co-lending is a smaller piece.

For us, we did direct assignment of approximately INR440 crores in the current quarter. And if you look at it, the way we are looking at co-lending and assignment combination this year is that we have tempered the proportion of co-lending and assignment. And if you look at the growth in the P&L, which is a line item of initial recognition of income, that has grown only by 11%, whereas my AUM has grown by 20%.

Another point, which I think all of you analysts do understand is what you see on the face of the P&L is only the initial recognition we do on new assignment that we do. Of the assignments that we have done in the past, there is also an unwinding of upfront profit. So the net impact for the 9-month period is to the total of approximately INR22 crores to INR23 crores, which

is a net

impact on the 9 months profit. So I think from that perspective, this is a very important number.

So on the full 9-month PAT, the impact on the 9-month PAT of the overall securitization and co-lending is only to a net extent of INR28 crores. So on the total profit for the 9-month period, only a net income of INR28 crores has come from co-lending, net of what has been unwound out of previous year's co-lending that we did. Third question was on non-home loans and are you seeing the performance and behavior of non-home loan portfolio?

Rishi Anand: Okay. So on non-home loan, let me give you a few numbers. One is on an overall basis, Y-o-Y, home loan has grown close to about 18%, non-home loan close to about 25%. In terms of NPA, there is a differential of about 65 to 70 bps. But incrementally, you should also look at in correlation with the yields, risk-adjusted yields are upward of 300 bps. So that's how we look at NHL versus HL. What was the next question? Sorry. Sonal, if you want...

Rajesh Viswanathan: Employee attrition.

Rishi Anand: Employee attrition. So employee attrition at the company level, if I remove regret attrition is about close to about 22%.

Sonal : What was this number a year back?

Rajesh Viswanathan: Year back number...

Rishi Anand: I'll come back to you, Sonal, on this.

Rajesh Viswanathan: Yes. We'll have to get back on that. Sorry about that.

Sonal : Sir, my question -- no worries. On non-home loans, sir, basically, I just wanted to understand how is the book behaving? I mean is it similar or is it improving or -- because you've kind of tightened the credit filters over there. So generally, what we hear commentary from others is they are seeing some stress over there. I just wanted to know.

Aadhar Housing Finance Limited
January 30, 2026

Page 14 of 15

Rajesh Viswanathan: No, no. So if I were to talk of behavior in the last, let's say, 4 or 5 quarters since the time we've also gone ahead and given a caution remark to our teams, the behavior has, in fact, better by about 20 bps.

Sonal : Got it. And sir, incremental for the quarter?

Rishi Anand: Incremental yield of the quarter...

Rajesh Viswanathan: 13.1%.

Rishi Anand: For the quarter, it's 13.1%.

Moderator: The next question is from the line of Siraj Khan from Ascendancy Capital .

Siraj Khan : Is there any material change in the repayment behavior, not the BT out, the prepayment , repayment behavior? I mean one of our peers was alluding that they are seeing elevated repayments, prepayments in their book.

So basically, it's a good thing if we are also seeing that because that means our book is strong. But are we seeing normal repayment behavior or people are coming to you with cash and trying to repay and prepay at a much faster rate than we have generally seen?

Rajesh Viswanathan: No, I think, Siraj, thanks for the question. I think if you take the overall AUM runoff for the 9 months FY '25 was 17.5%. And if you look at 9 months FY '26, it only 16.8%. So on an overall basis, our runoff of our opening AUM is lower. Obviously, it was aided by a combination of 2 factors.

One is the lower BT out, which has happened. Second, more importantly, the specific question of repayment behavior triggered by the customer, we are not seeing any material differentiation between the 2 periods of the customer coming and doing either a part prepayment or a full foreclosure of the loans. It is behaving quite similar to the trend that we had in the last financial year.

We are very happy with the runoff of our portfolio. In fact, if you remember, we have always been saying that the runoff of the portfolio will be in the range of about 17% to 18%. And we have ended FY '26, 9 months, that is December '25, we have ended at a runoff of about 16.8% on the opening AUM, which we believe is a very robust number, which helps into maintaining our overall

I AUM.

Siraj Khan : And on the BT, how much of -- so the BT that we have saved it. But what was the BT out request for? I mean was it purely for the rate? Or what was the composition for the request? People are asking going to BT out for more top -ups, more rate?

What was it? And how much of it was retained? So like we got 100 requests for BT, how much were retained? And what was the composition of the 100 request?

Rishi Anand: So Siraj, if I can take that question. See, BT request is very hard to say. Sometimes it's a combination of request for rate and top -up. Sometimes it is only top -up, sometimes it is only

Aadhar Housing Finance Limited

January 30, 2026

Page 15 of 15

rate. We, as an organization, we generally avoid doing top -ups in -- until about 18 months of disbursement of the loan because we don't want to reevaluate the property.

So that's where if the customer still wants to reevaluate the property and go, we would allow him to go. But it's a combination of multiple things. Sometimes it just comes for rate and the moment you say, okay, fair, I can still look at this rate, he would say, give me some top -up also. So it's a combination, very difficult to point out. But approximately, I would say, 25% to 30% would come for rate requirements.

Siraj Khan : Okay. And so what was the number of requests, if you can give or you could give me like a percentage of how many requests that had come for BT, how much did you retain?

Rajesh Viswanathan: Apologies, Siraj, I am not having that number ready with me, but I will in Sanjay give that number to you.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments.

Rajesh Viswanathan: Thank you. Thank you, friends, for joining our call on a Friday evening. I hope we have been able to answer all your questions. Again, as we would reiterate, we believe as management, we have delivered consistently not only this quarter, but the full financial year and whether on our guidance that we had set out at the start of the year in terms of AUM growth, disbursement, profitability, cost to income, I think both for the 3 -month period as well as for 9 months period, we have achieved that.

And as Rishi has alluded during the call, we are quite confident of achieving that both in quarter 4 and the near -term future. So we look really forward for the closure of quarter 4 and as we get into FY '27. And we will be happy to take any further questions if anyone has, they can get in touch with our Investor Relations team and happy to take those questions.

And as one of the questioners said, we would also like to see a good budget and budget, which supports the low income and affordable housing industry. With that words, I think we can get the call to the end. Thank you from the management side.

Rishi Anand: Thank you, everyone. Thank you so much.

Moderator: Thank you, sir. On behalf of ICICI Securities Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

(no extractable text — likely a scanned image PDF)